



2025-2026 EDITION | DUKE MBA CONSULTING CLUB

The Fuqua Casebook



Welcome Message

Hi Team Fuqua,

The Fuqua Casebook has long been one of the most trusted resources for MBA students preparing for the rigor of consulting interviews, known for its clarity, discipline, and the unique Fuqua blend of collaboration and excellence. This spirit of collaboration shines throughout this edition, as you will see the contributions of many classmates who generously shared cases from their interview and internship experiences.

We are excited to share that this edition includes 9 brand-new cases crafted specifically for today's recruiting environment, along with 9 timeless classics from past Fuqua casebooks that continue to sharpen structured thinking. Together, they represent a powerful mix of fresh perspectives and proven training material. In addition to the cases, we've also highlighted some of the strongest cases we've seen from other MBA programs, the ones we genuinely believe every caser should attempt at least once.

This year's casebook also features comprehensive, up-to-date industry primers and deep-dive sample frameworks for each case type. Whether you're just beginning your casing journey or refining your final reps before interviews, these tools are designed to help you go one level deeper in your analysis, confidence, and problem-solving.

Creating this casebook has been a truly collective effort, and it reflects the spirit of Team Fuqua. I hope you feel that energy as you work through each page.

To everyone preparing for case interviews, whether you're a member of the Fuqua Class of 2026 or 2027, or someone reading this years from now, I wish you clarity, grit, and momentum. Stay disciplined, stay curious, and keep pushing. You've got this!

Lastly, to students from other MBA programs using this casebook during their journey, welcome to Team Fuqua!

Good luck!

Ashish Arora (Fuqua '26)
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Table of Contents – New Cases

Case Name	Industry	Case Type	Firm Style	Quantitative Difficulty	Qualitative Difficulty	Page
MedTech Co.	Healthcare	Profitability	BCG	Easy	Medium	31
The Grass is Greener	Agriculture	Growth Strategy	Bain	Medium	Medium	42
BioPharma LOE	Bio-Pharma	Cost Reduction	BCG	Difficult	Difficult	53
Breaking out of Boston	Real Estate	Market Entry	McKinsey	Easy	Medium	64
Big Fat Greek Problem	Hospitality	Growth Strategy	DHL/Bain	Difficult	Difficult	72
Fasten your Seatbelts	Travel	Operations	BCG	Difficult	Medium	83
Tiny Ripples Coffee Co.	Food & Beverage	Profitability	Bain	Medium	Difficult	94
Pet Paws	Retail	M&A	Bain	Difficult	Difficult	103
AI in the Clouds	Tech	Implementation	McKinsey	Medium	Difficult	114

Table of Contents – Classic Cases

Case Name	Casebook Year	Industry	Case Type	Quantitative Difficulty	Qualitative Difficulty	Page
Lactose King	2017-2018	Services	Growth	Easy	Easy	125
Born for Beauty	2023-2024	Consumer	Growth	Easy	Easy	135
MotherTech	2024-2025	Healthcare	M&A	Medium	Medium	145
Bumpers R Us	2023-2024	Manufacturing	Operations	Easy	Medium	156
A-Plus School District	2021-2022	Education	Others	Medium	Medium	165
Sardine Airlines	2016-2017	Transportation	Profitability	Medium	Medium	175
Goodbye Horses	2016-2017	Healthcare	Decision Analysis	Medium	Difficult	186
Scrub Strategy	2024-2025	Consumer	Product Launch	Difficult	Difficult	195
Swift Business	2023-2024	Entertainment	Market Entry	Difficult	Difficult	205

Recommended Cases from other Casebooks

Case Name	Casebook	Casebook Year	Industry	Case Type	Quantitative Difficulty	Qualitative Difficulty
Copier Co.	Darden	2018-2019	IT	Profitability	Medium	Easy
Chicouver Cycles	Kellogg	2023-2024	Transportation	Market Entry	Medium	Medium
Tuck Air II	Tuck	2023-2024	Airlines	Pricing/Opp. Assessment	Medium	Medium
Pharma Co.	Darden	2021-2022	Pharmaceuticals	M&A	Medium	Medium
Sourcing the Sauce	Darden	2021-2022	Food & Beverages	Growth	Difficult	Medium
One Tree Hill	Ross	2021-2022	Non-Profit	Decision Analysis	Medium	Difficult
Alpha Aviation	Darden	2020-2021	Airlines	Growth	Difficult	Medium
Great Burger	NYU Stern	2023-24	Food & Beverages	M&A	Difficult	Difficult
FLC Sports League	Ross	2021-2022	Sports	Profitability	Difficult	Difficult
Nutters of Savile Row	Tuck	2023-2024	Consumer	Operations	Difficult	Difficult

Case Types 101

This section is intended to give you a brief down of different case types you will see in case interviews and sample cases, along with initial framework structures you should consider when encountering these cases.

Common Case Types

Case Type	Description
<u>Profitability</u>	Analyzing causes for a recent drop in profits or ways to increase profits
<u>Growth Strategy</u>	Determining optimal way to grow a company
<u>Market Entry</u>	Analyzing a firm's opportunity to expand into a new business
<u>Merger / Acquisition</u>	Evaluating whether a firm should merge or purchase another company
<u>Product Launch</u>	Assessing a new product offering
<u>Pricing</u>	Deciding how to price a product or service
<u>Operations</u>	Analyzing operational problems to solve the reasons behind drop in quality, speed or reliability
<u>Cost Reduction</u>	Identifying what is driving a company's costs and recommend practical ways to reduce them

Framework Guidance – Profitability

Revenue

- **Drivers of volume**
 - Complementary goods
 - Substitutes
 - Upsell / cross-sell
 - Bundle / unbundle
 - Online sales
- **Pricing Scheme**
 - Price per unit
 - Bundle pricing
 - Subscription model
 - Price match
 - Price war
 - Price discrimination

Costs

- **Variable Costs (VC)**
 - **Production**
 - COGS
 - Raw materials
 - Freight-in
 - Packaging
 - **Supply Chain**
 - Delays
 - Freight out: delivery, shipping
 - Fuel, gas
 - **Other**
 - Commission
 - CAC
 - Shrinkflation
- **Fixed Costs (FC)**
 - **Admin (SG&A)**
 - HR, IT, Finance, Legal
 - Other SG&A
 - **Overhead**
 - Rent, utilities
 - Depreciation
 - R&D
 - **Other Fixed Costs**
 - Financing (paying loans)
 - Insurance
 - License / patent
 - Write-offs

External Factors

- **Market**
 - Size, growth, profitability
 - Trends (declining market?)
- **Customers**
 - Customer segments
 - New consumer trends observed
 - Shifting customer needs?
- **Competition**
 - Current market share
 - New entrants
 - Competitive advantage
- **Other**
 - Regulatory changes impacting industry
 - Macroeconomic conditions

Framework Guidance – Growth Strategy

Organic

- **Increase penetration**
 - Sales and marketing
 - Increase capacity (Q)
 - Increase volume (Q)
 - Increase quality
- **New revenue streams**
 - New distribution channel
 - Cross-sell / up-sell
 - R&D
- **Increase price (P)**
 - Price elasticity
 - Customer WTP
 - Effect on Q

Inorganic

- **Partner**
 - Joint ventures
 - Merger
- **Other Considerations**
 - Synergies
 - Cannibalization
 - Fit with current portfolio

Market Factors

- **Market**
 - Market size + growth
 - Seasonality
 - Locations
- **Recent trends:**
 - Tech
 - Regulations
 - Customer preferences
- **Customer**
 - WTP
 - Drivers of demand
 - Segmentation
 - Targeting
 - Positioning our offer
- **Competition**
 - Market share
 - Barriers to entry
 - Consolidation over time
 - Differentiation
 - Competitive response

Capabilities

- **Financial**
 - Equity financing
 - Debt financing
 - Divesting portion of firm
 - Cancel other projects
 - Breakeven period required
- **Non-financial**
 - Pedigree of management team
 - Tech infrastructure
 - Relationship with suppliers
 - Long-term viability

Framework Guidance – Market Entry

Target Market	Capabilities & Synergies	ROI	Implementation Strategy
• Market • Market size, growth, profitability • Market penetration • Key market drivers • Market cycle • Current trends • Customers • Largest segments • Preferred channels • Preferences • Willingness to pay • Others • Regulations, taxes • Technology advances • Political issues • Culture	• Capabilities • Do we have financial capabilities? • Is management capable? • Fit and Synergies • Product fit with the rest of company's portfolio • Brand fit • Upsell / cross-sell • Risks • Brand damage • Competitive response	• Revenue • Volumes sold • Price • Costs • Investment Cost • Fixed Costs • Variable Costs • ROI • Profits • Breakeven period • ROIC	• Modes of Entry • Build • Buy • Partner • Considerations • Timeline • Run a pilot first • First mover advantage?

Framework Guidance – M&A

Financials	Market Attractiveness	Synergies	Risks
• Revenue • Quantities sold • Price • Costs • Fixed Costs • Variable Costs • Profit = Revenue – Costs • Other Considerations • Investment cost • Valuation: • DCF • Comparables • Market cap. • Future growth	• Market • Market size, growth, profitability • Market penetration • Key market drivers • Market cycle • Current trends • Customers • Largest segments • Preferred channels • Preferences • Willingness to pay • Competition • Current market share • Barriers to entry • New entrants • Others • Regulations, taxes • Technology advances • Political issues • Culture	• Revenue Synergy • Cross-sell • Upsell • Joint customer loyalty program • Cost Synergy • SG&A • CAC • R&D • Production • Supplier negotiation • Non-financial synergy • Expertise • More data insights	• Cultural differences • Employee morale • Supplier relationship • Brand damage • Opportunity cost • Cannibalization

Framework Guidance – Product Launch

Product Financials

- **Revenue**
 - Expected volume
 - Price
- **Costs**
 - Fixed Costs
 - Variable Costs
 - Invested Capital (IC)
- **Profit = Revenue – Costs**
 - Breakeven period
 - Return on IC

Market Attractiveness

- **Market**
 - Market size, growth, profitability
 - Market penetration
 - Key market drivers
 - Market cycle
 - Current trends
- **Customers**
 - Largest segments
 - Preferred channels
 - Preferences
 - Willingness to pay
- **Competition**
 - Current market share
 - Barriers to entry
 - New entrants
- **Others**
 - Regulations, taxes
 - Technology advances
 - Political issues
 - Culture

Company Capabilities

- **Operations**
 - Overlap with portfolio
 - Equipments/Tech
 - Infrastructure
 - Sourcing
- **Management**
 - Is management capable to handle?
 - Do we need more employees?
 - Do we need to raise capital?

Launch Strategy

- **Pilot program**
 - Location for pilot
 - Timeline
 - Scale
- **Mode of launch**
 - Build
 - Buy
 - Partner

Framework Guidance – Pricing

Product/Service	Customers	Competition	Pricing Model
• Value Proposition • Quality • Features • Reliability • Differentiation • Performance • Convenience • Brand • Lifecycle Stage • New launch or mature	• Segments • Demographics • Preferences • Buying power • Willingness to Pay • Elasticity • Demand sensitivity • Discount sensitivity • Purchase behavior • Frequency of use • Switching behavior	• Banchmarks • Price points • Bundling tactics • Industry pricing norms • Freemium • Subscription • Pay-per-use • Tiered • Voulme-based.	• Pricing Model • Cost + margin • Menu • Value-based • Discounts & Incentives • Promotions • Loyalty programs • Profitability Impact • Margins • Breakeven volume

Framework Guidance – Operations

Internal Process Flow

- **Process Flow**
 - End-to-end workflow
 - Bottlenecks, constraints
 - Capacity utilization
 - Cycle time / takt time
 - Throughput vs demand
- **Resources**
 - Labor (skills, scheduling, productivity)
 - Equipment (downtime, maintenance, automation)
 - Materials availability
 - Facility layout efficiency
- **Costs**
 - Unit economics
 - Waste/scrap/defects

External Factors

- **Suppliers**
 - Relationships
 - Reliability
 - Alternatives
 - Environmental friendly?
 - Align with our mission?
 - Pricing
- **Logistics**
 - Own or outsourced?
 - Utilization %
 - How to manage excess demand?

Competitor Benchmarking

- **Quality & Service Levels**
 - Defects
 - Returns
 - Customer complaints
 - Lead times
 - On-time delivery
- **KPIs**
 - Throughput
 - Utilization
 - Overall Equipment Effectiveness

Framework Guidance – Cost Reduction

Cost Baseline Drivers

- **Variable Costs**
 - Raw materials
 - Factory labor
 - Storage & warehousing
 - Freight-in / freight-out
 - Packaging
 - Fuel & gas
 - Commissions
 - CAC
- **Fixed Costs**
 - SG&A
 - Marketing & advertising
 - Rent, utilities
 - PP&E maintenance & depreciation
 - R&D
 - Insurance
 - Inventory / write-offs

Cost Reduction Levers

- **Internal Levers**
 - Cheaper labor
 - Material substitutes
 - Improve process efficiency
 - Reduce waste
 - Economies of scale
 - In-house vs outsource
 - Automation opportunities
 - Reduce overhead
 - Private-label alternatives
- **External Levers**
 - Renegotiate contracts
 - Switch to cheaper suppliers
 - Optimize logistics partners
 - Long-term volume contracts
 - Reduce CAC through lower-cost channels

Implementation & Risks Considerations

- **Implementation Plan**
 - Timeline & phasing
 - Upfront investment required
 - Pilot test before scaling
 - Governance & tracking metrics
- **Business Risks**
 - Quality degradation
 - Customer dissatisfaction
 - Brand damage
 - Reduced innovation
 - Supply chain fragility
- **Organizational Risks**
 - Employee morale issues
 - Productivity drops
 - Loss of key talent
 - Change management resistance

Industry Primers

This section provides insights into key industries to help you deliver more tailored and customized case solutions.

Industry Primers – Airlines

Key Ideas

- Extremely capital-intensive industry
- Highly regulated
- Demand driven by macroeconomic cycles
- High fixed-cost base
 - Strong operating leverage
- Thin margins
 - Profitability depends on load factors
- Fuel price volatility drives major cost swings
- Hub-and-spoke vs point-to-point models
- Labor unions have significant power

Revenue

- Passenger ticket sales
- Ancillary fees (bags, seat selection, onboard sales)
- Loyalty programs & credit-card partnerships
- Cargo & freight transport
- Charter services
- Aircraft leasing or subleasing

Costs

Fixed Costs

- Aircraft purchase/lease payments
- Airport gate fees & landing rights
- Salaries
- Maintenance
- Loyalty program

Variable Costs

- Jet fuel
- Catering & onboard services
- Ground handling & baggage operations
- Flight-specific crew hours
- Navigation fees

Trends

- Airlines are increasingly relying on ancillary revenue streams to offset thin ticket margins.
- Fuel-efficient aircraft and sustainable aviation fuel (SAF) are becoming strategic priorities.
- Digitalization is improving route optimization, dynamic pricing, and customer personalization.
- Low-cost carriers continue to gain share with simplified fleets and point-to-point networks.
- Loyalty programs are becoming major profit centers through banks and co-branded cards.

Risks

- Fuel price volatility can rapidly erode profitability due to limited hedging options.
- Labor disputes and union negotiations can cause service disruptions and cost increases.
- Economic downturns reduce business travel demand, leading to sharp revenue declines.
- Geopolitical tensions and regulatory changes can impact international routes and safety compliance.
- Increasing competition from low-cost carriers pressures fares and compresses margins.

Industry Primers – Automotive

Key Ideas

- Highly capital-intensive industry
- Long product development cycles
- Highly regulated (safety & emissions)
- Global supply chains
- Heavy reliance on Tier-1 suppliers
 - Supplier power is high
- High working capital
- Barriers to entry is high
- Unionification of labors
 - Employee power is high

Revenue

- New vehicle sales
- Financing & leasing income
- After-sales services (parts, repairs)
- Fleet & commercial vehicle sales
- Software / connected services
- Used car sales
- Certified pre-owned (CPO) programs

Costs

Fixed Costs

- Plant & machinery
- R&D
- Corporate SG&A
- Dealer network incentives
- Software & platform development

Variable Costs

- Raw materials (steel, aluminum, lithium)
- Components
- Labor
- Logistics & freight
- Warranty costs

Trends

- EV adoption is accelerating as governments push stricter emission standards and consumers seek cleaner alternatives.
- Automakers are shifting toward software-defined vehicles, adding over-the-air updates and paid digital features.
- Supply chains are being reorganized to reduce dependency on Asia and improve resilience after recent disruptions.
- Autonomous and advanced driver-assistance systems continue to attract heavy R&D investment across the industry.
- OEMs are expanding into direct-to-consumer and subscription models to improve margins and customer loyalty.

Risks

- Commodity and battery material price volatility can quickly erode profit margins in both ICE and EV models.
- Semiconductor shortages and global logistics bottlenecks continue to threaten production stability.
- Automakers face high recall and warranty exposure, which can damage brand trust and financial performance.
- Regulatory changes, especially around emissions and safety, can force costly redesigns and compliance investments.
- Increasing competition from EV startups and tech players (e.g., Tesla, BYD) pressures legacy OEMs' pricing and market share.

Industry Primers – Commercial Banking

Key Ideas

- Highly regulated industry (FDIC, OCC, Federal Reserve)
- Trust-driven business with strict compliance
- Balance-sheet-intensive with tight capital adequacy rules
- Revenue depends on interest rates
- High switching costs but strong competition from fintechs
- Strong reliance on regional presence and relationship banking

Revenue

- Net interest income (loans minus deposit costs)
- Transaction fees (payments, cash management)
- Wealth management & advisory services
- Loan origination & servicing fees
- Treasury management & FX services
- Credit card and merchant fees
- Trading and investment income (for larger banks)

Costs

Fixed Costs

- Branch network operations & rent
- Corporate SG&A
- Core banking technology & cybersecurity
- Regulatory reporting & risk management

Variable Costs

- Credit defaults
- Deposit interest expenses
- Customer acquisition
- Transaction processing costs
- Incentive commissions

Trends

- Rising adoption of digital and mobile banking is reducing the need for physical branches.
- Higher interest rate environments boost bank margins, while lower rates compress profitability.
- Fintech competitors are gaining traction through faster onboarding and innovative products.
- Advanced analytics and AI are being used for fraud detection, credit scoring, and personalization.
- Banks are increasing investments in cybersecurity as digital volumes and threats grow.

Risks

- Credit risk increases during economic downturns, leading to higher loan-loss provisions.
- Cybersecurity breaches can damage trust and result in heavy regulatory penalties.
- Rapid interest rate changes can impact net interest margins and loan demand.
- Compliance failures may trigger fines, operational restrictions, or reputational damage.
- Competition from fintechs and neobanks can reduce fee income and customer loyalty.

Industry Primers – Consumer Goods

Key Ideas

- Highly competitive industry with strong brand and shelf-space battles
- Product innovation, marketing, and distribution are major success drivers
- Consumer behavior heavily influenced by trends, price sensitivity, and brand loyalty
- Retailers hold significant power over assortment and placement
- Supply chain efficiency drive margins
- Increasing importance of sustainability and transparent sourcing

Revenue

- Sales of packaged goods across retail channels
- E-commerce and direct-to-consumer (DTC) sales
- Licensing and brand partnerships
- New product launches and line extensions
- Private-label or white-label manufacturing
- International and emerging-market expansion
- Seasonal and promotional sales uplift

Costs

Fixed Costs

- Manufacturing plants & equipment
- Corporate SG&A
- Brand building and advertising
- Quality assurance and regulatory compliance
- Distribution center overhead

Variable Costs

- Raw materials
- Packaging components
- Production labor
- Freight, logistics, and last-mile delivery
- Slotting fees
- Returns, spoilage, and shrink

Trends

- Strong growth in DTC channels and subscription-based replenishment models.
- Increasing consumer demand for clean labels, natural ingredients, and sustainable packaging.
- Supply chain digitization and automation to reduce cost and increase resilience.
- Heavy use of data analytics to optimize pricing, promotions, and assortment.
- Rising influence of influencers and online communities on product discovery.

Risks

- Volatile input costs (commodities, packaging materials) pressure margins.
- Retailers leveraging private-label brands to compete directly with manufacturers.
- Shifts in consumer preferences can quickly render products outdated.
- Supply chain disruptions can create stockouts or excess inventory.
- Marketing or product-quality failures can hurt brand trust and lead to recalls.

Industry Primers – Healthcare

Key Ideas

- Complex ecosystem with multiple stakeholders
- Demand is steady and non-cyclical
- Fragmented system (payers, providers, pharma, PBMs, devices)
- Heavy reliance on insurance reimbursement
- High barriers to entry due to clinical, regulatory, and tech requirements
- Strong focus on quality and patient outcomes
- Increasing digitalization across care delivery and administration

Revenue

- Patient services (inpatient, outpatient, emergency)
- Insurance reimbursements
- Specialty services (surgery, imaging, diagnostics)
- Pharmacy & therapeutic services
- Value-based care programs & capitated payments
- Telehealth and virtual care revenue
- Ancillary services (labs, rehabilitation, wellness)

Costs

Fixed Costs

- Clinical staff salaries
- Facilities and medical equipment
- IT infrastructure, EHR, cybersecurity
- Regulatory compliance
- Administration

Variable Costs

- Medical supplies & consumables
- Contracted services (labs, imaging)
- Patient-specific diagnostics & tests
- Specialized equipment rentals

Trends

- Rapid growth in telehealth and remote patient monitoring after pandemic adoption.
- Shift toward value-based care models that reward outcomes over volume.
- Consolidation across providers, payers, and health systems to achieve scale.
- Increased focus on data interoperability and improving EHR usability.
- Rising consumer expectations for convenience, digital access, and transparency.

Risks

- Regulatory changes (e.g., Medicare/Medicaid rules) can significantly affect reimbursement.
- Labor shortages among nurses and clinicians increase wage pressure and limit capacity.
- Cybersecurity risks pose major threats due to sensitive patient data.
- Medical malpractice liability remains a financial and reputational risk.
- High-cost inflation in drugs and supplies can compress provider margins.

Industry Primers – Insurance

Key Ideas

- Strict solvency and capital requirements
- Long-term liabilities must be matched with predictable assets
- Premium pricing depends on actuarial models and risk selection
- High customer inertia but increasing competition from digital insurers
- Claims management and fraud prevention are critical cost drivers
- Distribution through agents, brokers, and direct digital channels

Revenue

- Premiums from life, health, auto, home, and commercial policies
- Investment income on reserves and float
- Policy fees and administrative charges
- Reinsurance arrangements
- Ancillary products (warranties, specialty coverage)
- Commission income from partnerships and brokers

Costs

Fixed Costs

- Corporate SG&A
- Claims infrastructure
- Agent/broker networks and sales staff
- Technology platforms
- Marketing & brand development

Variable Costs

- Claims payouts & settlements
- Reinsurance premiums
- Loss adjustment expenses
- Customer acquisition
- Fraud investigation and legal claims

Trends

- Insurtechs are modernizing underwriting, claims, and distribution through AI and automation.
- Data analytics and telematics are improving risk assessment and personalized pricing.
- Growth of embedded insurance models within e-commerce and fintech platforms.
- Climate change is increasing catastrophe risk, challenging property insurance models.
- Consumers are shifting to digital channels for policy purchase and claim submission.

Risks

- Catastrophic events (wildfires, hurricanes) can create large unexpected losses.
- Regulatory changes can affect pricing, reserve requirements, and product availability.
- Fraudulent claims lead to higher loss ratios and increased investigative costs.
- Poor underwriting practices can result in unprofitable risk pools.
- Prolonged low interest rates reduce investment income and squeeze margins.

Industry Primers – IT/Tech

Key Ideas

- Fast-paced innovation with short product lifecycles
- Highly scalable business models with low marginal cost
- Network effects and platform ecosystems drive market power
- High R&D intensity and reliance on top technical talent
- Strong cybersecurity and data governance requirements

Revenue

- Software subscriptions (SaaS / cloud services)
- Hardware sales (devices, servers, components)
- Licensing & maintenance fees
- Advertising & data monetization
- Professional services & implementation
- Marketplace commissions & transaction fees
- Managed IT & cybersecurity services

Costs

Fixed Costs

- R&D
- Data centers, cloud infrastructure, networking
- Corporate SG&A
- Sales & marketing
- Software platforms, tools, cybersecurity systems

Variable Costs

- Customer support & service operations
- Cloud usage fees
- Third-party API / software licensing
- Partner commissions
- Hardware components

Trends

- AI and automation are transforming software, customer experience, and enterprise workflows.
- Cloud migration continues as companies shift from on-prem to SaaS and hybrid architectures.
- Cybersecurity investment is rising due to increased attacks and regulatory scrutiny.
- Platforms are expanding ecosystems through APIs, marketplaces, and integration networks.
- Companies are investing heavily in data infrastructure, analytics, and machine learning capabilities.

Risks

- Data breaches or outages can cause major reputational and financial damage.
- Rapid technological change can make existing products obsolete.
- Talent shortages in engineering and cybersecurity drive up labor costs.
- Regulatory pressures around privacy, antitrust, and AI usage are increasing globally.
- High customer concentration or churn can destabilize recurring revenue models.

Industry Primers – Oil & Gas

Key Ideas

- Highly cyclical industry driven by global supply–demand dynamics
- Capital-intensive exploration, production, and refining processes
- Prices heavily influenced OPEC decisions
- High upfront investment
- Significant environmental, safety, and regulatory requirements
- Integrated value chain
- Large exposure to commodity price volatility

Revenue

- Crude oil production & sales
- Natural gas production & LNG exports
- Refined product sales (gasoline, diesel, jet fuel)
- Petrochemicals & specialty chemical products
- Pipeline transport fees (midstream)
- Trading & commodity hedging income
- Retail fuel station operations

Costs

Fixed Costs

- Exploration & drilling equipment
- Plant maintenance
- Pipelines and storage infrastructure
- Corporate SG&A
- Long-term regulatory obligations

Variable Costs

- Extraction costs
- Transportation and pipeline tariffs
- Labor for field operations
- Energy usage and water for drilling/refining
- Repair costs

Trends

- Global shift toward decarbonization driving investment in renewables and lower-carbon fuels.
- Increased LNG demand as countries transition away from coal.
- Digital transformation improving predictive maintenance and production efficiency.
- Consolidation among operators as smaller players struggle with cost pressures.
- Rising interest in carbon capture, utilization, and storage (CCUS) technologies.

Risks

- Oil price volatility can cause large swings in profitability and capital spending.
- Environmental and safety incidents can lead to severe financial and reputational damage.
- Regulatory pressure around emissions, methane leaks, and ESG compliance is increasing.
- Geopolitical instability in producing regions disrupts supply chains and pricing.
- High capital intensity exposes companies to long payback periods and financing risk.

Industry Primers – Pharmaceuticals

Key Ideas

- Extremely R&D-intensive industry with long development timelines
- High failure rates and heavy regulatory oversight (FDA, EMA)
- Complex value chain: research → clinical trials → manufacturing → distribution
- Pricing and market access heavily influenced by payers and reimbursement systems
- Global scale required for launches, trials, and manufacturing

Revenue

- Branded drug sales (prescription products)
- Specialty and biologic therapies
- Vaccines and immunotherapies
- Generic drug sales
- Licensing and royalty income
- Contract manufacturing and partnerships
- OTC and consumer health products

Costs

Fixed Costs

- R&D (discovery, preclinical, clinical)
- Regulatory compliance
- Manufacturing facilities and quality systems
- Corporate SG&A
- Patent and IP management

Variable Costs

- API procurement and raw materials
- Packaging and distribution
- Contract research and clinical trial costs
- Sales force and promotional spend
- Royalties

Trends

- Rapid growth in biologics, gene therapies, and personalized medicine.
- Increasing reliance on AI/ML to accelerate discovery and trial optimization.
- Patent cliffs are driving more acquisitions and in-licensing of late-stage assets.
- Greater regulatory focus on pricing transparency and access.
- Shift toward specialty drugs and orphan indications with higher margins.

Risks

- Clinical trial failures can eliminate years of investment.
- Patent expirations significantly reduce revenue due to generic competition.
- Regulatory delays or non-approvals can push back product launches.
- Pricing pressure from governments, PBMs, and insurers reduces margins.
- Manufacturing quality issues can trigger recalls and supply disruptions.

Industry Primers – Private Equity

Key Ideas

- PE firms buy companies, improve operations, and sell them for a return
- Heavy use of leverage (LBOs) to amplify equity returns
- Value creation driven by revenue growth, cost reduction, and multiple expansion
- Strong focus on due diligence, industry expertise, and portfolio monitoring
- Exit paths include strategic sale, secondary sale, or IPO

Revenue

- Management fees charged to LPs (usually 1–2%)
- Carried interest (share of investment profits, typically 20%)
- Monitoring and transaction fees from portfolio companies
- Dividend recapitalizations
- Realized gains from exits
- Fundraising and co-investment economics

Costs

Fixed Costs

- IB salaries and bonuses
- Corporate SG&A
- Deal sourcing infrastructure and research tools
- Office expenses and travel
- Technology and data subscriptions

Variable Costs

- Transaction due diligence (consultants, legal, accounting)
- Deal-related financing costs
- Success-based advisor fees

Trends

- Growing focus on operational value creation rather than financial engineering.
- Expansion into growth equity, credit funds, and infrastructure investments.
- Increased competition driving up entry multiples and reducing easy returns.
- ESG and responsible investing influencing deal selection and reporting.
- Longer hold periods and continuation funds becoming more common.

Risks

- High leverage increases default risk during economic downturns.
- Rising interest rates reduce debt affordability and deal volume.
- Overpaying for assets limits future returns and exit opportunities.
- Regulatory scrutiny around fees, disclosures, and antitrust issues is increasing.
- Limited exit windows can delay distributions and hurt fund performance.

Industry Primers – Retail

Key Ideas

- Highly competitive industry with thin margins
- Success depends on assortment, pricing, location, and supply chain efficiency
- Mix of brick-and-mortar and e-commerce channels
- High seasonality and demand volatility
- Customer experience and brand loyalty drive repeat purchases
- Inventory management is a critical capability
- Increasing importance of data, personalization, and digital marketing

Revenue

- In-store product sales
- E-commerce and omnichannel sales
- Private-label brands
- Loyalty programs and membership fees
- Delivery and service fees
- Advertising income from vendor partnerships
- Returns processing and liquidation income

Costs

Fixed Costs

- Store rent and utilities
- HQ SG&A
- Marketing
- Supply chain infrastructure (DCs, warehouses)
- Technology (POS systems, ecommerce)

Variable Costs

- COGS Store labor and hourly wages
- Shipping, last-mile delivery, and packaging
- Payment processing fees
- Inventory spoilage and returns
- Promotions

Trends

- Rapid shift toward omnichannel retail, including buy-online-pickup-in-store (BOPIS).
- Growing private-label penetration to improve margin and differentiation.
- Supply chain automation and robotics for faster replenishment.
- Retail media networks becoming a major profit driver.
- Increasing consumer demand for sustainable products and transparent sourcing.

Risks

- Supply chain disruptions can lead to stockouts or excess inventory.
- High competition drives price wars and margin pressure.
- Shifts in consumer spending due to economic downturns affect demand.
- Rising labor costs and turnover challenge store operations.
- Technology failures or cybersecurity risks disrupt omnichannel performance.

Industry Primers – Telecommunications

Key Ideas

- Capital-intensive industry with high fixed network costs
- Highly regulated with strict spectrum licensing
- Network quality, coverage, and speed are major competitive differentiators
- Revenue depends on subscriber base, ARPU, and churn management
- High switching costs but strong competition among major carriers
- Convergence of mobile, broadband, and media services

Revenue

- Mobile voice, data, and messaging plans
- Broadband (fiber, cable, wireless)
- Device sales and financing
- Enterprise network services and managed IT
- Value-added services (cloud, IoT, security)
- Wholesale network access and roaming fees
- Digital media, content bundles, and streaming partnerships

Costs

Fixed Costs

- Network infrastructure
- Spectrum licenses and renewal fees
- IT systems, OSS/BSS platforms
- Corporate SG&A
- Marketing and brand investments

Variable Costs

- Network usage and maintenance
- Customer service
- Retail operations and commissions
- Device procurement for handset plans
- Installation and field technician labor

Trends

- 5G and 6G (in places) adoption enabling faster speeds, low latency, and new enterprise applications.
- Convergence of telecom with media, cloud, and IoT ecosystems.
- Growing demand for fiber broadband driven by remote work and streaming.
- Expansion of private networks for industrial automation and smart cities.
- Increased use of AI for network optimization and predictive maintenance.

Risks

- Heavy capital expenditure requirements limit flexibility during downturns.
- Regulatory actions on spectrum, privacy, and competition can affect profitability.
- Cybersecurity threats pose major operational and reputational risks.
- Price competition and unlimited data plans reduce ARPU.
- Technology shifts (e.g., satellite internet) may disrupt traditional network models.

The Fuqua Casebook

This section includes 9 brand new cases across a variety of dimensions, including case type, industry, firm style, and difficulty.



MedTech Co

Industry Healthcare

Case Type Profitability

Firm Style BCG

Quantitative Difficulty Easy

Qualitative Difficulty Medium

Behavioral Questions

1. Tell me about a time when you used data to solve a problem?
2. Tell me about a time when you made decision with incomplete info?

Author: Anna Walsh (Fuqua '26)

Prompt

Your client, MedTech Co, is a US-based, mid-sized medical technology manufacturer with five major product lines: diagnostics, surgical tools, monitoring, orthopedic devices, and laboratory equipment.

The company has faced declining profitability in recent years. The CEO has asked for a recommendation on how to optimize their product portfolio.

Interviewer Guidance

- **Case Steps**

- Exhibit #1: Product Line Financials
- Brainstorm #1: Optimization of Portfolio
- Exhibit #2: Positioning
- Brainstorm #2: Improve Profitability

- **Clarifying Information (If Prompted)**

- **Objective:** Focus on high-growth, high-margin product lines; potentially exit or restructure underperforming segments
- **Model:** Primary customers are hospitals and integrated health systems, with some sales to outpatient clinics and labs. Diagnostics and Monitoring lines include bundled hardware + software + service contracts (with higher recurring revenue). Surgical Tools & Lab Equipment lines are more transactional, with lower recurring revenue
- **Timeline:** Recommendation due in ~2 weeks, with staged rollouts over the next 18 months

Financial Performance

- **Cost Levers**
 - Fixed: Corporate SG&A, Factory Overheads, R&D, Regulatory
 - Variable: Raw materials, direct production labor per unit
- **Revenue Levers**
 - Grow sales through new customer segments, cross-selling across hospitals, expanding distribution, and improving salesforce effectiveness
 - Raise prices where clinically differentiated, shift customers toward higher-margin products
- **Profitability**
 - Profits by product line

Market Attractiveness

- **Information on Market**
 - Market size by segment
 - Growth Trends by segment
- **Information on Competitors**
 - Relative market share
 - Differentiators
 - Technology disruption
 - Investments made
- **Information on Customers**
 - Customer pain-points
 - Customer willingness-to-pay

Strategic & Operational Fit

- **Cost Synergies**
 - R&D
 - Manufacturing
 - Salesforce
- **Revenue Synergies**
 - Cross-selling
 - Bundled sales opportunities
- **Strategy**
 - Alignment with MedTech Co's long-term strategy
 - Brand positioning

Exhibit #1 – Product Line Financials

Product Line	Revenue (\$M)	Variable Cost (\$M)	Fixed Cost (\$M)
Diagnostic Imaging	120	40	20
Surgical Tools	80	30	20
Patient Monitoring	60	20	25
Orthopedic Devices	40	15	15
Lab Equipment	30	10	20

Exhibit #1 – Interviewer Guidance

Exhibit Figures

- Candidate should calculate profit and margins for each product line:
 - Profit = Revenue – (Variable + Fixed Costs)
 - Profit Margin = Profit ÷ Revenue
- Candidate should compare across lines, noting:
 - Diagnostic Imaging: Very high profitability (50% margin), strong absolute contribution
 - Surgical Tools: High margins (37.5%), solid profit
 - Patient Monitoring and Orthopedic Devices: Profitable but weaker (25% margin, lower absolute profit)
 - Lab Equipment: Breakeven/unprofitable
- Strong candidates will also comment on fixed vs. variable cost structure and which lines may benefit most from scaling or cost rationalization.

Exhibit calculations

Product Line	Revenue (\$M)	Variable Cost (\$M)	Fixed Cost (\$M)	Profit (\$M)	Profit Margin (%)
Diagnostic Imaging	120	40	20	60	50.0
Surgical Tools	80	30	20	30	37.5
Patient Monitoring	60	20	25	15	25.0
Orthopedic Devices	40	15	15	10	25.0
Lab Equipment	30	10	20	0	0.0

Brainstorm #1 – Optimization of Portfolio

Brainstorm Notes

- **Prompt:** What other factors would you consider when determining how to optimize MedTechCo's portfolio?
 - **Market Trends**
 - > Future growth potential
 - > Technology disruption
 - > Regulatory outlook
 - > Relative market share
 - > Barriers to entry
 - **Strategic Fit**
 - > Shared manufacturing
 - > R&D synergies
 - > Alignment with long-term strategy
 - > Brand strength
 - > Innovation pipeline

Interview Guidance

- The list on the left is non-exhaustive and answers can go in many directions; this brainstorm is intended to test the candidate's creative thinking
- The brainstorm should be structured. If candidate mentions market share, growth, etc., show Exhibit 2. If not, nudge them toward it.)

Exhibit #2 – Positioning

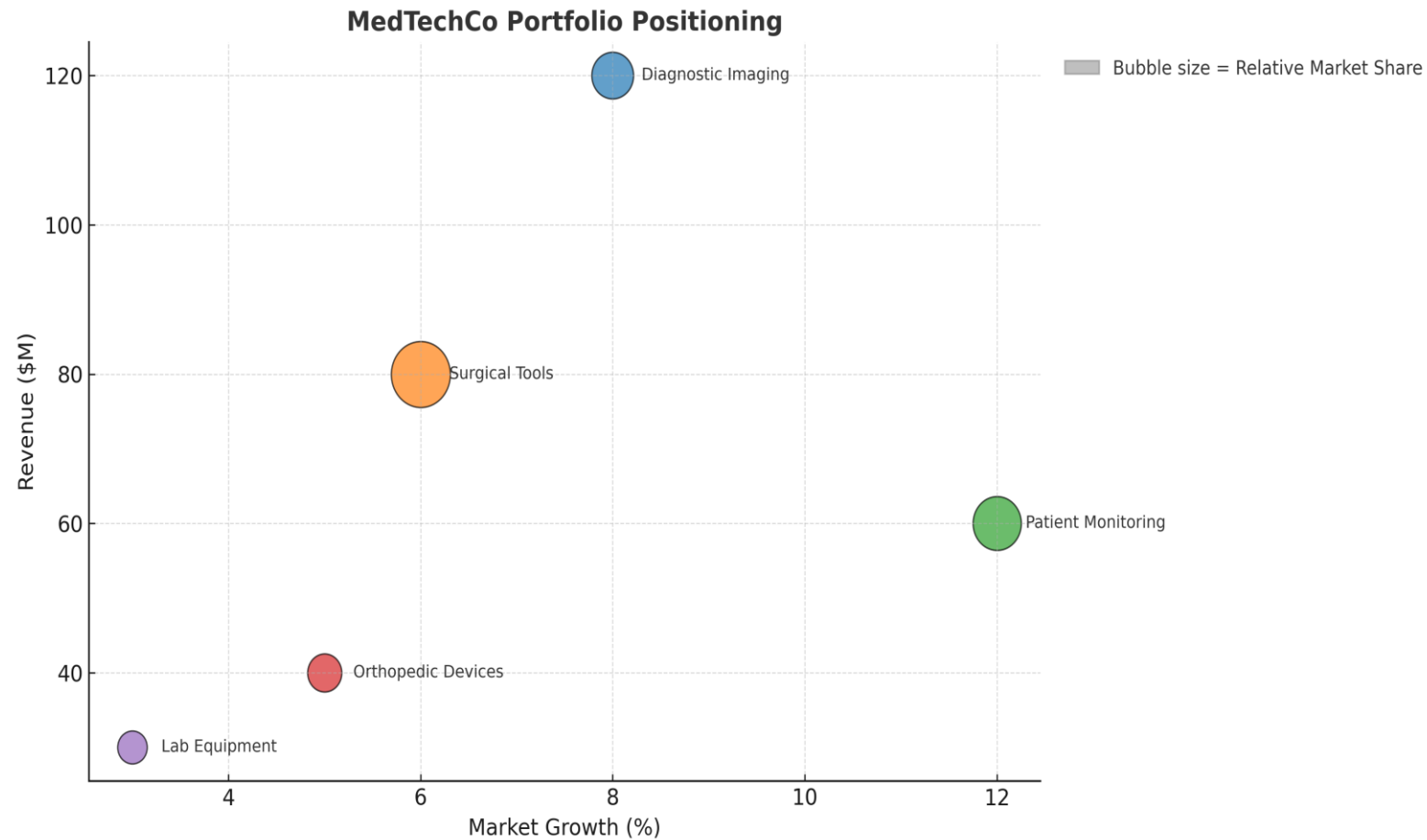


Exhibit #2 – Interviewer guidance

Exhibit Notes

- Candidates should combine Exhibit 1 profitability with Exhibit 2 market attractiveness and competitive positioning. Possible insights include:
 - Lab Equipment → Low revenue, low growth, low share. Mature/commoditized business; likely divest/exit.
 - Patient Monitoring → Low revenue today but high market growth. Strong future opportunity despite margins.
 - Surgical Tools → Profitable, moderate growth, strong position. Attractive for reinvestment.
 - Diagnostic Imaging → High profit, but market may be mature/competitive. Weigh profitability vs. difficulty of growing further.
 - Orthopedic Devices → Mid-level margins, modest growth, competitive market. Candidate could suggest restructuring or selective investment.
- Overall expectation: Candidate synthesizes financials (Exhibit 1) with market dynamics (Exhibit 2) and frames portfolio moves as Grow / Maintain / Exit.

Brainstorm Notes

- **Prompt:** What are some ways to increase the profitability of MedTechCo's portfolio?
 - **Revenue levers**
 - > Grow share in attractive markets
 - > Expand recurring revenue
 - > Offer premium/differentiated products
 - > Cross-sell product line
 - **Cost Levers**
 - > Reduce fixed/variable costs
 - > Renegotiate contracts
 - > Achieve economies of scale
 - > Share R&D/manufacturing across product lines

Interview Guidance

- The list on the left is non-exhaustive and answers can go in many directions; this brainstorm is intended to test the candidate's creative thinking
- The brainstorm should be structured.

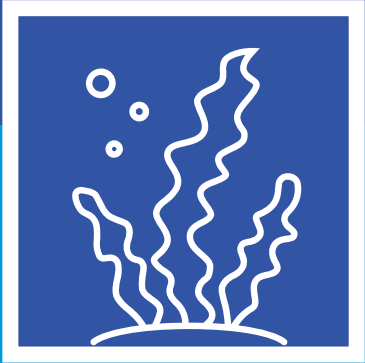
Recommendation & Next Steps

Recommendation

- **Prompt for final recommendation:** The CEO of MedTech Co is ready for your final recommendation.
- We recommend that MedTech Co prioritize growth in Surgical Tools and Patient Monitoring, as these categories offer strong margins, recurring revenue potential, and attractive market growth. We also recommend maintaining Diagnostic Imaging, which remains profitable and can continue funding core operations. Finally, we advise exiting or restructuring Orthopedic Devices and Lab Equipment, given their low contribution and weaker long-term outlook.
- A **strong candidate** may add that MedTech should manage exit costs carefully and reinvest the freed-up resources to scale its high-growth segments faster.

Risks & Next Steps

- **Risks**
 - Exiting lines may weaken bundled sales packages or hospital relationships.
 - Competitors may capture share in divested segments.
 - Market dynamics may shift (e.g., new regulatory approvals).
- **Next Steps**
 - Conduct customer interviews to confirm bundled sales value if weaker lines are cut.
 - Build financial model of divestiture vs. restructuring scenarios.
 - Develop reinvestment plan for Patient Monitoring and Surgical Tools innovation.



The Grass is Greener

Industry Agriculture

Case Type Growth Strategy

Firm Style Bain

Quantitative Difficulty Medium

Qualitative Difficulty Difficult

Author: Anna Walsh (Fuqua '26)

Behavioral Questions

1. When did you sell an idea to your boss? How did you go about it?
2. Tell me about a time when you delegated to get something done?

Prompt

The nonprofit GreenHarvest Alliance (GHA) aims to accelerate the adoption of regenerative agriculture (we'll call it regen for short) practices in the U.S. Regen practices (e.g., cover cropping, reduced tillage, crop rotation) improve soil health, reduce emissions, and increase resilience to climate change.

Despite clear environmental benefits, only ~10% of U.S. farmland currently uses regenerative practices.

GHA's Executive Director has hired Bain to strategize how to increase the number of farmers adopting regenerative agriculture practices.

Interviewer Guidance

- **Case Steps**

- Exhibit #1: Annual Farm Emissions
- Exhibit #2: Adoption Barriers
- Brainstorm: Improve Adoptions
- Exhibit #3: Annual Financial Comparison
- Recommendations and next steps

- **Clarifying Information (If Prompted)**

- **Definition:** Regen ≠ Organic. Organic is a USDA certification with strict rules; regen is broader and focuses on outcomes (soil health, biodiversity). Certification for regen is still evolving and not standardized.
- **Objective:** GHA does not have specific numeric targets for soil carbon or biodiversity. The focus is on increasing farmer adoption and understanding what works.
- **Geography:** U.S. focused. Global regen examples exist, but for this case, assume U.S. farmers, markets, and policy.

The Grass is Greener

Sample Framework

Economics for Farmers

- **Costs**
 - Upfront investments in equipment, seeds, and training required to adopt new practices
 - Higher operating costs for certain practices
- **Revenue**
 - Payments from subsidies, grants, and USDA conservation programs
 - Carbon credit revenue for emissions reductions
 - Potential price premiums from buyers seeking regenerative products
- **Profit**
 - Evaluate profitability
 - Understand payback period

Adoption Barriers

- **Knowledge & Training**
 - Limited technical understanding of regenerative practices
 - Need for on-the-ground support and transition guidance
- **Cultural Dynamics**
 - Farmer risk aversion and reluctance to change established methods
 - Strong influence of peer farmers and local community norms
- **Market Uncertainty**
 - Limited clarity on whether buyers will pay premiums
 - Lack of standardized certification, causing confusion about “regen” labeling

Market & ecosystem factors

- **Buyer Demand**
 - Commitments from grocers, processors, and food manufacturers to source regenerative crops
 - Opportunities for long-term contracts that reduce revenue risk
- **Government Policy & Programs**
 - Crop insurance incentives
 - Conservation grants and USDA payments to support adoption
- **Financing & Partnerships**
 - Low-interest loans, blended finance, or grant funding to offset initial costs
 - Partnerships with universities, co-ops, and NGOs for technical assistance

Environmental Impact

- **Soil & Land Health**
 - Regeneration improves long-term soil productivity,
 - Reduces erosion
 - Increases resilience
- **Climate Benefits**
 - Reduced emissions from improved soil management
 - Carbon sequestration opportunities

Exhibit #1 – Annual Farm Emissions

Average annual farm emissions, in metric tons of carbon dioxide equivalent per hectare

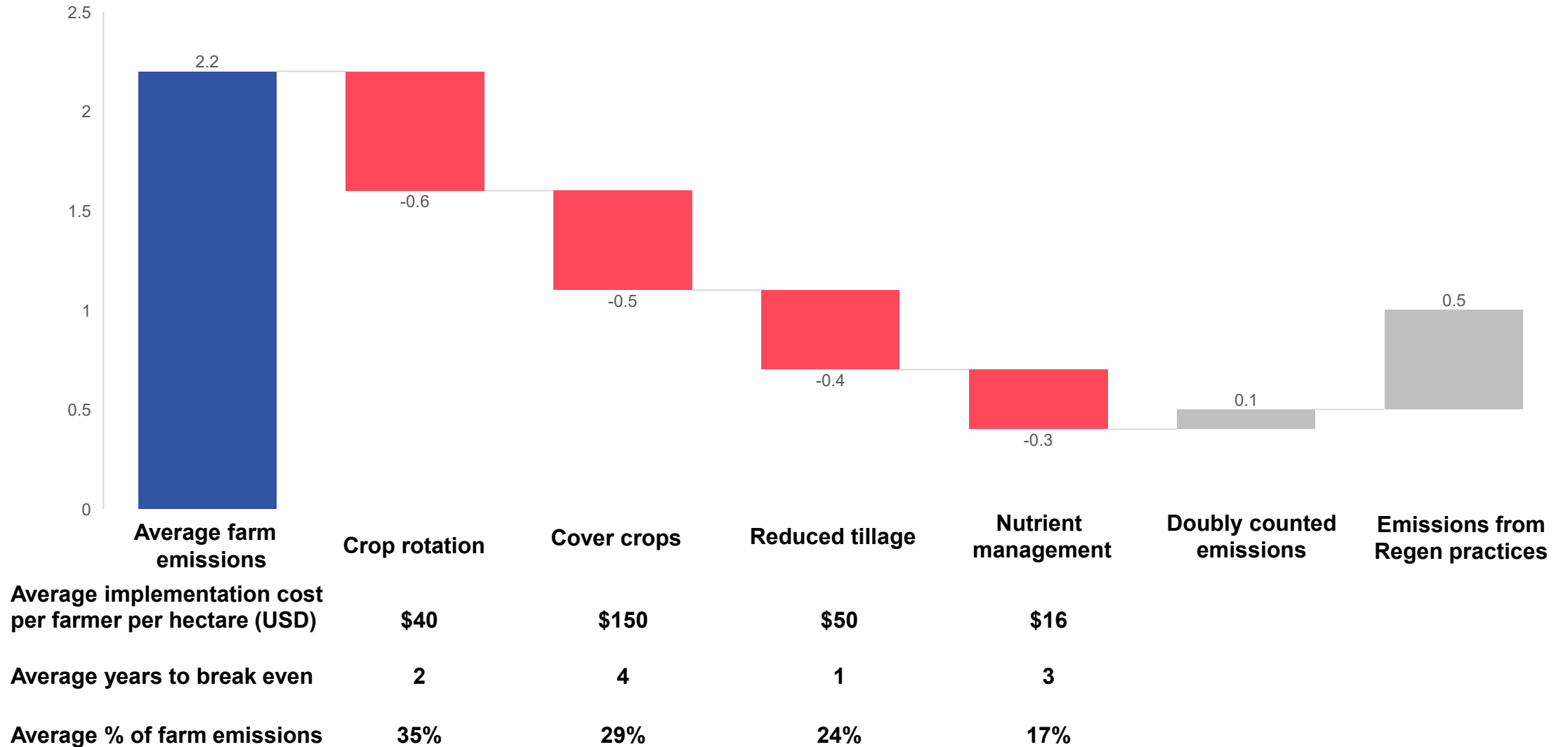


Exhibit #1– Interviewer Guidance

Exhibit Figures

- **Prompt:** Based on this information, which 1–2 practices would you recommend prioritizing adoption of? (No calculations required; more a tradeoff analysis).

A good candidate will mention most of these points:

- Prioritize crop rotation: Largest % of emissions, relatively cheap, breakeven in 2 years.
- Prioritize reduced tillage: Targets 24% of emissions, quick 1-year payback.
- Deprioritize cover crops: High impact but costly, 4-year payback.
- Deprioritize nutrient management: Lowest impact, moderate cost.

Interviewer Guidance + Quant Analysis

How to read the chart:

- Each practice bar: Shows the incremental reduction possible if implemented
 - Crop rotation: –0.6
 - Cover crops: –0.5
 - Reduced tillage: –0.4
 - Nutrient management: –0.3
- Average % of farm emissions: Share of emissions each practice addresses
- Doubly counted reductions: Adjusts for overlap across practices
- Final bar: Regen farms average ~1.0 (half of conventional farms)

Exhibit #2 – Adoption Barriers

Barrier	% of Farmers Citing	Farmer Comments
Upfront costs (equipment, seeds)	60%	“Can’t afford new equipment for cover crops”
Lack of technical knowledge	45%	“Need training on new practices”
Uncertain ROI / yield impacts	50%	“Not sure yields won’t decline”
Market access for regen products	30%	“Don’t know if buyers will pay more”
Risk aversion / peer influence	35%	“No one else around me is doing this”

Exhibit #2 (Qualitative) – Interviewer guidance

Exhibit Notes

- Candidates should recognize that cost, ROI uncertainty, and knowledge gaps are the top barriers.
- A strong candidate identifies solutions tied to the barriers:
 - Grants/loan programs
 - Guaranteed buyer contracts
 - Technical support/peer networks
- If the interviewee mentioned cost/ROI uncertainty, share Exhibit 3. If not, nudge them to think about that.

Brainstorm Notes

- **Prompt:** How can GHA help farmers overcome barriers and adopt regenerative practices?
- **Revenue Levers**
 - Secure buyer commitments/premiums
 - Expand access to carbon markets
 - Introduce long-term purchase guarantees
- **Cost Levers**
 - Grants or low-interest loans
 - Reduce training/onboarding costs
 - Shared machinery/equipment pools
- **Policy Levers**
 - Leverage USDA conservation programs
 - Advocate for crop insurance incentives

Interview Guidance

- The list on the left is non-exhaustive and answers can go in many directions; this brainstorm is intended to test the candidate's creative thinking.
- A **strong candidate** will brainstorm various other financial and non-financial considerations (though not necessarily structured that way) the client needs to consider and focus on to help farmers. These should include factors that impact the ease of training, investment and costs, and risks of uncertain ROI.

Exhibit #3 – Annual Financial Comparison

Metric	Traditional Farming	Regen Ag
Average Yield (bushels/acre)	150	140
Price Premium (\$/bushel)	\$5.00	\$5.50
Average Costs (\$/acre)	\$400	\$420
Carbon Credit Revenue (\$/acre)	\$0	\$20
Subsidies/Grants (\$/acre)	\$0	\$15

Exhibit #3 – Interviewer guidance

Exhibit Notes

- Candidate should realize they can calculate the profitability per acre differential.
- If candidate asks, can clarify:
 1. Acre is an area unit of measurement (~43.6K square feet)
 2. Bushel is a crop market volume measurement unit (not relevant to the math).
 3. We can assume the crop in question is corn (also not super relevant here).
- **Math Solution:**
 - **Traditional Farming**
Revenue: $150 \text{ bushels} \times \$5 = \$750$
Costs = \$400
Profit = \$350/acre
 - **Regenerative Farming**
Revenue: $(140 \times \$5.50 = \$770) + \$20 \text{ carbon credit} + \15 subsidy
Total Revenue = **\$805**
Costs = \$420
Profit = \$385/acre
 - **Regen is +\$35/acre more profitable**, despite slightly lower yields and higher costs.

Recommendation & Next Steps

Recommendation

- **Prompt: GHA's Executive Director is excited to hear your recommendation based on your work so far.**
- We recommend that GHA prioritize scaling two high-impact, fast-payback practices: Crop Rotation and Reduced Tillage. These practices address the largest share of farm emissions and offer the most attractive ROI for farmers.
- We also recommend a three-part strategy to overcome adoption barriers:
 - Reduce upfront costs through grants, low-interest loans, and equipment-sharing models.
 - Lower ROI uncertainty via buyer partnerships.
 - Expand knowledge and community support through farmer-to-farmer mentorship networks.
- A strong candidate may add that GHA should pilot programs in regions with receptive farmer networks to build early momentum.

Risks & Next Steps

- **Risks**
 - Farmer skepticism and cultural resistance
 - Potential changes to subsidies/policies
 - Buyer premiums may erode over time
 - Weather and yield variability
- **Next Steps**
 - Launch pilot financing and training programs in 2–3 priority geographies
 - Secure partnerships with major buyers (grocers, food manufacturers)
 - Build a scalable farmer mentorship network
 - Measure adoption impacts to refine scaling strategy



BioPharma LOE

Industry	Bio-Pharma
Case Type	Cost Reduction
Firm Style	BCG
Quantitative Difficulty	Difficult
Qualitative Difficulty	Difficult

Author: Ben Peace (Fuqua '26)

Behavioral Questions

1. Tell me about a time when you went above and beyond to get something done.
2. How have you in the past diffused a situation with an upset client?

Prompt

Fuqua & Co. is a global BioPharma firm. In 2009, they acquired a smaller player, Kenan-Flagler Co., for \$41B. The key driver was a breakthrough oncology drug, KeyChapel, the first of its kind to selectively target and kill cancer cells.

The acquisition proved far more successful than anticipated. While Fuqua & Co. expected KeyChapel to generate about \$10B in annual sales, the drug has grown to produce ~\$40B annually, making Fuqua & Co. the second largest BioPharma company in the world.

KeyChapel's loss of exclusivity (LOE) is expected in January 2028. At that point, Fuqua & Co. projects a 50% drop in revenues, which would severely impact their business. The client is scrambling to prepare for this shift and has engaged us to help. They have asked us to evaluate how they can right size their operation.

Interviewer Guidance

- **Case Steps**

- Exhibit #1: Pharma Companies Comparison
- Exhibit #2: IT Cost Structure
- Brainstorm: Ways to reduce cost
- Exhibit #3: Outsourcing Potential
- Recommendations and next steps

- **Clarifying Information (If Prompted)**

- **Business Model:** Client sells KeyChapel, the only proven drug on the market that kills cancer cells, as well as an HPV vaccine that has seen shrinking market share domestically and abroad that accounts for 20% of revenues, and a few other drugs making up the remaining revenue.
- **Objective:** Client wants to benchmark their organizational health against their competitors and use this information to target areas for cost reductions. They want to reduce costs by \$4.5B before the LOE for KeyChapel.

Cost Evaluation

- **Current IT Spend Profile**
 - Understand total IT budget and distribution across departments
- **Cost Baseline Drivers**
 - Breakdown of fixed vs. variable IT costs
 - Allocation of costs by job family (e.g., infrastructure, cybersecurity, data engineering)
 - Identify major cost centers contributing to overspend
- **Savings Potential**
 - Compare internal cost per FTE vs. outsourced cost where available
 - Quantify potential savings from outsourcing based on % of job family eligible

External Benchmarking

- **Industry Comparison**
 - Assess how the client's IT spend compares to top biopharma peers (Exhibit 1)
 - Identify gaps in cost ratios (e.g., IT % of revenue, IT headcount productivity)
- **Structural Trends**
 - Outsourcing prevalence across biopharma firms
 - Role of managed services and offshore delivery centers
 - Typical cost reductions seen in industry transitions

Other Considerations

- **Capability & Talent Considerations**
 - Functions requiring in-house expertise (e.g., high-security, regulatory roles)
 - Cultural/organizational readiness for outsourcing
 - Integration complexity with third-party vendors
- **Alignment With Long-Term Strategy**
 - Whether outsourcing supports or undermines future digital ambitions
 - Impact on innovation speed, agility, and data security

Exhibit #1 – Pharma Companies Comparison

Top 5 Biopharma firms P&L (in billions)

	Fuqua & Fuqua	Fuqua & Co.	Pfuquizer	Fuqua Myers Squibb	Eli Fuqua
Revenues	\$90.0	\$66.0	\$60.0	\$48.0	\$42.0
COGS	(30.0)	(22.0)	(20.0)	(16.0)	(14.0)
R&D	(15.0)	(11.0)	(10.0)	(8.0)	(7.0)
IT	(9.0)	(16.0)	(6.0)	(4.8)	(4.2)
Marketing	(9.0)	(6.6)	(6.0)	(4.8)	(4.2)
Profit	\$27.0	\$10.4	\$18.00	\$14.40	\$12.60

Exhibit #1 – Interviewer guidance

Quant Analysis

	Fuqua & Fuqua		Fuqua & Co.		Pfuquizer	Fuqua Myers Squibb		Eli Fuqua		
Revenues	\$	90.00	\$	66.00	\$	60.00	\$	48.00	\$	42.00
COGS		-33%		-33%		-33%		-33%		-33%
RnD		-17%		-17%		-17%		-17%		-17%
IT		-10%		-24%		-10%		-10%		-10%
Marketing		-10%		-10%		-10%		-10%		-10%
Profit Margin %		30%		16%		30%		30%		30%

Next: Given that IT spending is well above industry benchmarks, the team conducted a deeper analysis of the function. The following exhibit outlines the four IT departments and their respective job families to help identify potential cost-saving opportunities.

Exhibit Notes

- If candidate doesn't know where to go, ask them to evaluate the client's spending versus their competitors.
- The candidate needs to recognize the client overspends on IT versus their competitors.
 - All numbers are a variation of 1/3, 1/6, or 1/10 with the exception of Fuqua & Co.'s IT spend which is kept at 16B to allow for easier math later in the case.
- A great candidate will reflect on what it means for the client: They spend 2.4x as much on their IT department versus the industry average.
- An excellent candidate will calculate profit margin as a % for visibility. All firms are 30%, except the client which is 16%

Exhibit #2 – IT Cost Structure

Breakdown of IT costs by department and job family (% of total IT budget)

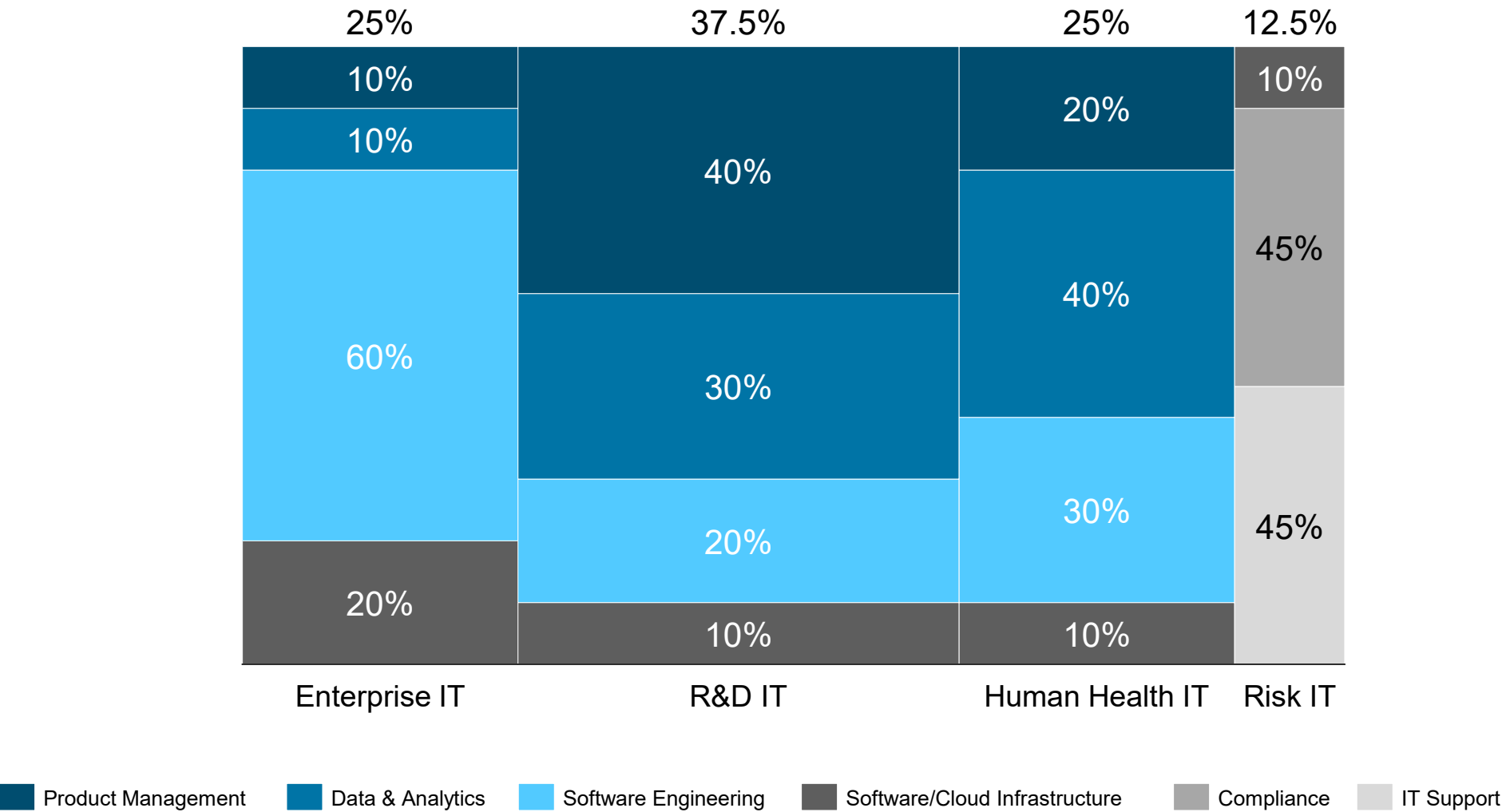


Exhibit #2 – Interviewer guidance

Exhibit Notes

- Candidates may naturally gravitate towards calculating the IT spend per department. See if they present insights as below:
 - Candidate should recognize Risk IT has limited savings potential and disregard the category. Candidate should highlight logics presented.
 - It makes sense for the Enterprise IT to be heavy in software engineering and cloud infrastructure as they own enterprise-wide software and data architecture
 - R&D being predominantly PMs checks out as they have customized products for their research
 - Enterprise IT Software Engineering and R&d IT PM roles are the largest cost generators, and prime for savings.
- Candidate should calculate IT department costs naturally, if not, ask them what they think it costs the client to operate each of the IT departments individually. (16B total IT cost, times the % for each of the departments)
- Common pitfall: candidates may forget to anchor back to the 16B total IT cost.

Next: Given that IT spending is well above industry benchmarks, the team conducted a deeper analysis of the function. The following exhibit outlines the four IT departments and their respective job families to help identify potential cost-saving opportunities.

Quant Analysis

- Note: Interviewer's discretion where to allow rounding/approximation.
- **Ent. IT = 16B x 25% = 4B**
- **R&D IT = 16B x 37.5% (3/8) = 6B**
- **HH IT = 16B x 25% = 4B**
- **Risk IT = 16B x 12.5% (1/8) = 2B**

Brainstorm #1 – Ways to reduce cost

Brainstorm Notes

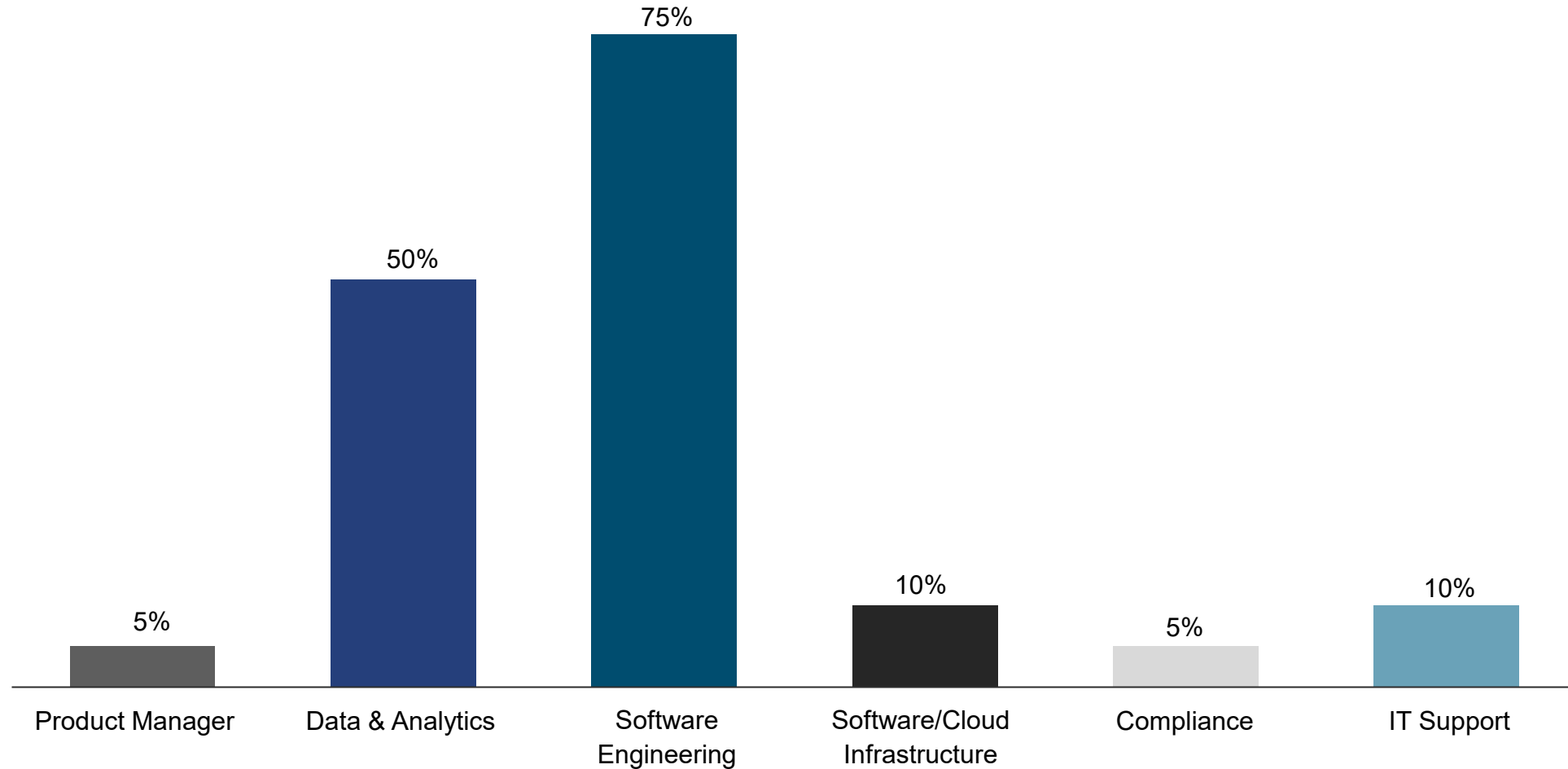
- **Prompt:** What are some ways to reduce Fuqua & Co.'s overall IT costs?
 - **Internal Efficiency Levers**
 - > Offshore transactional and standardized IT functions
 - > Use managed service providers for infrastructure, helpdesk, and data operations
 - > Consolidate redundant software, licenses, and platforms
 - > Standardize tools and reduce customization
 - **External Levers**
 - > Renegotiate pricing on large support contracts
 - > Consolidate vendors to gain scale benefits
 - > Introduce performance-based or outcome-based contracts

Interview Guidance

- Candidate should categorize.
- Data & Analytics: This is just analyzing data that is already gathered and can be sent out of house to conduct. Additionally, AI can be used to analyze data rather than having full staff.
- Software engineering: Coding can be conducted out of house by consultants managed by the PMs. AI can also be used to support and augment staff
- IT Support & Software/Cloud Infra: Okay but they need to recognize sensitive and operationally critical components need to remain in house
- Shouldn't mention PM/Compliance

Exhibit #3 – Outsourcing Potential

% of employees in a job family that can be outsourced



Note: Job families with 10% or less potential are negligible

Exhibit #3 – Interviewer guidance

Exhibit Notes

- Candidate should compute total cost for the 2 identified job families (Data & Analytics, Software Eng.) for only 3 departments.
- \$5.5B is only the total savings found from outsourcing IT jobs. A great candidate should recognize there is a cost associated with doing so, i.e. hiring a firm to now do the work.
- Tell them costs would be 20% of all savings, or $1/5 * 5.5 = 1.1B$ in costs, bringing total savings to 4.4B
- A strong candidate will recall this is shy of the goal by 100M, and brainstorm additional way to close the gap

Quant Analysis

- Formula layout will be Department total cost x job % x savings potential
 - Enterprise IT:
 - > Data & Analytics: $4B \times 10\% \times 50\% = 0.2B$
 - > Software Engineering: $4B \times 60\% \times 75\% = 1.8B$
 - R&d IT:
 - > Data & Analytics: $6B \times 30\% \times 50\% = 0.9B$
 - > Software Engineering: $6B \times 20\% \times 75\% = 0.9B$
 - Human Health IT:
 - > Data & Analytics: $4B \times 40\% \times 50\% = 0.8B$
 - > Software Engineering: $4B \times 30\% \times 75\% = 0.9B$
- Total Potential Savings = \$5.5B

Recommendation & Next Steps

Recommendation

- **Prompt:**
 - The CIO is ready for your final recommendation. What should Fuqua & Co. do?
- **Example Recommendation:**
 - We recommend that Fuqua & Co. should pursue targeted outsourcing of IT job families with meaningful outsourcing potential. They should particularly reduce workforce in the Data & Analytics and Software Engineering job families within Enterprise, R&D and Human Health. This should help Fuqua save approximately \$4.4 billion.

Risks & Next Steps

- **Risks (examples, not limited to the below)**
 1. Outsourcing may introduce data security or compliance challenges
 2. Employee resistance or cultural friction during restructuring
 3. Savings may be offset if outsourcing costs are underestimated
- **Next Steps**
 1. Conduct a vendor RFP (Request for Proposal) and assess outsourcing cost per job family
 2. Align HR on talent implications and develop change management plans
 3. Quantify transition costs and validate net savings



Breaking Out of Boston

Industry	Real Estate
Case Type	Market Entry
Firm Style	McKinsey
Quantitative Difficulty	Easy
Qualitative Difficulty	Medium

Author: Carlos Ochoa (Fuqua '26)

Behavioral Questions

1. Tell me about a time when you went above and beyond to get something done.
2. How have you in the past diffused a situation with an upset client?

Prompt

Our client is Future Builders (FB), a Boston-based educational non-profit founded 10 years ago. FB provides intensive STEM and vocational training programs for underserved high school students, combining classroom instruction with hands-on mentorship and access to specialized lab spaces.

The program has been highly successful in Boston. Each year, FB enrolls approximately 500 students and places graduates in competitive college programs or directly into skilled vocational careers. However, Boston has reached a point of market saturation. Nearly all of the high-need schools in the city already have access to FB programs, and further growth in Boston would be limited. The Board of Directors has therefore set a new goal: expand FB's impact to other major U.S. cities.

The challenge is that while FB's mission is educational, its operating model is resource intensive. Replicating the Boston model requires significant upfront investment in staff, facilities, and fundraising. At the same time, local philanthropic and government funding varies widely across cities.

FB's leadership team has engaged a consulting firm to advise on its expansion strategy.

As Future Builders considers national expansion, what factors should shape its strategy to maximize educational impact while safeguarding organizational sustainability?

Interviewer Guidance

- **Case Steps**
 - Framework
 - Exhibit #1: Location Information
 - Exhibit #2: Breakeven Analysis
 - Brainstorming

Sample Framework

How attractive is the market?

Unmet Need

- Size of underserved high school population
- Size and structure of school districts (centralized vs fragmented)
- Demographics and trends
- Growth and concentration of underserved populations

What is the competitive landscape?

- Number and strength of existing STEM/Vocational non-profits.
- Intensity of these non-profit's competition for students and funding.
- Potential partnerships with schools, employers, community organizations

What is the financial feasibility?

- **Program Economics**
 - Per-student revenue from district contracts
 - Cost to deliver programs (fixed + variable)
 - Operating margin per student
- **Investment Requirements**
 - Upfront facility and lab buildout
 - Staff hiring and training costs
 - Working capital needs during scale-up
- **Breakeven Dynamics**
 - Time to recover initial investment

What is the operational feasibility?

- **Program Delivery**
 - Ability to replicate Boston's high-touch model
 - Need for local adaptation while preserving core instructional quality
- **Partnerships & Distribution**
 - School district access and willingness to collaborate
 - Potential for community-based, school-embedded, or hub-and-spoke models
- **Talent Availability**
 - Access to qualified instructors, mentors, and lab coordinators
 - Local labor costs and hiring feasibility

Exhibit #1 – Interviewer guidance

Exhibit Notes

Prompt: FB has identified four potential cities for its first major expansion. FB leadership wants to ensure that the first expansion location sets FB up for long-term success.

Which city should FB prioritize for its expansion efforts?

Candidates must structure their thoughts. The ideas may be along these points:

- Techville has the highest unmet need (17K) and great philanthropy, but fragmented districts could make execution tricky.
- Engi City looks great on scale, but competition is high and public funding is weak — strategic misfit for FB's resource-intensive model.
- Mathopolis is eliminated (small unmet need, high costs).
- **Sciencetown has nearly as much unmet need (16K), but combines very high government funding, easier partnerships, and lower costs making it the best financial and operational fit.**

Exhibit #1 – Location Information

Metric	Techville	Sciencetown	Engi City	Mathopolis
Eligible underserved high school students	32,000	20,000	48,000	28,000
Students already served by STEM nonprofits	15,000	4,000	20,000	22,000
Median teacher salary	\$62,000	\$54,000	\$50,000	\$68,000
State government funding per student	Medium	Very High	Low	Low
Partnership accessibility	Medium	High	Low	Low
Philanthropic base strength	Very High	Medium	High	Medium
Competition Intensity	Low	Low	High	Medium

Exhibit #2– Breakeven Analysis

Prompt: The Board is leaning towards a full replication of its Boston operations in Sciencetown. They estimate capturing 37.5% of unmet demand through an initial 3-year contract in which FB can serve that number of students each year for each year in the contract period. Each student generates program revenue from district contracts. Without external donations to finance this expansion yet secured, FB must cover its own upfront investment. Based on the below assumptions, how long would it take for Future Builders to break even?

- Initial Investment (one-time): \$2,550,000
- Annual Fixed Costs: \$1,200,000
- Variable Cost per Student: \$400
- Revenue per Student: \$650

Exhibit #2 – Interviewer guidance

Exhibit Notes

Math (Candidate Should Derive)

- Students FB can serve annually:
 - $16,000 \times 37.5\% = 6,000$ students per year
- Annual contribution margin per student:
 - Revenue – variable cost = $650 - 400 = \$250$
- Annual gross margin from students:
 - $6,000 \times \$250 = \$1,500,000$
- Subtract annual fixed costs:
 - $\$1,500,000 - \$1,200,000 = \$300,000$ annual operating surplus
- Now breakeven:
 - Initial Investment / annual surplus = $\$2,550,000 / \$300,000 = 8.5$ years

Conclusion: Expansion into Sciencetown breaks even after ~8.5 years.

Brainstorm Notes

- **Prompt:** After reviewing the financial projections, the Board turns to broader concerns. They note that while the Boston model has been successful, FB is a new entrant in this city's nonprofit and education market. What strategic considerations should FB focus on to successfully position itself in this new city?
 - **Product**
 - > Adapt Boston program to local needs while preserving quality
 - > Determine whether to fully replicate or modify for Sciencetown context
 - **Price**
 - > Structure district contracts and per-student pricing
 - > Ensure model aligns with state education rules
 - > Blend philanthropy with earned revenue
 - **Place**
 - > Choose operating model: hub-and-spoke lab, school-embedded program, or hybrid
 - > Ensure accessibility for students across districts
 - **Promotion**
 - > Build trust with school districts, local nonprofits, and funders
 - > Demonstrate early proof points and student impact

Interview Guidance

- Candidate should categorize.
- The list on the left is non-exhaustive and answers can go in many directions; this brainstorm is intended to test the candidate's creative thinking.



Big Fat Greek Problem

Industry	Real Estate/Hospitality
Case Type	Growth Strategy
Firm Style	DHL Consulting/Bain
Quantitative Difficulty	Difficult
Qualitative Difficulty	Medium

Author: Dimitris Tentomas (Fuqua '26)

Behavioral Questions

1. What is a situation you wish you would have handled differently?
2. When did you overcome a challenge to build a strong relationship?

Prompt

We are back in 2018, and your client is AthensStay, a real estate management company located in Athens, Greece.

Three years ago, AthensStay shifted its focus toward short-term apartment rentals, offering units through platforms such as Airbnb, VRBO, and Expedia. The company now operates a network of 75 apartments across central Athens. 30 of these apartments are owned directly by AthensStay, while the rest are managed on behalf of third-party owners under a 25% commission structure.

While the first 2 years were financially promising, last year's financial data shows a stagnation in revenues, despite steady growth in overall tourism in Athens.

The company's CEO has asked you to:

- Diagnose the reasons behind this revenue decline.
- Recommend a strategy to restore growth and profitability.

Interviewer Guidance

- **Case Steps**

- Exhibit #1: Apartment occupancy & revenue by size
- Exhibit #2: Athens hotel market
- Brainstorm: Strategic options to respond to competitive pressure Exhibit #3: Renovation economics
- Recommendation & Next Steps

Interviewer Guidance

Clarifying Information (If Prompted)

- **Model:** The company focuses on real estate management of Commercial, Residential, and Touristic properties. Recently, they entered the short-term rentals market without prior experience. Remember, we are in 2018, when this industry was still nascent. AthensStay owns 30 apartments and manages the remaining 45 under third-party contracts. For managed apartments, the company receives a 25% commission on revenues, while all costs are borne by the owners.
- **Competition:** There are not yet major players or large investor influxes into the short-term rentals market.
- **Goal:** The company's strategic goal is to restore historical performance, bringing occupancy rates back to healthy levels and re-establishing revenue growth.
- **Constraints:** There are no financial or budgeting constraints, since other business areas are highly profitable. Leadership is willing to invest to grow the short-term rental business, which they see as a major future opportunity.
- **Geography:** They work in Athens only.

Sample Framework

Internal Performance

- Occupancy rates by apartment type
- Revenue trends (owned vs. managed units)
- Apartment mix (guests per apartment)
- Customer reviews/experience
- Location of apartments

External Market Factors

- Competition from hotels (pricing, availability by room type)
- Tourism trends in Athens (overall demand)
- Alternative accommodations (early Airbnb supply, host quality)

Strategic Options

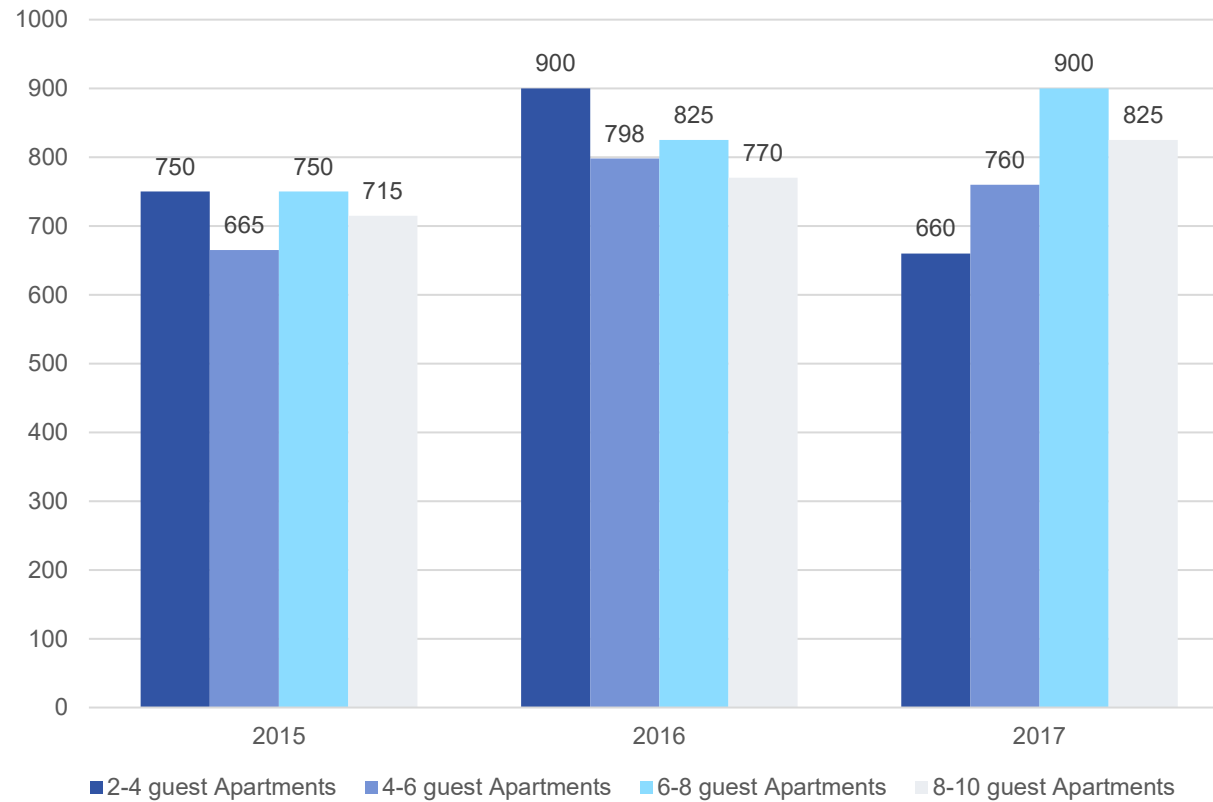
- Renovation / reconfiguration (2–4 to 5–10 guests)
- Exit low-performing units
- Compete on differentiation (amenities, experiences, services)
- Pricing adjustments

Financial & Operational Considerations

- ROI and payback on renovations
- Commission impact (owned vs. managed apartments)
- Capital availability (no constraints, but still must prioritize)
- Risks: downtime, demand uncertainty, regulatory risks (nascent market)

Exhibit #1: Revenue Information

Total Revenues by Apartment Type per Year (€000s)



Apartment Portfolio Mix

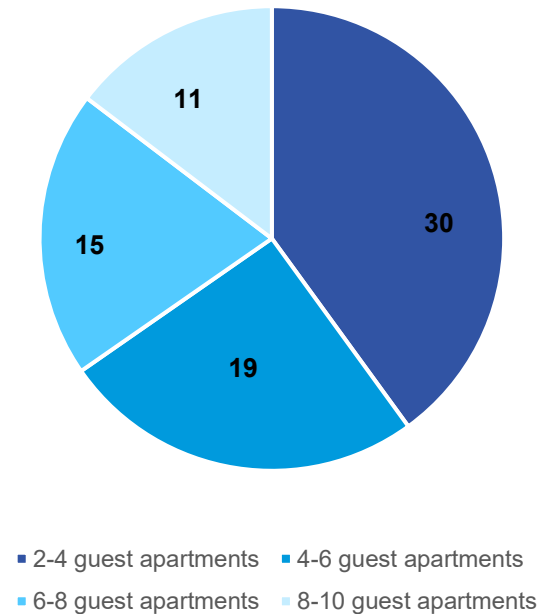


Exhibit #1– Interviewer Guidance

Exhibit Analysis

Interviewer Guidance:

- Total revenues look flat to slightly increasing. A quick glance might mislead the candidate into thinking the business is fine.
- When adjusted for **per-unit revenues**, a very different story emerges:
 - **2–4 guest apartments:** peaked in 2016 (~€30K) but dropped sharply to ~€22K in 2017, with ~€30K in 2015
 - **4–6 guest apartments:** ~€35K in 2015, improved to ~€42K in 2016, then softened to ~€40K in 2017.
 - **6–8 guest apartments:** consistent growth from ~€50K → €55K → €60K.
 - **8–10 guest apartments:** steady growth from ~€65K → €70K → €75K.
- Clear weakness is concentrated in smaller apartments (2–6 guests). Larger apartments (6–10) are stable or growing.

Guidance

- If candidate jumps straight to “the problem is in small apartments” without math, prompt them to calculate the revenue per unit each year.
- If candidate goes into ownership vs. managed too early: *“That’s a good point but let’s put a pin in it, we’ll come back to financial structure later.”*
- Push strong candidates: *“Why do you think small apartments are underperforming while larger ones are growing?”* → sets up **Exhibit 2 (Hotels)**.

Exhibit #2 – Market Information

Tourist Arrivals in Athens by Party Size in 2017 (millions):

1–2 tourists → 4.8M

3–4 tourists → 5.1M

5–6 tourists → 3.0M

7+ tourists → 0.9M

Athens Hotels Performance in 2017

Room Type	# of rooms	Avg Occupancy/ night	Avg Guests/ night	Avg Rate
Double	9,500	85%	1.5	70€
Triple/ Quad	5,000	75%	3.5	120€
Family	1,000	65%	6	320€
Suite	300	60%	8	450€

Note: Each year has 360 nights

Exhibit #2– Interviewer Guidance

Exhibit Analysis

Interviewer Guidance:

- Hotels dominate 1–4 tourist groups: plenty of supply at lower nightly rates.
- Hotels partially cover 5–6 tourists but capacity is limited.
- 7+ tourists (0.9M arrivals) → almost no hotel supply → only apartments can serve this demand.
- Explains why AthensStay's small apartments struggle (competition) while larger apartments thrive.

What Candidate Needs to Calculate:

- Calculate annual tourist capacity by room type: $\text{Rooms} \times \text{Occupancy} \times 360 \text{ days} \times \text{Avg. Guests}$.
- Compare hotel capacity to tourist arrivals → see that hotels can absorb nearly all 1–4 tourists.
- Stronger candidates may also calculate hotel revenues and identify higher margins per guest ($\text{Rooms} \times \text{Occ} \times 360 \times \text{Rate}$).

Quant Guidance

- **Doubles:** $9,500 \times 85\% \times 360 \times 1.5 = \sim 4.4\text{M}$ tourists
- **Triple/Quad:** $5,000 \times 75\% \times 360 \times 3.5 = \sim 4.7\text{M}$ tourists
- **Family:** $1,000 \times 65\% \times 360 \times 6 = \sim 1.4\text{M}$ tourists
- **Suites:** $300 \times 60\% \times 360 \times 8 = \sim 0.5\text{M}$ tourists
- **Total Hotel Capacity (approx.):** $\sim 11.0\text{M}$ tourists/year

Good Candidate Answer:

- Hotels fully cover the 1–4 tourist segments (doubles, triples, quads) → intense competition at lower prices.
- Hotels provide some coverage for 5–6 tourists through family rooms, but supply is limited.
- No meaningful hotel supply for 7+ tourists, leaving that demand largely unmet.

Main Idea: The **family and larger apartment space** (especially 7+) is where AthensStay should focus, since hotels have the weakest coverage there.

Brainstorm #1 – Restore AthensStay's growth

Brainstorm Notes

Prompt: Given hotels' dominance in the small-group market, how could AthensStay respond to improve performance and restore growth?

- **Portfolio Strategy**
 - > Renovate / reconfigure small apartments (2–4, 4–6) into larger units (6+).
 - > Exit or repurpose unprofitable small apartments.
 - > Expand footprint in family (5–6) and group (7+) segments where hotels are weak.
- **Differentiation vs. Hotels**
 - > Offer value-added amenities (concierge, airport transfer, kitchen upgrades).
 - > Partner with local businesses (tours, experiences) to create unique stays.
 - > Target niche traveler groups (digital nomads, long-stay visitors).
- **Pricing & Marketing**
 - > Short-term discounts on small apartments (though not sustainable long term).
 - > Bundle offers (longer stay discounts, group packages).
 - > Reposition brand as the “best option for group travel” in Athens.

Interviewer Guidance

- Strong candidates will **link back to Exhibit 2** and prioritize portfolio strategy (renovation toward 6+ units).
- Weaker candidates may focus heavily on competing with hotels on price → redirect: *“Can we sustainably undercut hotels?”*
- Push strong candidates: *“If we pursue renovations, what factors should we analyze before deciding which apartments to convert?”* → leads directly into **Exhibit 3 (Renovation Economics)**.

Exhibit #3 – Interviewer Guidance

Exhibit Analysis

Prompt: Management has identified two renovation opportunities for specific apartments to improve performance. The goal is to maximize net revenue within the next year. Review the economics below and determine which option AthensStay should prioritize.

Read the information below to the candidate:

Current Unit Type	Renovation Cost per Unit	New Capacity	Expected Annual Revenue per Unit	Identified Apartments
2-4 guest Apt	30k €	6-8	60k €	10 owned 10 managed
4-6 guest Apt	40k €	8-10	70k €	5 owned 10 managed

If candidate forgets about the 25% revenue share for managed units, remind them that AthensStay only keeps 25% of revenues, though it bears no costs.

Quant Guidance

- 1st Year Net Revenue per 2-4 guest apartment renovated to 6-8 guest apartment
 - Owned: $(60k - 30k) \times 10 = 300k€$
 - Managed: $60k \times (10 \times 0.25) = 150k€$ (does not cover cost of renovation)
 - Total: 450k€
- 1st Year Net Revenue per 2-4 guest apartment renovated to 8-10 guest apartment
 - Owned: $(70k - 40k) \times 5 = 150k€$
 - Managed: $70k \times (10 \times 0.25) = 175k€$ (does not cover cost of renovation)
 - Total: 325k€

Recommendation & Next Steps

Recommendation

Prompt for final recommendation: The CEO of the company is joining the meeting and is eager to hear your recommendation.

Strong Recommendation:

My recommendation is that AthensStay should renovate smaller units into larger apartments, prioritizing the conversion of 2–4 guest units into 6–8 guest units. Exhibit 1 shows that smaller apartments are declining while larger units continue to grow. Exhibit 2 demonstrates that hotels fully serve 1–4 guest groups but provide very limited supply for groups of 6 or more, leaving substantial unmet demand that AthensStay can capture. Exhibit 3 further confirms that renovating into 6–8 guest units generates the highest first-year net revenue (€450K), making it the most financially attractive option.

Risks & Next Steps

Risks:

- Over-renovation may oversupply the 6–8 guest market
- Hotels may expand into larger room categories
- Renovations may temporarily reduce available inventory

Next Steps:

- Pilot renovations in a subset of owned units before scaling
- Validate demand elasticity and pricing for 6–8 guest units
- Assess location-level feasibility (floor plates, building constraints)
- Strengthen marketing targeting group tourists and long-stay customers



Fasten your Seatbelts

Industry	Travel
Case Type	Operations
Firm Style	BCG
Quantitative Difficulty	Medium
Qualitative Difficulty	Medium

Author: Ashish Arora & Sania Shakil (Fuqua '26)

Behavioral Questions

1. How important is diversity for you? Tell me about a time when you managed a diverse team.
2. Tell me about a time you implemented an innovative idea.

Prompt

Our client, Fort North International Airport has seen a **40% increase in passenger complaints** on its feedback portal over the past 6 months. The Airport Director is unsure why the complaints are increasing.

They want your help to diagnose the pain-points of the travelers and identify levers to improve customer satisfaction.

Interviewer Guidance

- **Case Steps**
 - Exhibit #1: Apartment occupancy & revenue by size
 - Exhibit #2: Athens hotel market
 - Brainstorm: Strategic options to respond to competitive pressure Exhibit #3: Renovation economics
 - Recommendation & Next Steps
- **Clarifying Questions:**
 - **Goal:** The client wants to quickly improve customer satisfaction rating so that they can charge airlines higher.
 - **Changes:** There have been few new flights added in the last 1-2 years.
 - **Timeline:** Clients wants to identify the problem as soon as possible and implement changes in the coming months.
 - **Types of passengers:** Both domestic and international.

Sample Framework

Analyze Passenger Experience Journey

- Check-in & queue management
- Security & screening flow
- Boarding experience
- Baggage claim & ground services
- Amenities (food, retail, restrooms, cleanliness)

Evaluate KPIs

- Processing capacity vs. passenger demand
- Staffing levels, training, schedule alignment
- Equipment downtime
- Queue lengths & throughput at each touchpoint
- Flight arrival/departure clustering

Assess Improvement Opportunities

- **Operational metrics**
 - KPIs improved
 - Customer satisfaction achieved
 - Increased inflow of customers
 - More flights coming to the airport
- **Financial metrics**
 - Investment Cost
 - Recurring costs
 - Added revenue, if any
 - Breakeven period

Risks

- **Operational Risks**
 - Disruption during changes
 - Staff training gaps
 - Equipment reliability, if new equipment added
- **Financial Risks**
 - Budget Constraints
 - Cost overruns
 - Low ROI
- **Stakeholder Risks**
 - Labor union resistance
 - Vendor misalignment
 - Airline pushbacks

Exhibit #1: Customer Feedbacks

Complaint ID	Passenger Feedback Excerpt
1	"Check-in line moved way too slowly — took almost 40 minutes."
2	"Most food shops past security were closed or understaffed."
3	"The baggage scanner stopped twice, backing up the security line."
4	"Body scan queue barely moved; passengers were getting anxious."
5	"Signage near security is confusing — I wasn't sure where to queue."
6	"Restrooms near Gate B were dirty and smelled bad."
7	"Hard to hear announcements, everything echoes in the terminal."
8	"Only two ID check counters were open during peak hours."
9	"Security staff seemed overwhelmed and disorganized."
10	"Carts blocking the walkway made the area feel congested."

Exhibit #1– Interviewer Guidance

Exhibit Analysis

What strong candidates should notice immediately:

- Complaints cluster around **operational delays**, especially in the **check-in and security process** (IDs #1, #3, #4, #8, #9).
- This should prompt candidates to hypothesize that **queue management, throughput, staffing, or process flow** may be the root cause.
- The time-related issues appear in **multiple steps**:
 - *Check-in line too slow*
 - *Baggage scanner stopping / backing up*
 - *Body scan queue barely moving*
 - *Only two ID counters open during peak hours*
 - *Security staff overwhelmed*
- A strong candidate should infer that the issue might not be isolated — the **entire security funnel** could be blocked by one **bottleneck**.

Guidance

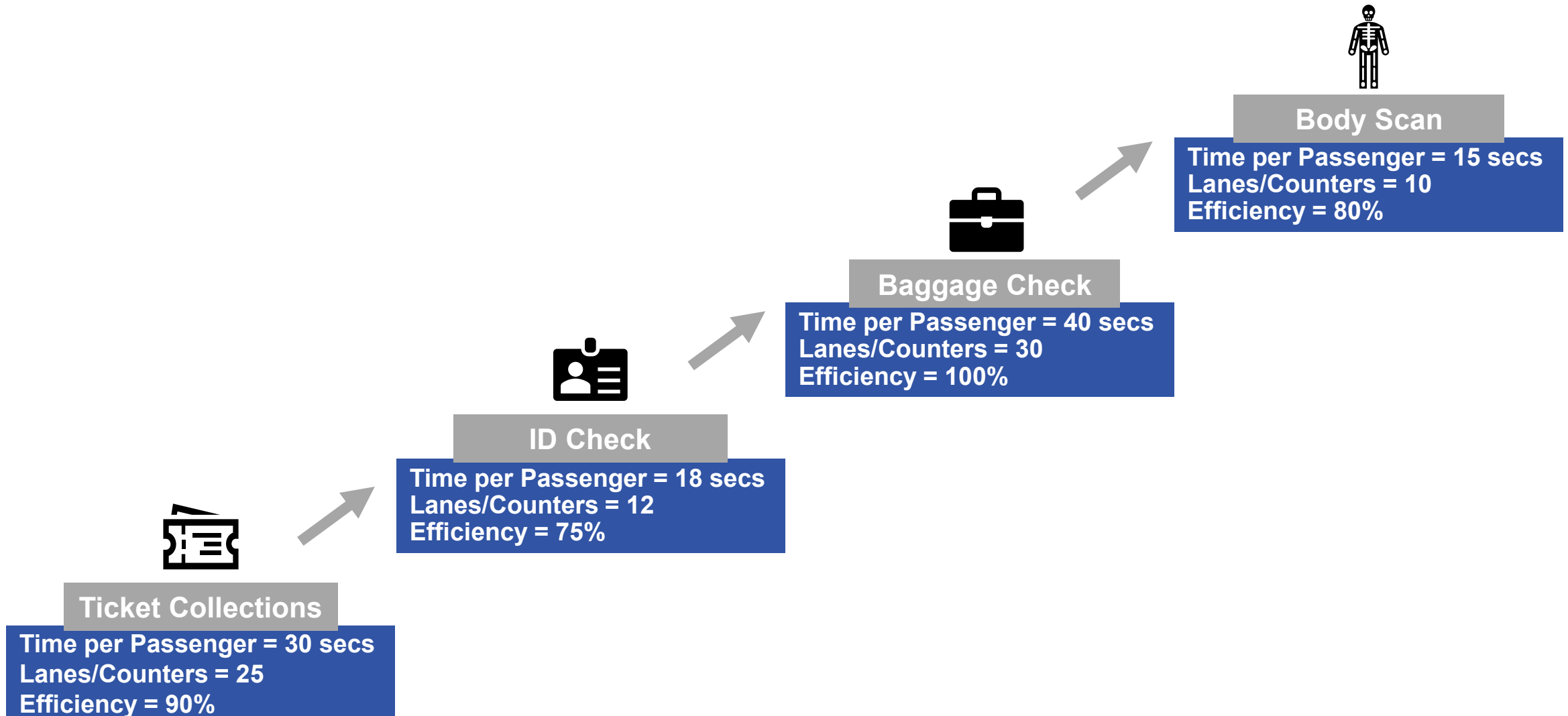
What great candidates will say:

- There are also **non–security complaints** (IDs #2, #5, #6, #7, #10), showing **overall airport experience issues**, but these are:
 - More scattered
 - Less severe
 - Affecting fewer passengers→ A strong candidate distinguishes these from the **primary recurring theme**: operational throughput.

What the candidate should do next:

- Hypothesize a bottleneck and **ask for data**:
 - Passenger volume trends
 - Capacity of each checkpoint stage
 - Staffing schedules
 - Average processing time at each step
 - Variability by time of day or airline bank

Exhibit #2 – Airport Process Flow



*Note: Passengers per day = 35000; Hours open = 15/day

Quant Guidance

- **Passengers per hour = $35000/15 = \sim 2334$**
- **Ticket Collection:** 30 sec / passenger → 120 pax/hr per lane
 - 25 lanes → 3,000 capacity
 - Efficiency 90% → **2,700 passengers/hour**
- **ID Check:** 18 sec / passenger → 200 pax/hr per lane
 - 12 lanes → 2,400 capacity
 - Efficiency 75% → **1,800 passengers/hour (Bottleneck)**
- **Baggage Check:** 40 sec / passenger → 90 pax/hr per lane
 - 30 lanes → 2,700 capacity
 - Efficiency 100% → **2,700 passengers/hour**
- **Body Scan:** 12 sec / passenger → 300 pax/hr per lane
 - 10 lanes → 3,000 capacity
 - Efficiency 80% → **2,400 passengers/hour**

Note to Interviewer

What a strong candidate should do:

- **Identify what the exhibit represents**
 - Recognize this is a **capacity and bottleneck analysis** across four sequential airport processes:
Ticket Collection → ID Check → Baggage Check → Body Scan
- These must be used to compute **actual throughput per hour** for each step and identify that ID check is our bottleneck.
- A strong candidate will also add that body scan is very close to the demand as well and with increased demand shall act as a hurdle.
- Candidates must now ask for information on opportunities to remove this bottleneck.

Brainstorm #1 – Restore AthensStay's growth

Brainstorm Notes

Prompt: So, knowing that ID Check is the bottleneck, what actions can the airport take to improve throughput and reduce wait times?

- **Increase Processing Capacity**

- Add more ID-check counters
- Reallocate staff dynamically
- Introduce express lanes
- Automate ID verification

- **Improve Process Efficiency**

- Streamline queue design
- Clearer signage
- Peak-load planning
- Pre-checking before queue

Interviewer Guidance

- This is a sample answer.
Candidates must structure their thoughts and provide innovative ideas to work around this bottleneck.

Exhibit #3 – Interviewer Guidance

Option A: 5 new lanes added

Metric	Value
Capex (One-time)	\$2.0M
Impact on Throughput	20% more passengers checked every hour
Opex Change	+\$40k/month

Option B: Automated Scanners

Metric	Value
Capex (One-time)	\$6.5M
Impact on Throughput	Slashes time taken per passenger by 1/3rd
Opex Change	+\$10k/month

Option C: Staff Extra Time

Metric	Value
Capex (One-time)	\$0.5M
Efficiency Improvement	Raises efficiency from current level to 100%
Opex Change	+\$50k/month

Exhibit #3 – Interviewer Guidance

Quant Guidance

- **Option A** – Adds 20% throughput $\rightarrow 1,800 \times 1.20 = 2,160$ passengers/hour
 - Still below the required 2,334/hour
 - Therefore: **Does NOT solve the bottleneck**
- **Option B** – Body scan time: 18 sec $\rightarrow$ **12 sec**
- New theoretical capacity:
 - Each lane capacity = $3600 \text{ sec} / 12 \text{ sec} = 300$ passengers/hour
 - 12 lanes $\times$ efficiency (75%) $\approx 2,700$ passengers/hour
 - Significantly over required 2,334/hour, solving the bottleneck
- **Option C** – Increase efficiency to 100%
 - 12 lanes $\times$ $(3600 / 18 \text{ sec}) = 2,400$ passengers/hour
 - At 100% efficiency $\rightarrow \sim 2,400$ /hour
 - Also exceeds the 2,334/hour requirement

Note to Interviewer

- **Both option B and C can resolve the bottleneck.**
- Candidates must give their reasoning to justify which one they prefer.
- **Reasons to prefer option B:**
 - More expensive upfront but cheapest long-term
 - Creates structural, reliable throughput improvement
 - Enhances traveler experience beyond just speed
 - Decreases operational risk
- **Reasons to prefer option C:**
 - Lowest upfront cost
 - Solves bottleneck quickly
 - Good for short-term relief

Recommendation & Next Steps

Recommendation

Prompt for final recommendation: The Airport Director is eager to hear your thoughts and will be joining our zoom meeting in a minute.

Strong Recommendation:

I recommend that Fort North International Airport invest in Automated Scanners (Option B) to resolve the throughput bottleneck and improve passenger satisfaction. Although this option requires a higher upfront capex of \$6.5M, it structurally reduces processing time, increasing capacity from 1,800 to ~2,700 passengers per hour, well above the required 2,334 passengers/hour. This creates a long-term, reliable solution that is less dependent on staffing fluctuations and directly addresses traveler complaints about slow-moving security lines.

Risks & Next Steps

Risks:

- Automated scanners may face software failures or maintenance disruptions, temporarily reducing throughput.
- Installing new scanners could disrupt airport operations if implementation is poorly coordinated.
- Existing staff may require training or may resist the technology, slowing adoption.
- Large upfront cost could strain budgets if passenger volumes decline unexpectedly.

Next Steps:

- Pilot the automated scanner system in 1–2 lanes during off-peak periods to validate performance, integration, and traveler experience.
- Develop a phased rollout plan to replace or upgrade the remaining lanes with minimal operational downtime.
- Train security staff on operating the new system, including troubleshooting and management of exceptional cases.



Tiny Ripples Coffee Co.

Industry	Food & Beverage
Case Type	Profitability
Firm Style	BCG
Quantitative Difficulty	Medium
Qualitative Difficulty	Difficult

Author: Rebekka Nickman (Fuqua '26)

Behavioral Questions

1. Tell me about a time when you took a risk.
2. How have you in the past managed an unresponsive colleague?

Prompt

Your client is Tiny Ripples Coffee Roasters, a mission-driven specialty coffee company based in Durham, NC. Tiny Ripples is recognized for its commitment to exceptional quality, long-term sustainable sourcing relationships, and its proprietary Peak-Integrated-Array sourcing model, which prioritizes transparency, fair partnerships with farmers, and environmentally responsible cultivation of Arabica coffee.

Over the past two years, Tiny Ripples has noticed a sharp decline in profitability. Despite steady revenue growth and strong customer loyalty to its values-driven brand, margins have narrowed instead of expanding with scale. The CEO has engaged your team to diagnose the drivers behind the decline in profitability and recommend a strategy to restore profitability.

Interviewer Guidance

- **Case Steps:**

- ✓ Exhibit #1: Financial Data
- ✓ Brainstorm #1: Possible Solutions
- ✓ Exhibit #2: Options to Explore
- ✓ Recommendations and next steps

- **Clarifying Information (If Prompted):**

- ✓ **Objective:** Client wants to improve its net profit by at least 40%
- ✓ **Business Model:** Tiny Ripples operates 3 cafés and also has subscription and wholesale model that is picking up.
- ✓ **Geography:** Focused on the U.S. market
- ✓ **Timeline:** Insights needed ASAP for strategic planning

Sample Framework

Improve Revenue

- **Product & Placement**
 - Product Mix
 - Distribution Channel
- **Pricing**
 - Price realization vs inflation
 - Ability to take selective price increases
 - Customer Willingness to Pay
- **Improved Volumes**
 - Digital Promotion
 - New Cafes or partnerships

Reduce Costs

- **Fixed Cost**
 - Salaries
 - Rent/Leases
 - Marketing
- **Variable Cost**
 - COGS
 - Promotional Discounts
 - Packaging & Logistics

Competitor Benchmarking

- Understand competitor's margins
- Differentiators
- Sourcing strategy
- Improve brand image versus competitors

Risks

- **Brand Risk**
 - Dilution from altering Arabica sourcing
 - Customer pushback if flavor profile shifts or price increase
- **Supply Risk**
 - Continued climate volatility impacting yields
 - Overdependence on a single region or supplier
 - Supplier pushback or loss of contracts

Exhibit #1 : Financial Information

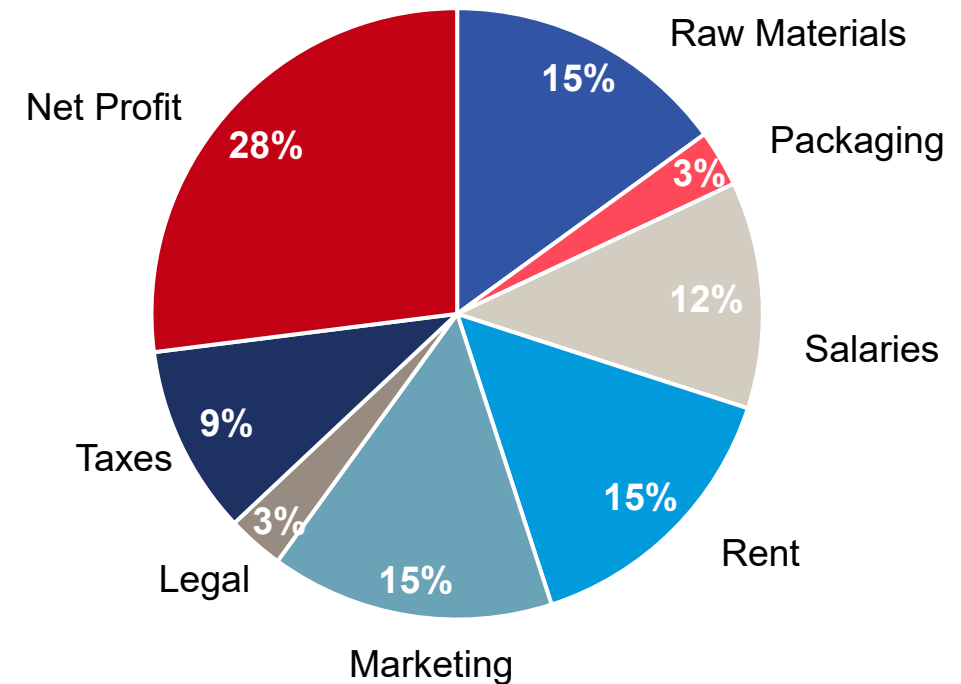
Client Income Statement

Revenue	\$8M
COGS	\$2.2M
Gross Profit	\$5.8M
SG&A	42.5% of Revenue
EBIT	\$2.4M
Taxes	33.3% of EBIT

¹Net Profit is calculated net of taxes.

²SG&A includes salaries, marketing, rent & legal

Industry Cost Breakdown (% of Revenue)



*Note: COGS includes raw materials and packaging

Quant Analysis

Candidates should calculate each cost as a percentage of revenue for the client.

- COGS: \$2.2M
 - % of Revenue = $\$2.2\text{M}/\$8\text{M} = 27.5\%$
- SG&A: 42.5% of Revenue
 - SG&A = 42.5% of \$8M = \$3.4M
- Taxes: 33.3% of EBIT
 - Taxes = 33.3% of \$2.4M = \$0.8M
 - Taxes = $\$0.8\text{M}/\$8\text{M} = 10\%$
- Net Profit = $\$8\text{M} - \$2.2\text{M} - \$3.4\text{M} - \$0.8\text{M} = \$1.6\text{M}$
 - Net Profit = $\$1.6\text{M}/\$8\text{M} = 20\%$ of Revenue

Qual Analysis

Candidates must compare the industry average cost with client's cost.

- Client's COGS = 27.5%
- Industry COGS = $15+3 = 18\%$ (Raw Materials + Packaging)
 - > **COGS is very high**
- Client's SG&A = 42.5%
- Industry SG&A = $12+15+15+3 = 45\%$
 - > **Client is doing good here**
- A good client will note that the problem is with COGS and recommend we looking into sourcing of raw materials and packaging.
- A strong client will note that even though taxes are lower for the industry, we might not be able to change that currently and we must focus on COGS.
- A strong client will also note that our SG&A is low, so probably the client can invest a little more in marketing to drive revenue higher.

Brainstorm Notes

Prompt: We have investigated to understand that our raw material cost is very high. What should the client do to reduce or stabilize COGS while staying true to its mission?

Sample Answer:

- Sourcing
 - Add new regions or farms to reduce climate and yield volatility.
 - Negotiate multi-year fixed-price agreements with key farmers.
 - Introduce hybrid blends (small % of Robusta/Eugenioides) while preserving flavor quality.
- Operations
 - Improve roasting consistency to reduce bean loss and waste
 - Switch to lighter or more efficient sustainable packaging to lower cost per bag
 - Use better demand planning to avoid over-ordering and spoilage of green beans

Interview Guidance

- Press the candidate to come up with at least 5-6 total ideas, prompt with “what else?”
- The list is non-exhaustive and can lead to various insights. This brainstorm is meant to test the candidate’s ability to explore different angles.
- A strong candidate will mention about bean loss and waste.
- **Next Prompt:** Our team has looked into some options to help reduce COGS. Look into the exhibit and suggest which is the best way to proceed. The client however does not want to invest more than \$250K in upfront costs.

Exhibit #1: Options to Explore

Option	Description	Upfront Cost	Estimated COGS Reduction	Risks to brand
A. Install High-Efficiency Roasters	New roasters reduce bean loss	\$200K	\$400K/year	
B. Switch to Hybrid Varietals	Incorporate 20–30% climate-resilient beans	\$150K	\$500K/year	
C. Reduce Packaging Costs	Use lighter/cheaper packaging	\$50K	\$150K/year	
D. Renegotiate Supplier Contracts	Seek multi-year fixed pricing contracts	\$0	\$150K/year	
E. Export beans from Colombia	Switch suppliers	\$100K	\$200K/year	

Exhibit #1 (Quant + Qual) – Interviewer Guidance

Interviewer Notes

Candidates should:

- Recall the profitability target
 - Current net profit: **\$1.6M**
 - Client wants to improve net profit by **40%** → **+ \$640K**
- Honor the investment constraint
 - Client will not spend more than \$250K upfront.
- Balance brand risk with financial impact, not choosing high-savings but brand-damaging options.

Qualitative Analysis

A top candidate should conclude:

- Option A (High-efficiency roasters) is the best core action
 - Upfront cost: \$200K (within budget)
 - Savings: \$400K/year
 - Low brand risk, aligns with quality and sustainability
- Option D (Renegotiate supplier contracts) should be paired with it
 - Upfront cost: \$0
 - Savings: \$150K/year
 - Minimal brand risk
- Option B should be rejected despite high savings
 - Highest brand risk
 - Jeopardizes Tiny Ripples' premium identity
- Options C and E are additive but too small on their own

Recommendation & Next Steps

Recommendation

- **Prompt for final recommendation:** The CEO of Tiny Ripples is seeking recommendations on how to move forward. What is your recommendation?

- **Sample Recommendation:**

My recommendation is that Tiny Ripples should invest in **high-efficiency roasters** as the core solution to reduce COGS. This option is well within the client's \$250K investment limit, carries **low brand risk**, and delivers **\$400K in annual COGS savings**, addressing the root cause of declining profitability. The client should also pursue **supplier contract renegotiations**, which add another **\$100K in savings** with no incremental investment. Even though we do not reach the required profits, we get close to the required uplift without damaging brand. We can further improve profits by charging a slight premium as a mission-driven brand.

Risks & Next Steps

Risks:

- Operational disruption during installation of new roasters could temporarily affect café or roasting output.
- Supplier pushback may limit the savings potential from renegotiated contracts.
- Savings realization risk if yield improvements from new roasters take longer than expected.

Next Steps:

- Conduct a technical assessment and implementation timeline for upgrading roasting equipment.
- Begin negotiations with key suppliers to secure multi-year fixed-price agreements.
- Pilot the new roasting process on a subset of SKUs to validate yield improvements before full rollout.



Pet Paws

Industry	Retail
Case Type	M&A
Firm Style	Bain/BCG
Quantitative Difficulty	Difficult
Qualitative Difficulty	Difficult

Author: Tapan Wadhwa & Ashish Arora (Fuqua '26)

Behavioral Questions

1. Have you led a team to accomplish something important? Please discuss.
2. Tell me about a time when you handled a conflict.

Prompt

Your client is PawsPlus Retail, a national specialty retailer offering premium pet food, treats, supplements, toys, and grooming products through 430 stores and a fast-growing e-commerce business.

The company is evaluating the acquisition of PetHub, a fast-growing direct-to-consumer subscription platform offering personalized pet nutrition boxes and tele-vet services..

PetHub is currently seeking a \$2.8B valuation in a full acquisition offer from PawsPlus.

PawsPlus has hired your team to determine should we acquire PetHub at its asking price?

Interviewer Guidance

- **Case Steps**

- Exhibit #1: Revenue Information
- Exhibit #2: Costs Information
- Exhibit #3: Give WACC
- Brainstorm #1
- Exhibit #4: Give synergy uplift
- Recommendations and next steps

- **Clarifying Information:**

- > **Goal:** Client has been looking to make a successful acquisition for some time and wants to make sure this is the right move.
- > **Model:** PetHub operates a high-growth DTC subscription model delivering personalized pet nutrition boxes, complemented by recurring tele-vet services and shoppable add-on products.
- > **Geography:** Both the client and target company operate in US.

Sample Framework

Market Attractiveness

- Market Size
- Category growth
- Trends
- Digital Transformation
- Customer behavior

Deal Attractiveness

- Revenue of the target company
- Cost Structure
 - Fixed Cost
 - Variable Cost
- Annual Profits
- Growth of annual profits or sales
- Valuation by any of the valuation methods: DCF, comparable companies, comparable transactions, share prices etc.

Synergies & Capabilities

- **Revenue Synergies:**
 - Cross-selling PetHub subscription boxes to 430 PawsPlus stores.
 - Selling PetHub add-on products inside stores to boost attachment rate.
 - Increased tele-vet adoption through physical-store trust.
- **Cost Synergies:**
 - Shared warehousing, fulfillment, vendor contracts.
 - Lower CAC using PawsPlus' store footprint.
- **Capabilities:**
 - PetHub adds strong digital + DTC capability that PawsPlus lacks today.

Risks

- **Integration Risk:** Tech + operations alignment may be costly.
- Market Saturation
- Subscription fatigue.
- Culture Clashes
- Opportunity Cost: Alternative investments (e.g., build own subscription tech) may be cheaper.

Exhibit #1 – Revenue Information

Subscription Box Revenue

Metric	Value
Registered Subscribers	8M
Average % of Subscribers that cancel delivery for a month	60%
Average Order Value (AOV)	\$40
Delivery Frequency	12 boxes/year

Tele-Vet (Recurring)

Metric	Value
Subscribers choosing tele-vet	6%
Monthly Fee	\$12

Add-On Product Purchases

Metric	Value
AOV	\$25
Purchase Frequency	4 orders/year
Attachment Rate	30% of total subscribers

Quant Analysis

Subscription Box Revenue

- Registered subscribers = 8M
- Active rate = $(100-60) = 40\% \rightarrow 3.2\text{M}$ active subscribers
- AOV = \$40 per box
- Frequency = 12 boxes/year
- Annual Subscription Revenue = $3.2\text{M} \times \$40 \times 12 = \sim\1.5B (allow approx.)

Tele-Vet Recurring Revenue

- 6% of 8M $\rightarrow 480\text{K}$ tele-vet users
- Monthly fee = \$12
- Annual revenue = $\$12 \times 12 = \144 per year per user
- Tele-Vet Revenue = $480\text{K} \times \$144 \approx \69.12M ($\sim\$69\text{M}$)

Add-On Product Purchases

- AOV = \$25
- Frequency = 4 orders/year
- Attachment = 30% of total subscribers $\rightarrow 2.4\text{M}$ users
- Add-On Revenue = $2.4\text{M} \times \$25 \times 4 \approx \240M

Total Revenue = \$1.5B + \$69M + \$240M = \$1.8B

Interviewer Guidance

What this means for PawsPlus:

- A strong candidate should infer:
- PawsPlus' core category (in-store retail) is mature and stagnating.
- To capture market growth, PawsPlus must build or acquire digital and subscription capabilities.
- PetHub operates directly in the fastest-growing segment, making it strategically relevant.

What great candidates will say:

- PetHub aligns with the only high-growth parts of the market.
- This exhibit suggests a strategic need for PawsPlus to shift toward digital revenue streams.
- The acquisition could help PawsPlus remain competitive as consumer habits change.

Exhibit #2 – Costs Information

Subscription Box

Cost Category	% of Segment Revenue
Raw Materials (treats, supplements, toys)	66%
Packaging	4%
Fulfillment labor	10%
Shipping	5%

Tele-Vet (Recurring)

Cost Category	% of Segment Revenue
Vet Contractor Time	30%
Platform Bandwidth / Hosting	8%
Customer Service Support	12%

Add-On Products

Cost Category	% of Segment Revenue
Wholesale Product Cost	55%
Packaging	3%
Pick & Pack Fulfillment	6%
Shipping	11%

Fixed

Cost Category	Annual Cost (\$M)
Headquarters Payroll (Management + HR + Admin)	\$39M
Technology & Platform Development	\$27M
Brand Marketing & National Campaigns	\$32M
Office Leases & Utilities	\$19M
Customer Support Infrastructure	\$12M
Legal & Compliance	\$16M

Interviewer Guidance

Candidates must **tie each cost % to the revenue of each segment**, not calculate unit costs.

- From Exhibit #2 (Revenue Information), candidates should have already computed:
- **Subscription Box Revenue:** ~\$1.5B
- **Tele-Vet Revenue:** ~\$70M
- **Add-On Products Revenue:** ~\$240M
- Total **≈ \$1.8B**
- A strong candidate now uses the *cost percentages* to estimate *total costs* and *segment-level profitability*.

What a strong candidate should conclude:

- Subscription is huge but margin-compressed.
- Tele-vet is small but very high margin.
- Add-ons are meaningful margin contributors.

Quant Analysis

Subscription Box

- Revenue = \$1.5B
- Cost: $66\% + 4\% + 10\% + 5\% = 85\%$
- Segment EBIT (before fixed costs) $\approx 15\%$ of \$1.5B = \$225M

Tele-Vet Costs

- Revenue = \$70M
- Cost: $30\% + 8\% + 12\% = 50\%$
- Segment EBIT (before fixed costs) $\approx 50\%$ of \$70 = \$35M

Add-On Products

- Revenue = ~\$240M
- Cost: $55\% + 3\% + 6\% + 11\% = 75\%$
- Segment EBIT (before fixed costs) $\approx 25\%$ of \$240 = \$60M

Fixed Corporate Costs = \$145M

$$\text{Profit} = \$225\text{M} + \$35\text{M} + \$60\text{M} - \$145\text{M} = \$180\text{M}$$

Exhibit #3 – Interviewer Guidance

Interview Guidance

- **Prompt:** Once the candidate asks for a discount rate, let them know that “**the WACC is 14% and the growth rate is 4% for perpetuity. What is the value of the firm?**”
- Good candidates will start calculating the value of the company by using the NPV formula.
- Strong candidates will notice that a 4% growth rate is really good suggesting that the company is growing better than the GDP.

Quant Analysis

- $NPV = \text{Profits}/(r - g)$
 - $NPV = \$180M/(14\% - 4\%)$
 - $NPV = \$180M/0.1$
 - $NPV = \$1.8B$
- **Value of firm = \$1.8B**
- Good candidates will notice that the value of the firm is much less than the asking price of PetHub (\$2.8B).
- Drive candidates to the next brainstorming.

Brainstorm Notes

- **Prompt:** Given that PetHub's EBITDA is only \$180M on a revenue of \$1.8B. How can our client improve the EBITDA of the target company if they acquire it?

Sample answer:

- **Revenue Synergies**
 - Launch joint loyalty program
 - Expand cross-sell & upsell
 - Reduce churn through omnichannel integration
- **Costs Synergies**
 - Lower fulfillment & logistics costs
 - Reduce customer acquisition cost
 - Optimize product sourcing

Interviewer Guidance

- The list on the left is non-exhaustive and answers can go in many directions; this brainstorm is intended to test the candidate's creative thinking

Interview Guidance

- **Prompt:** “Our team has analysed and found that our client can implement certain synergies and that would help to improve the EBITDA margin by 500 bps. What should be the new value of the firm?”
- Good candidates will quickly realize that they have the EBITDA and the Revenue, this will help them calculate the EBITDA margin.
- The EBITDA margin will then be added by $500/100 = 5\%$.
- Candidates will now find the new EBITDA and thus the new value of the target company.

Quant Analysis

- $\text{EBITDA margin} = \$180\text{M}/\$1.8\text{B} = 10\%$
- $\text{New EBITDA margin} = 10\% + 5\% = 15\%$
- **New EBITDA = 15% of \$1.8B = \$270M**
- $\text{New NPV} = \text{Profits}/(r - g)$
 - $\text{NPV} = \$270\text{M}/(14\% - 4\%)$
 - $\text{NPV} = \$270\text{M}/0.1$
 - $\text{NPV} = \$2.7\text{B}$
- **Value of firm = \$2.7B**
- Good candidates will notice that the value of the firm is very close to the asking price of PetHub (\$2.8B).

Recommendation & Next Steps

Recommendation

- **Prompt for final recommendation:** The PawsPlus CEO is walking in and would like to hear what you have come up with.

Sample:

PawsPlus should proceed with acquiring PetHub as the value of the company post synergies is \$2.7B very close to the asking price of \$2.8B. Also, the growth rate of 4% suggests a very high paced growth. PetHub's business aligns directly with the fastest-growing digital and subscription segments of the pet market, offering PawsPlus a strategic pathway to offset stagnation in in-store retail.

Risks & Next Steps

- **Risks**

- Integration challenges across technology, supply chain, and customer experience may delay synergies.
- Synergies may not be able to fully realize.
- Rapid industry shifts or subscription fatigue could slow future growth.

- **Next Steps**

- Conduct detailed diligence on subscriber churn, CAC, fulfillment cost structure, and tele-vet adoption.
- Build a synergy model quantifying cross-sell potential, logistics savings, and margin expansion.
- Initiate negotiation anchored around ~\$650M valuation with an earn-out tied to subscriber and EBITDA milestones.



AI in the Clouds

Industry

Tech

Case Type

Growth Strategy | AI Implementation

Firm Style

McKinsey

Quantitative Difficulty

Medium

Qualitative Difficulty

Difficult

Author: Ayush Vats (Fuqua '26)

Behavioral Questions

1. How did you convince a colleague to work for the team's benefit?
2. Tell me about a time when you failed.

Prompt

Our client, AVS Cloud, is one of the leading cloud service providers globally. Despite strong market demand for cloud infrastructure, AVS Cloud has seen slower revenue growth and declining customer conversion rates over the past two years, while competitors have aggressively captured market share.

The CEO is concerned that AVS Cloud's sales force productivity has stagnated, with longer sales cycles and lower conversion rates. The leadership team is exploring how AI can be leveraged to enhance sales team productivity, support client acquisition and retention, and ultimately restore market dominance. How would you identify opportunities for AI to strengthen the sales process and improve sales productivity at AVS Cloud?

Interviewer Guidance

- **Case Steps**

- ✓ Exhibit #1: Current Sales Process
- ✓ Brainstorm #1: AI impact on sales
- ✓ Exhibit #2: AI initiatives for sales
- ✓ Quantitative Exercise: Calculate incremental profit
- ✓ Brainstorm #2: Prioritizing other departments for AI rollout

- **Clarifying Information (If Prompted)**

- ✓ **Objective:** Improving the productivity of Sales team using AI and driving revenue growth
- ✓ **Business Model:** AVS Cloud provides usage-based cloud services to Enterprises along with other products
- ✓ **Geography:** Not focused on geography, it's a global leader
- ✓ **Timeline:** Insights needed ASAP for implementation
- ✓ **Productivity definition:** Will discuss later in the case

AVS Sales Structure

Current Sales Team

- Number of Salespeople/Teams
- Composition (Enterprise v SMB)
- Existing Productivity (Calls/Salesperson, Revenue/Salesperson)

Sales Process

- Sales Funnel (leads – qualification – outreach – follow-up – closing – retention)
- Identify major inefficiencies
- Review drop offs across stages

Capability

- Familiarity with digital and AI tools
- Evaluate training levels

AI Use cases

AI Use Cases

- Lead optimization to prioritize high-value prospects
- AI powered Chatbots, Voice Calls, and personalized email drafting
- Real time AI copilot for sales reps
- Auto transcripts and meeting summaries

Implementation

- Assessment of different ideas
- Develop implementation roadmap

ROI & Impact

ROI Analysis

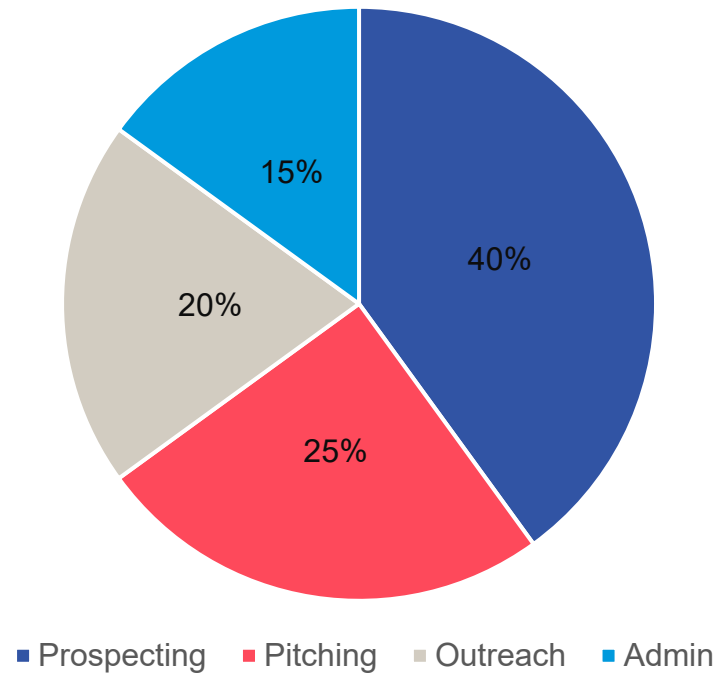
- Quantify ROI through new clients, retention improvement, time saved per rep, and incremental revenue
- Calculate investment required and breakeven

Other implications

- Ease of implementation
- Technical readiness
- Identify AI use cases beyond sales, for example in Finance, HR, Marketing and Operations

Exhibit #1 : Current Sales Process

Sales team time allocation



- Prospecting** Identifying and qualifying high-potential leads
- Pitching** Preparing and refining customized sales proposals
- Outreach** Client-facing activities - calls, demos, and follow-ups
- Admin** Reporting and internal tasks

AVS sales workflow and Customer drop off

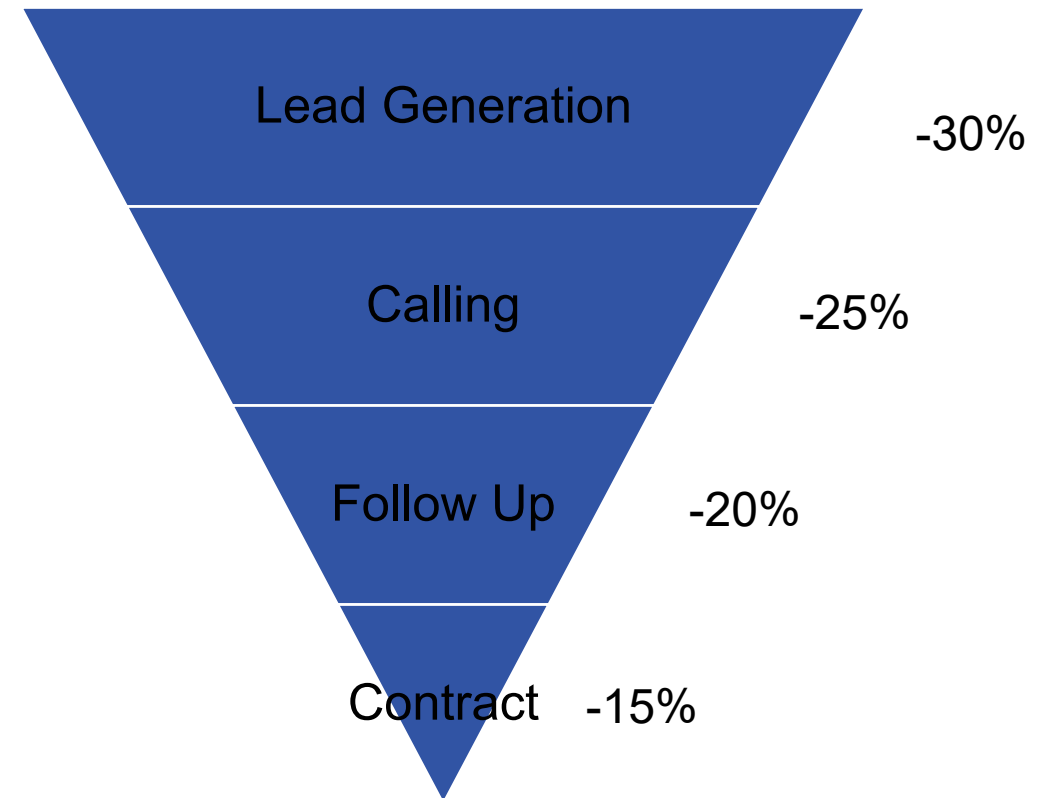


Exhibit #1 – Interviewer Guidance

Interviewer Prompt

After reviewing Exhibit 1, what insights can you draw about AVS Cloud's current sales performance and resource allocation?

- Ask candidates to note down sales team time allocation if they have not done so.

Interview Guidance

- The exhibit highlights both how sales reps allocate their time and where customer drop-offs occur across the funnel.
- Candidates should recognize that too much time is spent on prospecting, pitching and admin work, leaving limited capacity for client outreach.
- A good candidate will suggest using AI to automate or streamline these tasks, so that reps can focus on high-value client interactions.
- A great candidate will propose specific AI use cases for these tasks.
- Candidates should also notice that most customer drop-offs occur early and mid-funnel, suggesting weak targeting and inconsistent engagement.

Brainstorm #1 – AI Impact on Sales

Brainstorm Notes

Prompt: The client wants to understand how AI can transform the sales process to drive higher productivity and growth. What are some ways in which AI can impact the sales function?

- **Financial Impact**

- Identifying high - potential leads
- Increased customer - sales rep interactions, leading to increased conversion and revenue
- Personalized follow ups to improve retention and up-selling
- Admin tasks can be automated for cost savings

- **Non-Financial Impact**

- Enhanced customer experience because of chatbot
- Personalized sales pitch for reps
- Increase in employee productivity and morale due to reduced admin burden
- Sales reps skill development

Interview Guidance

- This list provided is non-exhaustive, and the brainstorm is intended to test the candidates creative thinking.
- A strong candidate will brainstorm several financial and non-financial ways AI can impact the sales process, including improved productivity, conversion and outreach.
- A great candidate may also discuss short and long-term impact and note how AI adoption can build a sustained competitive advantage.

Exhibit #2 : AI Initiatives for Sales

Initiative	Description	Infrastructure Investment (\$)	Additional Hiring Required	Time Savings	Ease of Implementation
Initiative A	ML model to identify and prioritize high-value leads	1.2 Million	None	50% of prospecting time	
Initiative B	GenAI tool that drafts personalized outreach messages	1 Million	4 AI Engineers	60% of pitching time	
Initiative C	Real-time AI assistant providing live prompts during calls	1.5 Million	3 AI Engineers	60% of admin time	

Exhibit #2– Interviewer Guidance

Interviewer Prompt

Which of the three initiatives (A,B, or C) would you prioritize and why?

Quant Analysis

Time Savings Calculation:

Initiative A: $50\% * 40\% = 20\%$

Initiative B: $60\% * 25\% = 15\%$

Initiative C: $60\% * 15\% = 9\%$

Initiative A has the highest time savings, while Initiative C has the lowest.

Interviewer Guidance

- This exhibit tests whether the candidate can evaluate and prioritize the three AI initiatives using both qualitative and quantitative reasoning.
- A good candidate will connect back to Exhibit 1 to calculate time savings from each initiatives, and prioritize initiatives A and B.
- A strong candidate should also note that initiative C should not be considered due to lower value and high cost.

Exhibit #2 – Quant Analysis

Interviewer Prompt

AVS Cloud has decided to move forward with **initiatives A and B** to strengthen both short-term sales efficiency and long-term client acquisition. Hiring an AI Engineer costs a **salary of \$250k/year**. These initiatives are expected to add **30 clients per year with a 75% annual retention rate**. Each new client generates **\$100,000 in annual revenue**.

Based on this information, calculate the **total incremental profit** AVS Cloud would achieve over the next **two years** from these initiatives.

Interview Guidance

- A good candidate will calculate the revenue, cost and incremental profit correctly, and note that it's a high ROI investment.
- A great candidate will note that similar AI capabilities could be scaled across other functions across AVS Cloud, unlocking long-term organizational value.

Quant Analysis

- **Revenue**
- **Year 1:** $30 \times \$100,000 = \$3.0M$
- **Year 2:** $(30 \times 0.75) + 30 = 53$ clients, $53 \times \$100,000 = \$5.3M$
- Total incremental revenue (2 yrs) = **\$8.3M**
- **Costs**
- **Initiative A:** **\$1.2M** one-time implementation
- **Initiative B:** **\$1.0M** one-time implementation + 4 AI engineers at \$250k each for 2 years = **\$2.0M**
- Total cost (A + B) = $\$1.2M + \$1.0M + \$2.0M = \$4.2M$
- **Incremental profit (2 yrs):** $\$8.3M - \$4.2M = \$4.1M$

Brainstorm #2 – Prioritizing other departments for AI

Brainstorm Notes

Prompt: The CEO of AVS Cloud, encouraged by early success in Sales, now wants to explore how AI could enhance productivity across other departments such as Marketing, HR, Finance, and Operations. What factors would you consider when prioritizing which departments to implement AI in next?

- **ROI driven factors**

- Potential revenue impact
- Opportunities for cost efficiency and automation
- Time to Scale
- Investment required

- **Ease of Implementation**

- Process complexity
- Talent capable of using AI
- Change readiness
- Existing digital infrastructure

Interview Guidance

- The list is non-exhaustive and can lead to various insights. This brainstorm is meant to test the candidate's ability to explore different angles.
- A strong candidate will weigh departments not just by impact but also by feasibility - noting that functions like Marketing and Finance often have cleaner data and technical knowhow, while HR and Operations may require more groundwork.

Fuqua Classics

This section includes 9 classic cases from previous Fuqua casebooks, redesigned to the newest format. These include some of the most popular cases in the community.



Lactose King

Industry Services

Case Type Growth

Quantitative Difficulty Easy

Qualitative Difficulty Easy

Origin: Fuqua Casebook (2017–2018)

Revised and Updated by Vann Vicente (Fuqua '24)

Prompt

Our client is Lactose King, a premium ice cream restaurant chain with approximately 3,000 locations throughout the United States. While they've enjoyed consistent profitability and are an industry leader in direct-to-consumer ice cream sales, their revenue has been stagnant over the past few years.

What can they do to improve their gross revenue?

Interviewer Guidance

- Lactose King operates under a simple business model of owning and operating all of their own stores, procuring ingredients from various suppliers throughout the country, and processing/serving the ice cream at individual locations.
- They serve only soft-serve ice cream and related products (milkshakes, ice cream sandwiches, etc.)
- Revenue last year was at \$250K/store [\$750M], and they would like to improve gross revenue by 33% in 1 year [\$1B target].
- The candidate's framework should consider: improving ice cream sales (marketing campaign, expanding outside of the United States), offering a new product (desert or non-desert), utilizing a new sales channel (selling to grocery stores), consumer preferences, etc.

Product

- **New dessert lines**
 - Sugar-free ice cream
 - Dairy-free ice cream
 - Frozen yogurt
 - Ice cream cakes
 - Gelato
- **Introduce new flavors**
 - Permanent flavors
 - Seasonal, temporary flavors
- **New in-store offerings**
 - Savory foods (appetizers)
 - Coffee / affogato

Promotion

- **Consumer Insights**
 - Scan consumer trends
 - Identify/expand to new demographics
- **Paid marketing**
 - Run online ad campaigns
 - Location-based marketing (OOH, local TV stations, etc.)
- **Organic marketing**
 - Partner with influencers
 - Social media campaigns

Place / Location

- **New sales channels**
 - Packaged ice cream for groceries
 - Sell products at other restaurants
- **Introduce new stores**
 - Expand presence in U.S.
 - Expand to international stores
 - Low-footprint stores at stadiums/airports/etc.
- **Innovate current stores**
 - Add service windows
 - Renovate interior design

Exhibit #1 – Customer breakdown

2016 US Direct-to-Consumer Ice Cream Buyers by Age

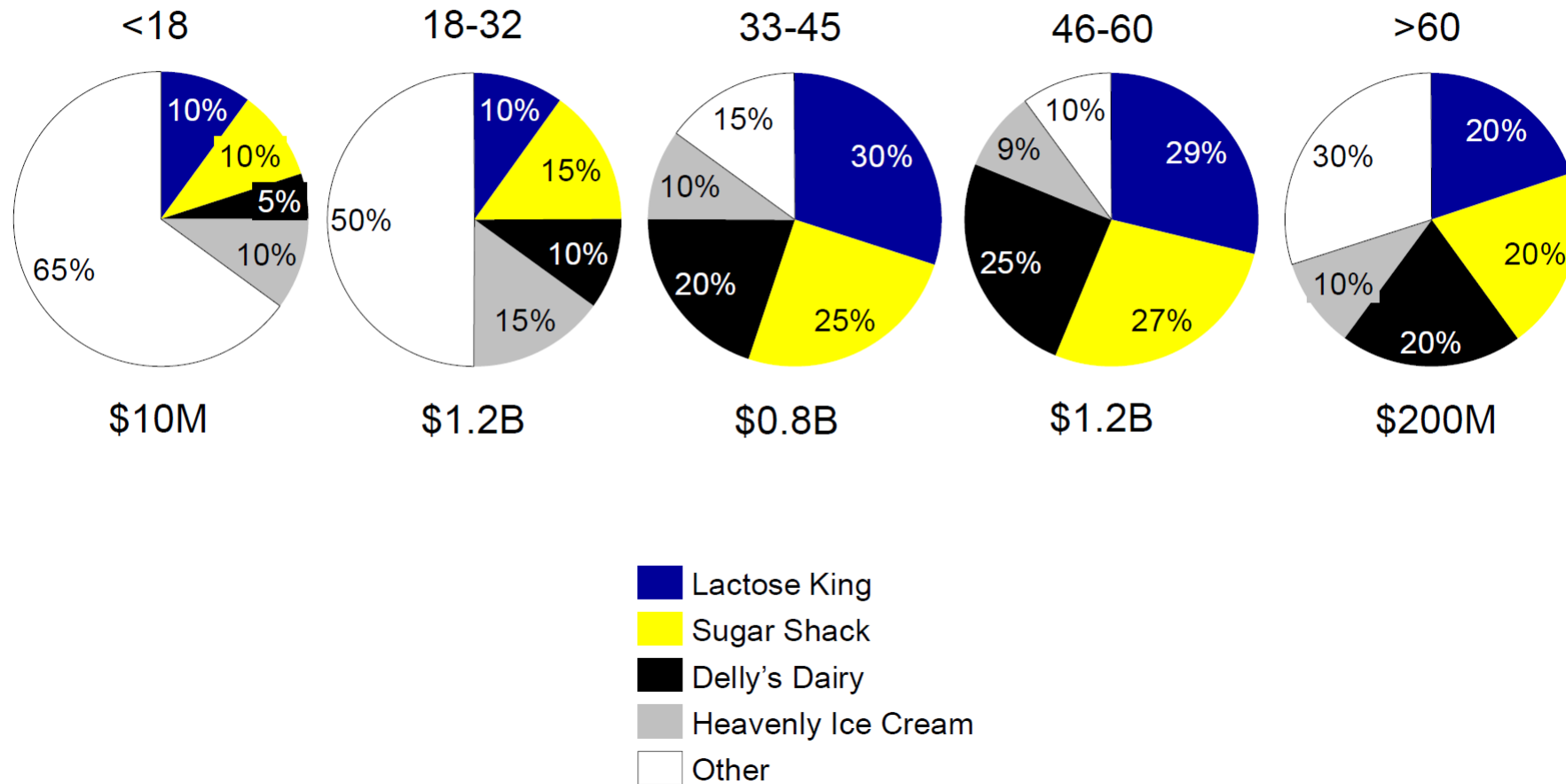


Exhibit Notes

- Guide the interviewee to examine the overall ice cream sales market or customer breakdown and show them exhibit 1.
- **Prompt:** “This is an analysis our firm did on the latest data for direct-to-consumer ice cream sales over the past year in the United States. The competitors listed are the next 3 biggest players in the US market.”
 - Reading the candidate the prompt is **not required**.

Exhibit Analysis

- The candidate should start looking for an optimal customer age group to target for future growth.
- 3 things make up an ideal market for LK to target: market size, % not already held by LK (potential for improvement), and % held by “other” (market fragmentation)
 - Note that the market size numbers use different units
- The 18–32-year-old market should be the clear pick among these demographics. Once the candidate comes to this conclusion, ask them to brainstorm what might be important to consider when targeting a new demographic for ice cream sales.
- Once the candidate identifies the 18-32 market as a good target (and ideally suggests studying more about that market), hand them exhibit 2.

Exhibit #2 – Ice cream store criteria

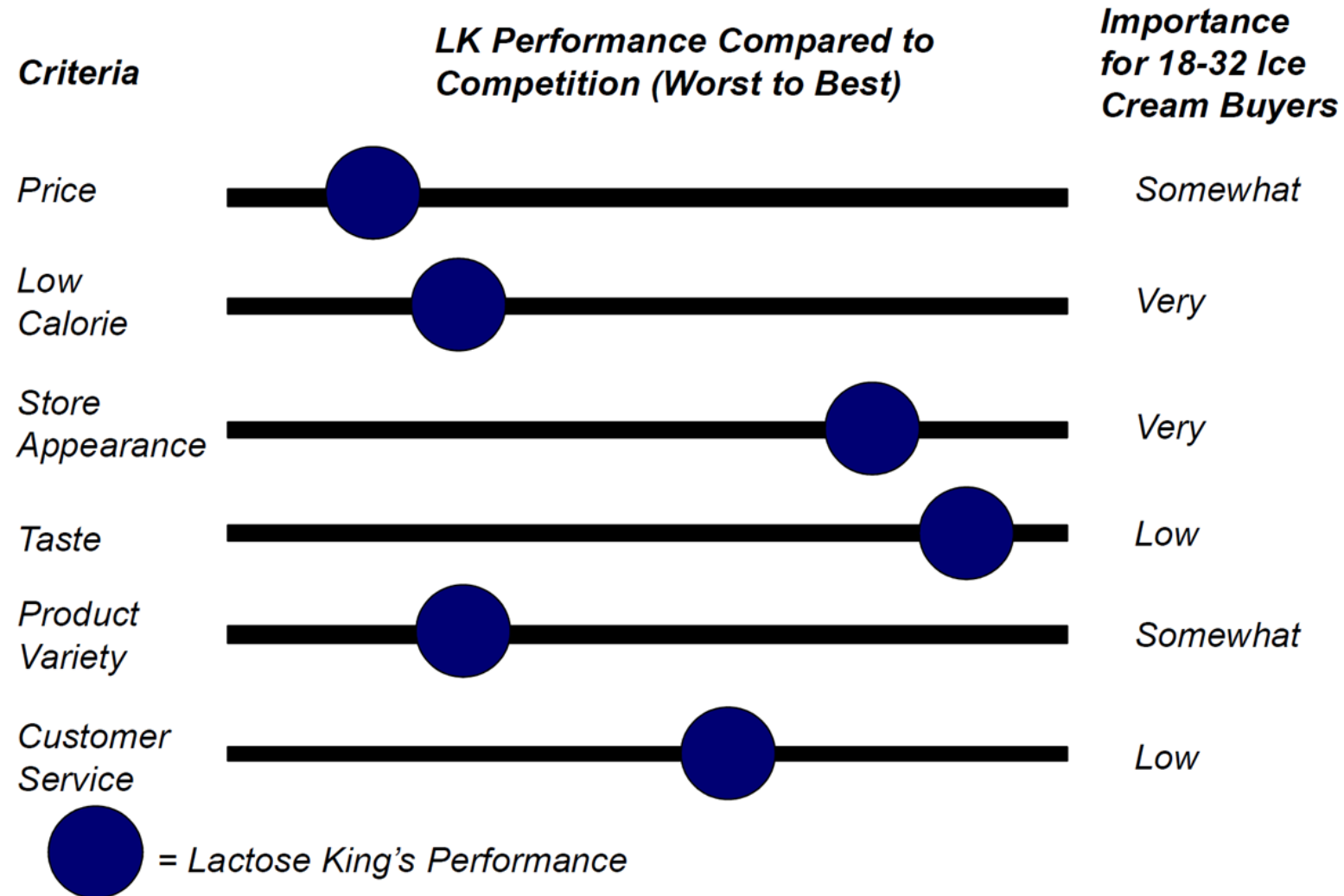


Exhibit Notes

- We conducted a survey for 18–32-year-old American ice cream buyers asking them both the importance of several criteria for ice cream stores, as well as how well Lactose King performs within each criteria as compared to other ice cream stores.
- How might this information help us improve our standing within that market? [If the candidate struggles to produce a recommendation, ask which demographic might have the most potential for Lactose King]

Exhibit Analysis

- The candidate should identify the criteria that has the most impact potential for Lactose King. This means finding an area that has high customer performance where LK is lagging.
- While LK performs very poorly with respect to price (not surprising given that they are a premium store), price is only somewhat important to 18-32 customers. Instead, the candidate should notice that low-calorie is a very important category in which LK underperforms.
- Once the candidate identifies low-calorie as the best addressable criteria, as then how they would go about addressing this. A good brainstorm should include offering low-calories products, as well as modifying the current recipe for their ice cream.

Exhibit #3 – Sugar-free market share (est.)

<i>Age Demographic</i>	<i>Anticipated US Market Share Captured</i>
<18	0%
18-32	25%
33-45	20%
46-60	15%
>60	5%

Exhibit #3 – Interviewer guidance

Exhibit Notes

- Sugar-free ice cream would be a great way to provide a lower calorie option and there is a small company going out of business that will license us the right to make/sell it for next to nothing. This would be in addition to their original product.
 - We conducted a market survey for all ice cream buyers on how they would respond to sugar-free ice cream, and we believe we can obtain the following results for next year.
- Provide the following information if the candidate asks:
 - **Market Growth:** No anticipated market growth in any demographic next year.
 - **Cannibalization:** 1/3 of existing sales are likely to be cannibalized through the introduction of this ice cream.
- The candidate should realize quickly that he/she should estimate how much additional revenue this would mean for GK based on the percentages provided and the market size from exhibit 1.

Interviewer Guidance + Quant Analysis

Age Demographic	Market Size (\$B)	%	Market Captured (\$B)
<18	\$ 0.01	0%	\$ -
18-32	\$ 1.20	25%	\$ 0.30
33-45	\$ 0.80	20%	\$ 0.16
45-60	\$ 1.20	15%	\$ 0.18
>60	\$ 0.20	5%	\$ 0.01

\$ 0.65

Cannibalization Loss (33% of \$750M) \$ (0.25)

Net Sales Impact \$ 0.40

- **The candidate should conclude that the additional \$400M in net revenue satisfies the 33% goal.**

Recommendation

- **Prompt:** The CEO of Lactose King is asking for an update on your findings, please make your recommendation.
- Introducing a sugar-free ice cream will increase revenue by \$400M (\$1.15B total)
 - This addresses the caloric concerns for the original recipe and we should see particular improvement in the 18-32 year old market
 - This meets the \$250M additional revenue target
 - Sales to the original recipe ice cream will suffer by 33%, but the sugar-free ice cream sales will make up for this
- Outstanding candidates will think of creative ways to market sugar-free ice cream and note that it has strong potential for market growth in the future.

Risks & Next Steps

- **Risks**
 - There may be operational issues involved in bringing it into the store, such as different shelf-life requirements or machines needed to dispense ice cream.
 - The sales figures are projections and actual sales may fall short of expectations.
 - Because of the popularity of the product, we may face increasing competition in the space from competitors.
- **Next Steps**
 - Explore marketing campaigns to ensure that introducing sugar-free ice cream brings in the projected sales.
 - Scope operational requirements for adding sugar-free ice cream to the stores.



Born for Beauty

Industry	Retail
Case Type	Growth
Firm Style	Bain
Quantitative Difficulty	Easy
Qualitative Difficulty	Easy

Author: Vann Vicente (Fuqua '24)

Prompt

Your client is BFB or Born for Beauty, a leading Korean beauty marketplace that sells a variety of Korean cosmetics, including makeup, skincare, haircare, and fragrances. Their biggest market is the U.S., but they also sell in Latin America, Europe, and Australia.

Despite being the market leader in the U.S., they have been facing slowing growth in the last few years. BFB is in danger of losing their current market position.

The CEO, Sunny Jung, has asked for your help to retain their market leadership and increase sales in the next few years. **What should BFB do to improve growth?**

Note: *This case is fairly straightforward and designed to be good casing practice across all skill levels. Enjoy!*

Interviewer Guidance

- **Case Steps**

- Exhibit #1: User ratings
- Exhibit #2: Competitive product mix
- Brainstorm: New product factors
- Exhibit #3: Product launches
- Recommendations and next steps

- **Clarifying Information (If Prompted)**

- BFB is primarily e-commerce, with a handful of physical stores. In this growth exercise, they are focused on the US.
- They are primarily a distributor, and do not manufacture their own products.
- They source 90% of products from Korea and 10% from Japan.
- Annual revenues are currently \$90m globally, at a growth rate of 4%. Their goal is to double that growth rate. (**Provide after framework if not asked**)

Organic Growth

- **Product**
 - Expand product range
 - Introduce private label
 - Pricing
- **Marketing**
 - Target new demos
 - Campaigns
 - Promotions
- **Channels**
 - Improve fulfillment or customer service
 - Revamp platform

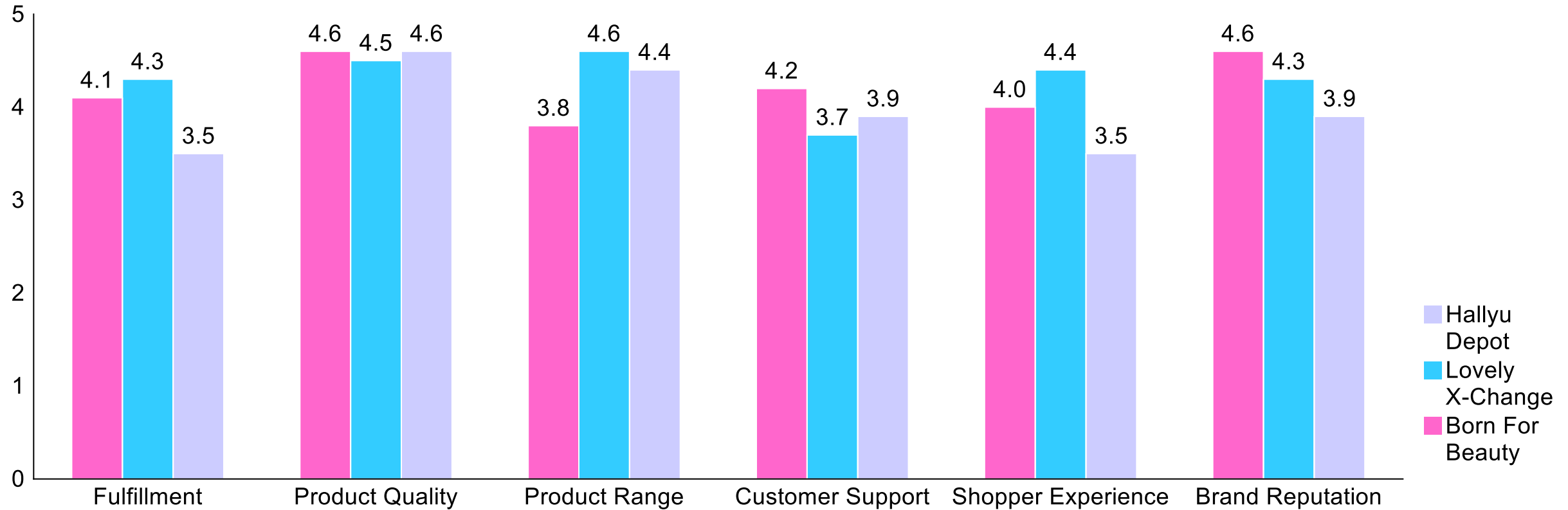
Inorganic Growth

- **Acquisition**
 - Smaller stores
 - Independent makeup brand (converted to in-house)
- **Joint venture**
 - Competitors
 - Make-up brands
 - Media companies

Market

- **Competitors**
 - Korean beauty stores
 - Sephora
 - Instagram stores
- **Industry trends**
 - Overall Korean skincare boom
- **Consumer trends**
 - Move to organics
 - Influence of media

Exhibit #1 – Site ratings



Note: Data is taken from a survey (n=1,000) of markets where all three companies operate in, including the US and Europe. Respondents were qualified as having had purchase experiences with all three companies.

Exhibit #1 – Interviewer guidance

Exhibit Notes

- The goal of this exhibit is to uncover which areas Born for Beauty is falling behind relative to their competitors, and address that to solve their stagnant growth.
- The candidate should immediately identify that there are two areas where Born for Beauty falls behind relative to some of their competitors, which are **Product Range** and **Shopper Experience**.
- The candidate should hone into **Product Range**, which is both its lowest rating and its worst aspect relative to both major competitors. Therefore, they should drive towards exploring ways to improve the product portfolio.

Exhibit #2 – Korean beauty product mix (U.S.)

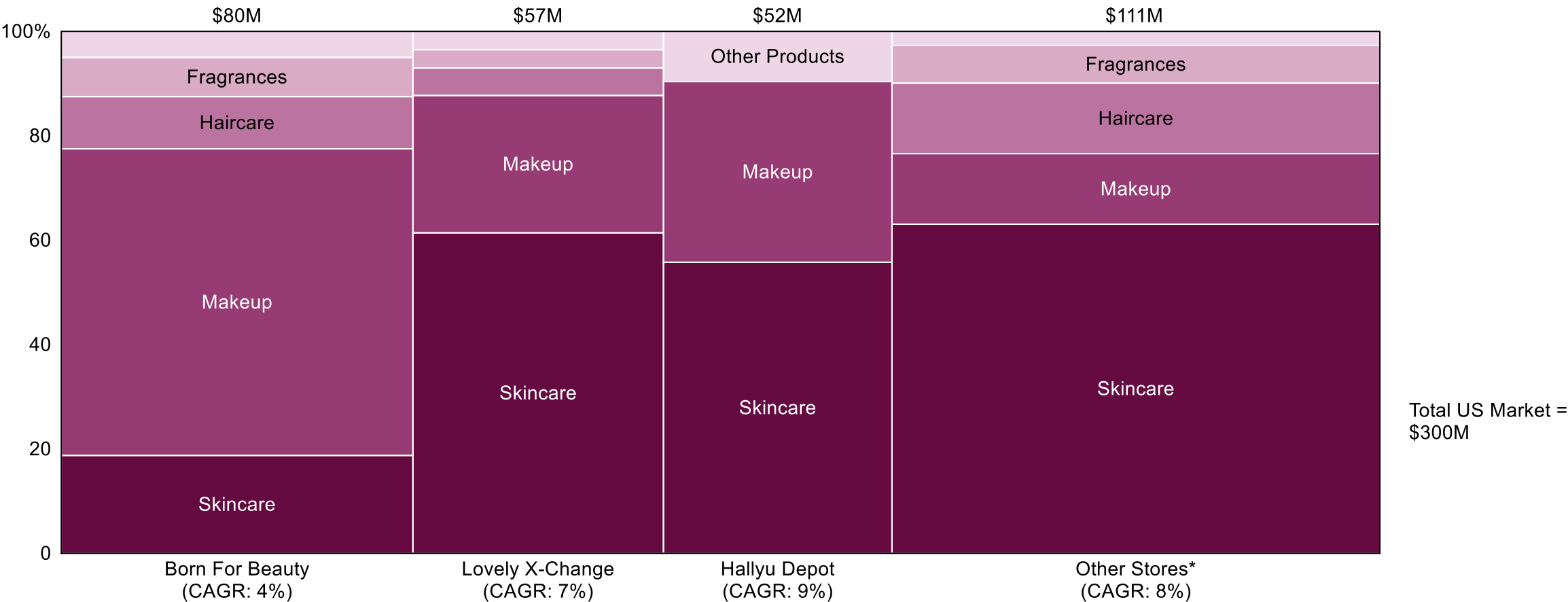


Exhibit #2 – Interviewer guidance

Exhibit Notes

- The goal of this exhibit is to find identify areas where the product range of Born for Beauty falls behind relative to their competitors and the rest of the market.
- The candidate should immediately identify that Born for Beauty's portfolio is heavy on makeup products and **lacking in skincare products**, whereas their competitors are heavy on skincare.
 - Strong candidates will tie this observation back to their framework or provide insights on the growth of skincare as a product category in recent times – therefore explaining the lagging growth.
- The candidate should drive to adding additional products into the product portfolio, which leads into the next brainstorm segment.

Exhibit Notes

- **Prompt:** What do you think are some factors that should go into selecting the right products to add to the skincare portfolio at Born for Beauty?
 - **Product Factors**
 - > **Quality/Features:** Quality of formulation and chemistry, minimal allergic reactions, effectiveness
 - > **Certifications:** Non-GMO, cruelty-free, etc.
 - > **Compatibility:** Whether a product comes as part of a set/range of products, and can be bundled together
 - > **Brand:** Brand recognition and popularity
 - > **Price:** Price relative to other products on the market
 - **Operational Factors**
 - > **Availability:** Important to minimizing stockouts
 - > **Supplier Range:** Whether a brand can ship multiple products at once, reducing shipping costs
 - > **Storage Requirements:** Shelf space requirements, expiry, and cooling needs

Quantitative Analysis

- The list on the left is non-exhaustive and answers can go in many directions; this brainstorm is intended to test the candidate's creative thinking.
- A **strong candidate** will structure their brainstorm ideas and provide insights into each of them.
 - Candidates with knowledge of the industry will go into more complex factors, such as skin types, formulations, allergens, and product bundles
 - Steer candidates towards thinking about operational factors (availability, suppliers) as well
- On completing the brainstorm, the candidate should steer to the next exhibit on product options.

Exhibit #3 – Product options / math exercise

Exhibit Figures

- Once the candidate suggests exploring specific products to add to the portfolio, read the below aloud without showing them the figures.
- **Prompt:** Three cosmetics companies are interested in adding their skincare products to their portfolio. These are:

Company	Skincare products	Est. yearly sales per product	Avg. price per product
SM Cosmetics	30	4,000	\$15
YG Skin Co	15	3,000	\$20
JYP Care	20	1,500	\$40

- If the candidate has forgotten, provide them the following information: BFB annual revenues are currently \$90m globally, at a growth rate of 4%. Their goal is to double that growth rate. **(\$90m x 4% = \$3.6m in additional revenue)**
- This should drive the candidate towards a calculation of total sales that can be gained from each product.

Interviewer Guidance + Quant Analysis

- The formula to get total sales is: products * yearly sales per product * average price per product.

Company	Skincare products	Est. yearly sales per product	Avg. price per product	Total sales
SM Cosmetics	30	4,000	\$15	\$1.8m
YG Skin Co	15	3,000	\$20	\$900k
JYP Care	20	1,500	\$40	\$1.2m
TOTAL				\$3.9m

- The candidate should realize that it is necessary to add **all three** companies' products to the portfolio, and that just one or two does not meet the target additional revenue. (\$3.6m)

Recommendation

- **Prompt:** Born for Beauty and Sunny Jung have set up a meeting with your team at the annual Korean Cosmetics conference in Los Angeles. What do you tell her during your meeting?
- Born for Beauty is experiencing slowing growth due to a limited product range, so they should add more skincare products to their portfolio.
- We've identified three companies who want to add their products BFB. These products will add an estimated \$3.9m of revenue per year, enabling us to achieve our additional revenue target of \$3.6m.

Risks & Next Steps

- **Risks**
 - These are only estimates, and we may fall short of target due to inaccurate projections.
 - Since these are Korean skincare products, there is always a chance that they are not fully compatible with skin types in other markets.
 - We risk lagging behind the market in terms of adding skincare products (other competitors may already be adding new, innovative formulations) so we need to act quickly.
- **Next Steps**
 - Perform a market study to validate our estimated sales for these products.
 - Understand product positioning, especially how best to add these products to the digital storefront.
 - Embark on a marketing campaign to promote the expansion of the skincare range on BFB.



MotherTech

Industry	Healthcare
Case Type	M&A
Firm Style	Bain
Quantitative Difficulty	Medium
Qualitative Difficulty	Medium

Author: Medha Bhardvaj (Fuqua '25)

Prompt

Dr. Fuqua Health Services (DFHS) is a leading healthcare provider specializing in maternal and child health. The company is considering acquiring **MotherTech**, a fast-growing digital platform that connects maternal healthcare providers with suppliers of specialized maternal and neonatal equipment, services, and pharmaceuticals. Over the past two years, MotherTech has demonstrated significant growth, expanding its customer base and increasing revenues, and now the management team is willing to sell the company for **\$75M**.

Should **Dr. Fuqua Health Services** purchase **MotherTech**?

Interviewer Guidance

- **Case Steps**

- Framework
- Exhibit #1: Market Size and Market Share
- Exhibit #2: Operating Expenses
- Exhibit #3: Recent M&A in Maternal Health
- Brainstorming
- Recommendations and next steps

Product Information: **MotherTech** is a digital marketplace that connects maternal healthcare providers with suppliers, streamlining procurement and reducing inefficiencies. DFHS sees potential synergy in improving their supply chain and lowering operational costs.

Industry/Competition: The **maternal healthcare industry** is evolving, with growing demand for digital health solutions and more efficient procurement systems. Competition is increasing as providers seek to reduce costs and improve care through technology.

Objective: **Dr. Fuqua Health Services (DFHS)** is a reputable provider of maternal and child healthcare, known for innovative care solutions. DFHS is focused on enhancing services and improving operational efficiency.

Value Chain/ Revenue Information: **DFHS** faces rising costs due to growing demand and supply chain inefficiencies. Acquiring **MotherTech** could reduce procurement costs, improve care, and create new revenue opportunities through digital services.

Timeline: DFHS aims to add **\$5M in annual EBITDA over the next 2 years**. The CEO is cautious about overspending and needs clear **ROI** before committing to the **\$75M** acquisition of **MotherTech**.

Company Value

Profitability/Revenues/Costs/Trends:

Assess revenue growth, cost management, and future projections. Identify scaling opportunities for revenue and cost efficiencies.

Revenue Goal:

Can the revenue meet the needs for DFHS? Explore potential revenue growth from market expansion.

Competitive Advantage/Product Offering:

Analyze how MotherTech can improve the supply chain for DFHS and reduce costs. Consider how MotherTech differentiates itself from competitors.

Industry Analysis

Market Size and Growth Potential:

Assess if the growth supports long term potential and look at the digital trends in maternal health.

Customer Breakdown & Trends:

Identify segments and their digital needs. Explore the existing customers for DFHS and see if they would adopt the platform.

Competitive Landscape:

Evaluate MotherTech against competitors, consider barriers to entry and long-term sustainability in the market.

Financials of Acquisition

Price Valuation:

Compare the price to industry multiples and determine whether the acquisition is net positive.

Acquisition Financing:

Think about the ways DFHS can finance the acquisition- through debt or cash. Assess the impact on financing.

Other Considerations

Regulatory and Legal Issues:

Ensure MotherTech complies with healthcare regulations like HIPPA. Analyze the risks related to legal liabilities and data security. Consider any operational challenges.

Exhibit #1 – Market Size and Market Share

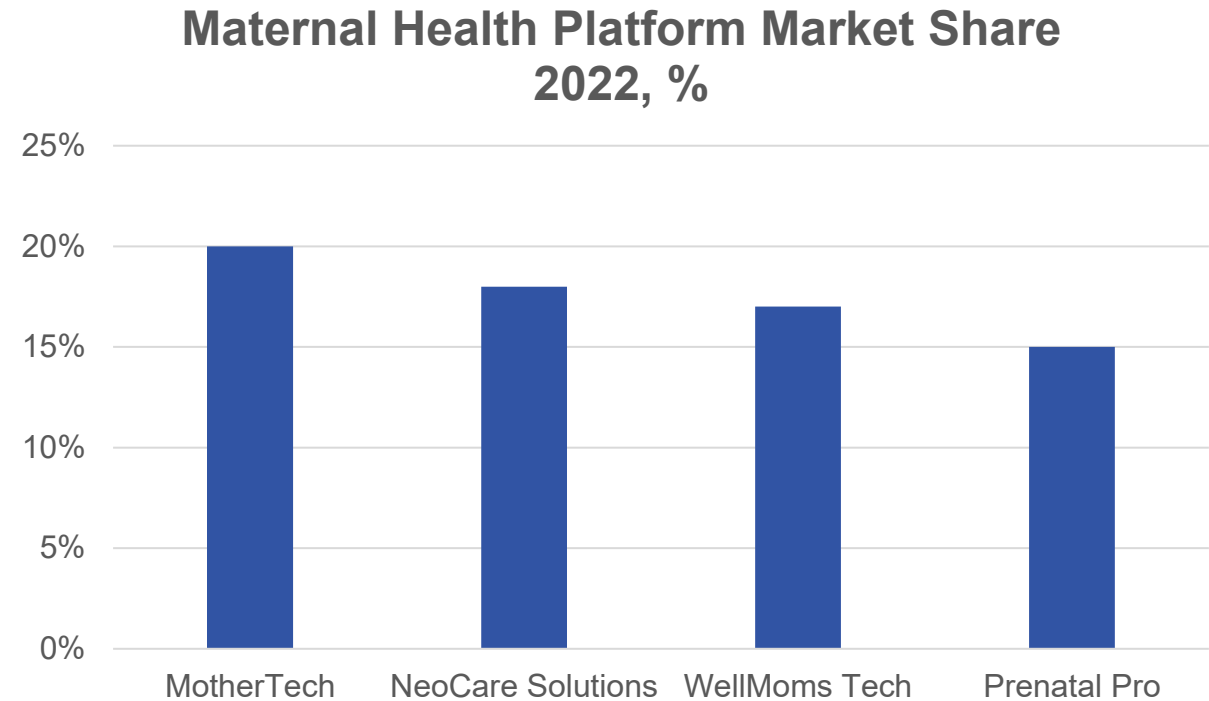
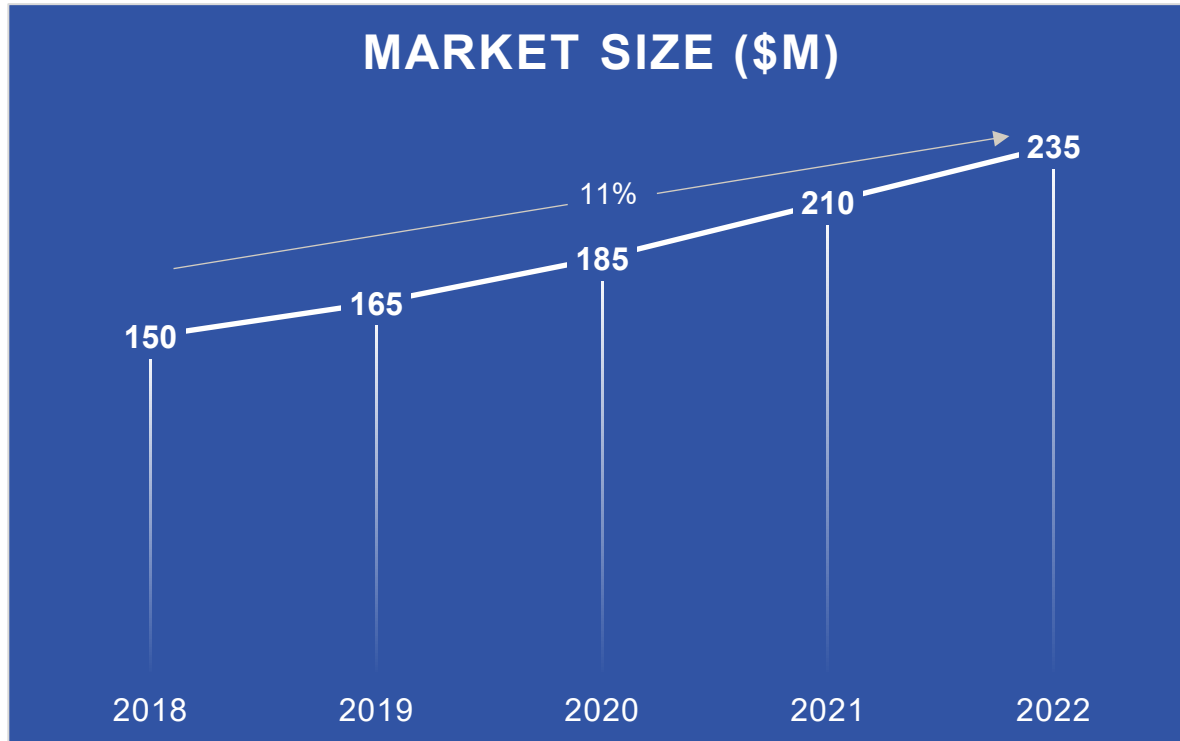


Exhibit Notes

Interviewee should notice that the market is growing at an 11% annual rate, signaling a healthy market expansion in maternal health platforms and offering potential long-term growth opportunities for MotherTech.

Interviewee should recognize that MotherTech is the largest player in the market, holding a **20% market share**, which reflects a strong competitive position.

Interviewee should calculate revenue from the information provided:

- $20\% \times \$235\text{M}$ (2022 market size) = **\$47M** in revenue for MotherTech in 2022.

After calculating revenue, **the candidate should shift focus towards identifying costs and calculating the EBITDA** based on estimated operating expenses such as cost of revenue, marketing, and platform development.

Exhibit #2– MotherTech Operating Expenses

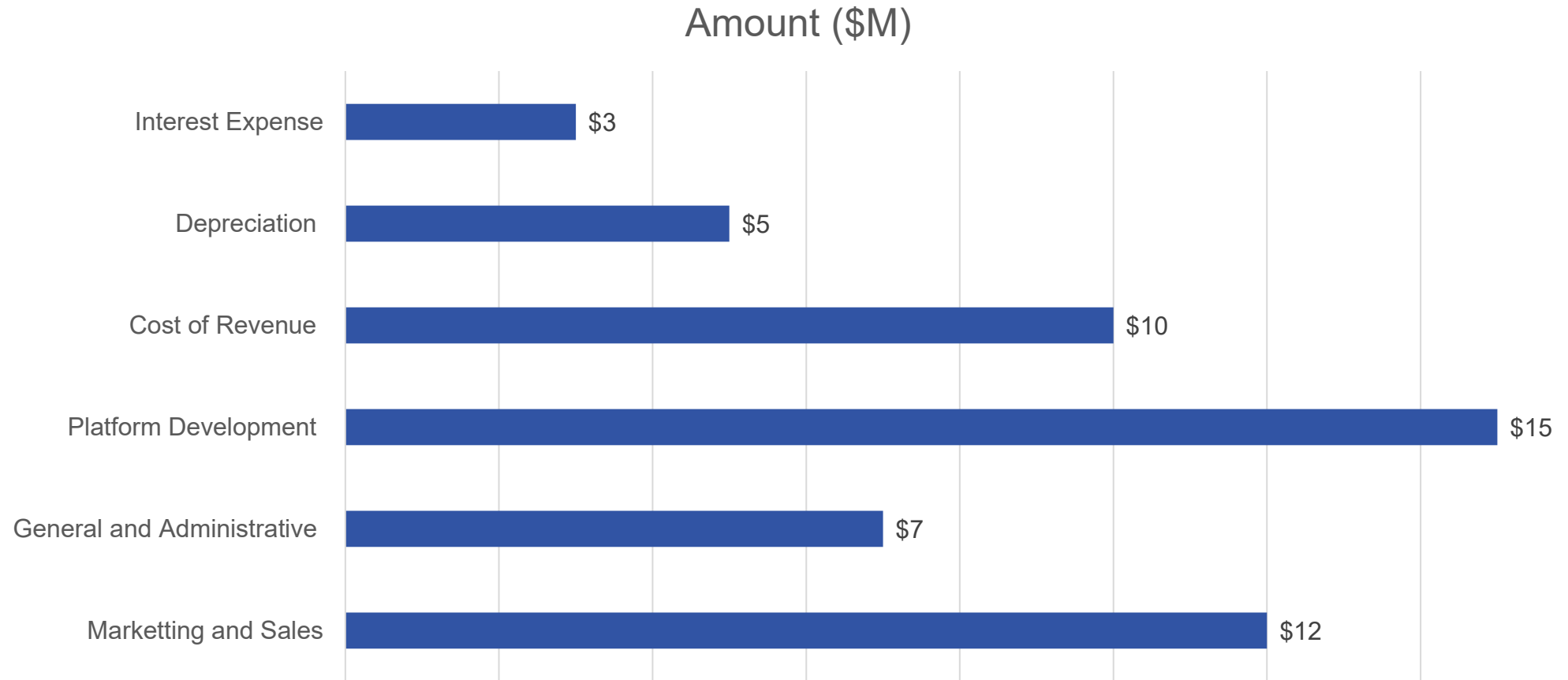


Exhibit Notes

Interviewee should identify that Platform Development costs are the largest expense, accounting for **over 34% of total operating costs**. There may be potential to optimize or reduce these costs to improve EBITDA; however, given the importance of innovation and staying competitive in the digital healthcare market, cutting these costs may hinder future growth.

A good candidate will see that there is additional information such as Depreciation and Interest expense and realize that these won't play a role in calculating EBITDA.

Interviewee should calculate total operating expenses:

- \$12M (Marketing & Sales) + \$7M (General & Administrative) + \$15M (Platform Development) + \$10M (Cost of Revenue) = **\$44M** in total operating expenses.

Interviewee should then use revenue from Exhibit 1 to calculate EBITDA:

Revenue from Exhibit 1: \$47M

EBITDA calculation: \$47M - \$44M = \$3M EBITDA.

Post-EBITDA calculations, the candidate should begin estimating the enterprise value of MotherTech. If the candidate asks for DCF information, guide them towards using the multiples method of valuation and present Exhibit #3.

Exhibit #3 – Recent Acquisitions

Company Name	Description	EBITDA	Selling Price
NeoCare Solutions	Digital platform offering remote monitoring and virtual consultations for maternal care.	\$2.5M	\$20M
WellMoms Tech	Marketplace connecting healthcare providers with suppliers of neonatal and maternal products.	\$2M	\$18M
Prenatal Pro	Subscription-based platform providing personalized prenatal and postnatal health programs.	\$1.8M	\$15M
MaternityLink	Virtual platform that connects expecting mothers with healthcare professionals for prenatal classes and consultations.	\$2.7M	\$22M

Exhibit Notes

- **Interviewee should use comparable deals to calculate EBITDA multiples** (EBITDA divided by Selling Price):
 - NeoCare Solutions – 8x
 - WellMoms Technologies – 9x
 - PrenatalPro – 8.3X
 - MaternityLink – 8.1X
- **Interviewee should realize that PrenatalPro is an outlier** and not perfectly comparable to MotherTech due to its subscription-based model and should **exclude PrenatalPro from the comparable set**. They should average the rest (8.35X) to arrive at their target multiple.
- **Interviewee should calculate valuation using the average multiple:**
 - EBITDA from Exhibit #2: \$3M
 - Target multiple: 8.35X
 - **Valuation = \$3M × 8.35 = \$25.05M.**
- **Analysis:**
- **Interviewee should note that MotherTech's asking price of \$75M is significantly higher than the comparable valuation of \$25.05M,** suggesting that the deal may be overpriced based on industry comparables.
- **Interviewee should suggest that DFHS either negotiate the price down or identify cost-cutting initiatives and synergies** to justify the premium price. They should explore if MotherTech can help DFHS achieve its target EBITDA growth of **\$5M over the next 2 years** by improving supply chain efficiency or through other operational synergies.

Brainstorm Notes

What should **Dr. Fuqua Health Services (DFHS)** consider about acquiring **MotherTech** and expanding into the maternal health digital platform space? What are some possible **advantages** or **disadvantages** of this acquisition strategy?

Opportunities

- **Entry into the growing digital maternal health market**, which is expanding at 11% annually.
- **MotherTech's \$3M EBITDA**, with the potential to scale and help DFHS meet its goal of adding **\$5M in annual EBITDA** within 2 years.
- Potential for **cost savings and operational synergies** by streamlining the procurement of maternal and neonatal supplies.

Challenges:

- **DFHS's lack of experience in managing a digital marketplace**, which may complicate integration.
- **Limited overlap between DFHS's traditional healthcare model and MotherTech's platform**, potentially making synergies harder to achieve.
- **Customer acquisition and expansion costs** may be high, impacting MotherTech's ability to hit profitability targets and align with DFHS's EBITDA goals.

Recommendation

You've just been called into the CEO's office at **Dr. Fuqua Health Services**, and as you sit down, they ask for an update on the due diligence for the **MotherTech acquisition**.

Risks & Next Steps

The candidate should recommend that **Dr. Fuqua Health Services (DFHS) does not proceed with the acquisition of MotherTech** and highlight the following points:

- **MotherTech is overvalued**, with an asking price of **\$75M**, significantly higher than its **\$25.05M valuation** based on comparable deals. This overvaluation presents a high financial risk for DFHS.
- While **MotherTech represents an entry point into the growing digital maternal healthcare space**, the potential returns do not justify the premium price. DFHS would be overpaying for an acquisition that might not meet its financial goals.
- **MotherTech's \$3M EBITDA** is not enough to support DFHS's goal of adding **\$5M in annual EBITDA over the next 2 years** without identifying major cost synergies or revenue growth, both of which are uncertain.

The candidate should also highlight the following risks:

- **DFHS lacks experience running a digital marketplace**, which could make integrating MotherTech's platform difficult and hinder any synergies.
- There is **minimal overlap between MotherTech's tech-driven platform and DFHS's traditional healthcare operations**, which further limits the potential for meaningful synergies.
- **Customer acquisition costs may rise** as DFHS will need to invest heavily in marketing and expanding MotherTech's user base, which could negatively impact profitability and make it harder to achieve EBITDA targets.

Based on these points, the candidate should recommend that **DFHS not move forward with the acquisition** and instead explore alternative strategies, such as **developing its own digital platform** or seeking a more reasonably priced acquisition target.



Bumpers R Us

Industry	Manufacturing
Case Type	Operations
Firm Style	Kearney (<i>Interviewer-Led</i>)
Quantitative Difficulty	Easy
Qualitative Difficulty	Medium

Author: Helen Birdsong (Fuqua '24)

Prompt

Your client is Bumpers-R-Us, a manufacturer of plastic automotive bumpers. Bumpers-R-Us is a Tier-1 supplier for a major global OEM called CNW and is based in the southeastern United States. The client receives raw materials from around the world, which are then used in its plant to produce the plastic bumpers. The bumpers are shipped by truck 360 miles away to the local CNW plant.

Bumpers-R-Us has been a Tier-1 supplier to CNW for over 5 years, but over the past 6 months, the client has seen an increase in the amount of time it takes for parts to arrive at the CNW plant. CNW has issued a warning of potential fines and loss of future contracts if the lead time is not returned to the previous levels. Bumpers-R-Us is eager to find the source of the change in lead time and fix the issue as soon as possible.

Note: This case is interviewer-led.

Interviewer Guidance

- **Case Steps**

- Exhibit #1: Manufacturing process
- Brainstorm #1: Process improvement
- Exhibit #2: Strategic initiatives
- Recommendations and next steps

- **Clarifying Information (If Prompted)**

- Bumpers-R-Us is a domestic supplier that purchases raw materials from around the world and supplies solely to the local CNW plant.
- The client profited \$25M last year, with \$10M in costs.
- The manufacturing process consists of four stages: molding of plastic parts from raw materials, painting of molded parts, the bonding & assembly of the bumpers (Bonding/Assembly), and the shipment between the manufacturer and CNW.
- The pre-6 month lead time was 29 hours.
- The General Manager of the plant has directed a budget of up to \$5M be dedicated to addressing the lead time issue.

Internal

- **Process**
 - Stage with longest lead time
 - Stage with longest machine
 - Problem with machine
- **Labor**
 - Current number of employees
 - Current number of shifts

External

- CNW
- Demand (number of parts ordered)
- Type of parts ordered
- Suppliers
- Raw materials
- Availability
- Prices

Market

- Competitors
- Customers
- Consumer trends

- Suitable frameworks should address both internal and external factors potentially affecting the manufacturing process.
- The interviewer should briefly discuss points of interest in the framework before asking the interviewee to identify an area of focus.
- The interviewee should identify the process, machines used in the process, or amount of time spent in each stage before the interviewer moves to Exhibit #1.

Exhibit #1 – Manufacturing process

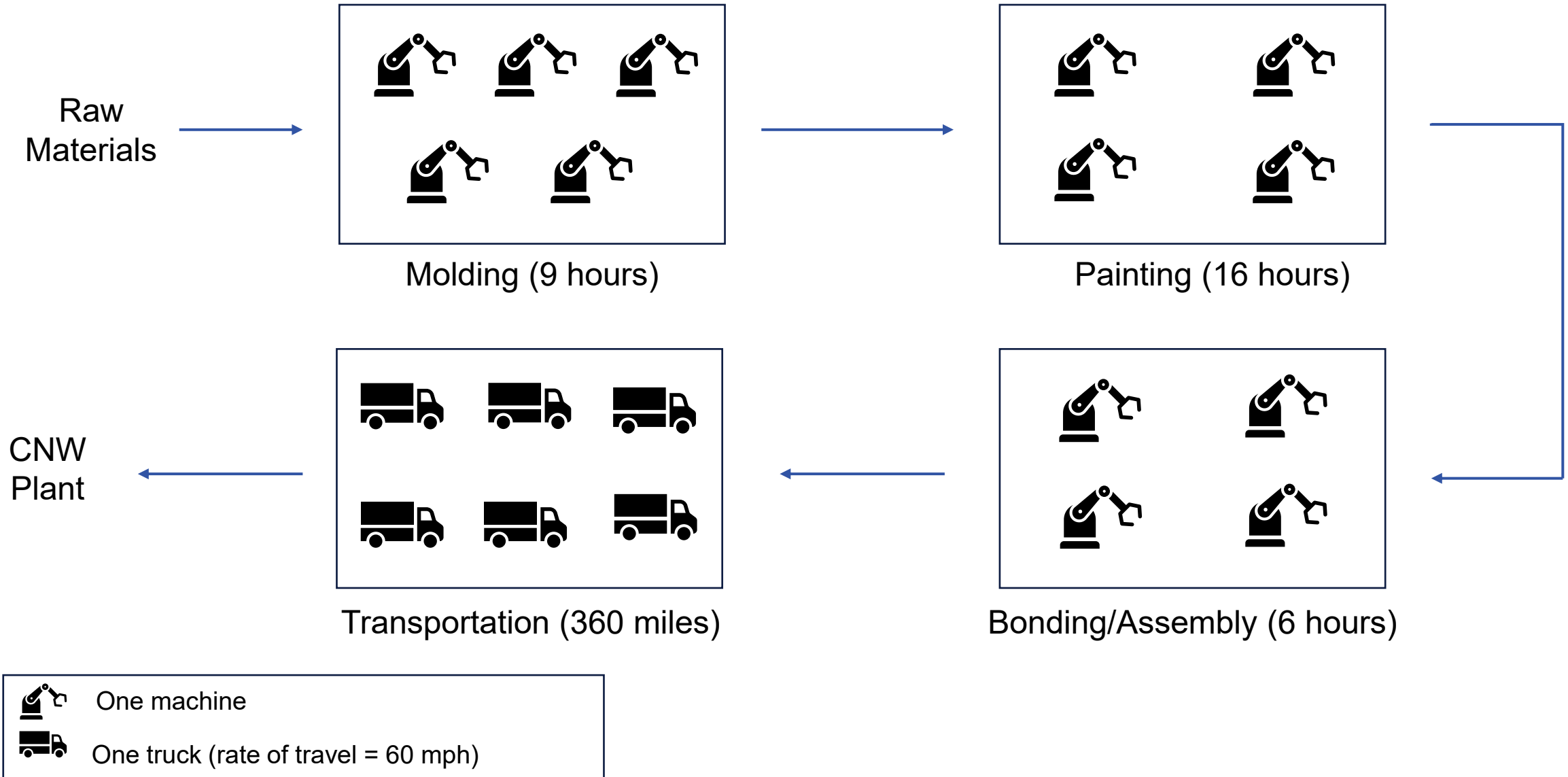


Exhibit #1 – Interviewer guidance

Exhibit Notes

- Interviewee should identify Transportation as the area with the most machines (in this case, vehicles), with the most time spent in the Painting stage.
- A good candidate will identify Painting as a potential area of concern.
- Candidates should calculate the current lead time to be 37 hours based on given information. Transportation time should be calculated to be 6 hours ($360 \text{ miles} / 60 \text{ mph} = 6 \text{ hours}$).
- **Once Painting is identified as an area of concern, the interviewer should prompt the candidate to brainstorm potential areas for improvement in the process.**

Brainstorm #1 – Improvement initiatives

Brainstorm Prompt

- **Prompt:** What are some potential initiatives for improvement in the current manufacturing process?
 - **Machines**
 - > Purchasing additional machines
 - > Upgrade or update existing machines
 - **Labor**
 - > Hiring additional workers
 - > Adding another shift
 - > Creating reward system for greater outputs
 - > Outsource certain tasks

Interviewer Guidance

- The list on the left is non-exhaustive and answers can go in many directions; this brainstorm is intended to test the candidate's creative thinking.
- Once the brainstorm is complete, the interviewer should steer the interviewee to ask about initiatives considered by the client.

Exhibit #2 – Strategic initiatives

- After brainstorming solutions, the interviewer should bring the candidate back to the General Manager's initial budget of \$5M for strategic initiatives. The following have been proposed; **the interviewer should read these to the interviewee without giving them the exhibit:**

Initiative		Potential Reduction of Lead Time	Purchase Cost	Additional Information (only read when asked)
1	Replace oldest paint line robot	3 hours	\$3.5M	The oldest paint line robot has been in use for 8 years, with most plants using these robots for up to 10 years.
2	Upgrade software for paint line robots	5 hours	\$1.5M	The software for the paint line robots was upgraded 3 years ago and is the second most recent version of software for these robots.
3	Add one additional paint line robot	4 hours	\$5M	There is space to add an additional paint line robot.
4	Add a third shift to the existing paint line	8 hours	\$6.5M	- There is currently only a first and second shift on the paint line, with no existing third shift. - No other stages currently operate a 3rd shift; most time will be spent on clearing molded products waiting from the first & second shifts
5	Outsource painting of partial shipment of bumpers	2 hours	\$2M	N/A

Exhibit #2– Interviewer guidance

Exhibit Notes

- Good candidates should recommend replacing the oldest pain line robot and upgrading the paint line software- this reduces the lead time from 37 to 29 hours (the target lead time) and remains within the \$5M budget set by the General Manager.
- Great candidates will refer back to any connections between the brainstorm and these initiatives.
- Candidates should steer away from adding an additional paint line robot or a third shift due to not reaching the targeted lead time of 29 hours and the costs exceeding the \$5M budget.

Quantitative Analysis

Initiative	Potential Reduction of Lead Time	Purchase Cost
Replace oldest paint line robot	3 hours	\$3.5M
Upgrade software for paint line robots	5 hours	\$1.5M
Add one additional paint line robot	4 hours	\$5M
Add a third shift to the existing paint line	8 hours	\$6.5M
Outsource painting of partial shipment of bumpers	2 hours	\$2M

Recommendation & Next Steps

Recommendation

- **Prompt:** The General Manager of Bumpers-R-Us will enter the room shortly; the candidate should be prompted to give their recommendation.
- Good candidates should recommend the two strategic initiatives from the second math portion.
- Great candidates will reference the lead time and budget targets being met.

Risks & Next Steps

- **Risks**
 - Potential risks a good candidate may provide include: increased costs of initiatives, unexpected maintenance of existing machines, the time needed to install software and potential delays of production based on software installation.
- **Next Steps**
 - Potential next steps a good candidate may provide include: requesting quotes for paint robots from multiple suppliers and requesting more information on the time required for a software upgrade.



A-Plus School District

Industry	Education
Case Type	Others (Public Sector)
Firm Style	McKinsey
Quantitative Difficulty	Medium
Qualitative Difficulty	Medium

Prompt

Your client is **A-Plus School District (APSD)**, a large public school district in the Southeast United States.

A-Plus' superintendent has been concerned about complaints from parents and community leaders regarding unacceptable student test scores on the end-of-year exams.

The superintendent has engaged your firm to recommend changes to improve student test scores and ensure all students are academically successful.

Interviewer Guidance

- **Case Steps**
 - ✓ Exhibit #1: Student Achievement Data
 - ✓ Exhibit #2: Student-Teacher Ratios
 - ✓ Exhibit #3: Teacher Budget Distribution
 - ✓ Recommendations and Next Steps
- **Clarifying Information (If Prompted)**
 - ✓ **Objective:** Identify root causes of low proficiency and recommend actions to improve student test scores quickly.
 - ✓ **Additional Background:** APSD School District serves a little over 38,000 students. Students in 3rd-10th grade take end-of-year exams to determine their proficiency in reading, math, and science.
 - ✓ **Metrics:** Proficiency is defined as student meeting 70%+ of the learning objectives for their grade-level.
 - ✓ **Timeline:** The superintendent wants changes implemented as quickly as possible.

In School

- Teacher quality – experience, certification, training completed
- Student teacher ratio
- Student schedule optimization
- Tutoring program
- Discipline issues
- Curriculum quality
- Student absenteeism
- Optimize spending – focus on items
- that impact student learning directly
- IEP/Disability accommodations
- ESOL/language considerations

Outside of School

- Internet access for students
- Parental involvement
 - Understanding of content
 - Helping with homework
- Community organization involvement
- Student commitments (i.e. needing to take care of family/siblings, job, etc.)
- Sports, arts, religion, other extra curriculars

Exhibit #1 : Student Achievement Data

Grade	Reading			Math			Science		
	2018	2019	2020	2018	2019	2020	2018	2019	2020
3	90	91	89	81	87	83	79	70	81
4	89	91	97	76	80	78	76	75	80
5	89	78	57	67	64	60	78	74	73
6	76	55	52	67	65	65	70	71	65
7	67	60	45	50	56	45	40	56	35
8	68	67	57	66	61	61	56	50	55
9	90	87	91	78	79	81	78	78	79
10	89	87	92	98	89	91	87	88	89

Exhibits Guidance

Prompt: The superintendent's office has shared student achievement data from the last three years. What insights could you draw to help APSD?

Additional Case Background:

- Students in kindergarten, 1st, 11th, and 12th grade do not take end of year assessment.
- The school configuration is as follows:
 - Elementary school (1st-4th grade)
 - Middle school (5th-8th grade)
 - High school (9th-12th grade)

Exhibit Analysis

- This exhibit allows the participant to determine which grade is seeing major issues with test scores.
- Calculation is not necessary; however, the candidate should be able to digest large quantity of information quickly to draw inference.
- It's important for the candidate to have a structured approach to walking the interviewer through the exhibit. For example, they could go through each grade one at a time and determine low performance, or they go through each content area one at a time.

Analysis for the exhibit to have two parts –

- **Basic:** response should highlight grades 5-8 having performance issues with a hypothesis to investigate further.
- **Second order insights:** an advanced candidate will determine that grades 5-8 is likely a school configuration so their hypothesis will focus on system-wide next steps. For example, comparing student teacher ratios for grades 1-4, 5-8, and 9-12.

Exhibit #2 : Student-Teacher Ratios

	1st-4th Grade		5th-8th Grade		9th-12th Grade	
	# of Students	# of Teachers	# of Students	# of Teachers	# of Students	# of Teachers
APSD	12000	600	12650	550	11400	570
Rosebud	10250	500	10200	510	11000	550
Silver Springs	14400	720	13400	670	15000	750

Exhibit #2 – Interviewer Guidance

Exhibit Guidance

Prompt: Based on the student enrollment and the number of teachers per grade band, what inference could you draw? The interviewer should not have to ask this question directly to the candidate who is doing a good job driving the case. Provide Exhibit # 2 as part of “next steps” from Exhibit 1.

Additional Case Background:

- Hiring a new teacher would cost \$50K/year.
- Assistant superintendents for each grade bands control the budget for their respective grade band.
- Rose Bud and Silver Springs are considered comparable school districts.

Exhibit Analysis

- This exhibit allows the candidates to determine student-to-teacher ratio, one of many indicate that could be used to determine education quality in K-12 schools.
- Candidate should divide the number of students by the number of teachers for each grade band for each school districts.

	1st-4th	5th-8th	9th-12th
APSD	20	23	20
Rosebud	20.5	20	20
Silver Springs	20	20	20

- For this exhibit, the candidate should be quickly be able to compare the student to teacher rations for each of the school district and grade bands to determine that APSD has a very high student-to-teacher ratio. The next step that could be proposed could be:
 - Examining how teachers are distributed across grades in APSD.
 - What budgetary changes need to be made to hire new teachers for 5th-8th grade.

Exhibit #3 : Teacher Budget Distribution

Budget Category	1st-4th Grade	5th-8th Grade	9th-12th Grade
Academics	20%	17%	15%
Teacher Salaries	50%	45%	50%
Administration	10%	17%	10%
Athletics	1%	1%	8%
Arts and Activities	5%	5%	5%
Transportation	10%	9%	10%
Building/Maintenance	2%	2%	0%
Building Construction	0%	2%	0%
Other	2%	2%	2%
Total	100%	100%	100%

Exhibit #3 – Interviewer Guidance

Exhibit Guidance

Prompt: Provide Exhibit # 3 as next step from Exhibit 2. If they don't ask for budget dollar amounts, they should be provided. Also, candidate should mention risks associated with moving budget around, but they might need to be prompted.

Additional Case Background:

- Annual budget for each grade bands with APSD:
 - Grades 1-4: \$60M
 - Grades 5-8: \$60M
 - Grades 9-12: \$57M

Exhibit Analysis

- There are multiple ways to approach this exhibit. One possible method: for 5th-8th grade, take 7% of admin budget and move it to teacher salary.
- Calculations: $(\$60M)(0.07) = \$4.2M$ additional funding for teachers.
- Each new teacher costs \$50K so the #of new teachers that could be hired $= \$4.2M / \$50K = 84$.
- New student to teacher ratio $= 12650 \text{ students} / (84 \text{ new teachers} + 550 \text{ current teachers}) = 19.95:1$ (rounded at 20:1).
- Note that the candidate may suggest other possible methods including raising APSD's 5-8th grade budget from 45% to 50% to match other grades. Prompt them to think about whether this would be enough of a budget change to make an impact on student to teacher ratio.

Analysis for the exhibit to have 2 parts –

- **Basic:** Basic response will mention moving budget around to increase spending on 5th-8th grade teachers. They will need to be prompted to determine if it's feasible to bring down the student to teacher ratio to 20:1.
- **Second order insights:** Candidate should ask for raw \$ amount and use it to calculate the number of teachers that could be hired to bring down the student to teacher ratio to 20:1. They should also provide risks associated with doing this. Risks could include: more discipline issues with fewer admins, teachers won't get feedback as frequently as they should, school-wide issues take longer to be resolved.

Recommendation & Next Steps

Recommendation

- **Prompt for final recommendation:** You bump into the superintendent at Starbucks and she asks for your recommendation.

Recommend that APSD move 7% of the budget from admin costs to hire 84 new teachers. This will help bring down student to teacher ratio from 23:1 to 20:1.

Risks & Next Steps

Risks:

- Impact of reducing admin budget (layoffs, slowed operations).
- Supply and quality of teachers (it might be really challenging to find those to teach 5-8th grade).
- Timing – how quality can we find, hire, and train.

Next Steps:

- Determine which admin positions could be terminated without adverse impact on student learning.
- Work with the school board to approve hiring plan.



Sardine Airlines

Industry Transportation

Case Type Profitability

Quantitative Difficulty Medium

Qualitative Difficulty Medium

Origin: Fuqua Casebook (2016–2017)

Revised and Updated by Vann Vicente (Fuqua '24) and Darian Aghili (Fuqua '24)

Prompt

Sardine Airlines is an ultra low-cost carrier with flights throughout the continental United States. They have hub airports in Oakland, California; Tulsa, Oklahoma, and Hartford, Connecticut. Sardine Airlines is facing increased pressure from other low-cost carriers such as Cattle Car Air and Soul Airlines.

Sardine Airlines has faced declining profit for the past year. Sardine's CEO, Penny McPincher, has asked your team for advice on how to reverse the profitability trend.

Interviewer Guidance

- **Clarifying Information (If Prompted)**

- Sardine Airlines competes primarily on having the lowest cost fares and offering minimal service
- Due to its business model Sardine Airlines has a culture of cost savings that can be passed to the customer
- Sardine Airlines is trying to grow profit margin to 20% (profit margin is net income/total revenue)
- If the interviewee asks about revenues/costs, give them Exhibit 1, Statement of Operations

Financials

- **Revenue**

- Average price per ticket
- Quantity of seats per plane
- Average utilization per flight
- Number of flights per day, week, month, year, etc.
- Additional fees
 - > Baggage
 - > Seat upgrades

- **Costs**

- Unit cost per passenger
- Fixed cost per flight
- SG&A costs of airline
- Airport gate fees

Market

- **Industry Trends**

- Travel patterns/frequency of flying
- Industry growth
- Low-cost vs. general carriers
- Booking sites and aggregators

- **Competitors**

- Other airlines
- Trains/other forms of transport

- **Airports**

- Penetration of regional airports
- Terminal share/prioritization

Internal Operations

- **Fleet Optimization**

- Lifecycle of planes
- Service rates of planes

- **Route Planning**

- Average distance
- Geographical coverage

- **Labor**

- Pilots and aviation staff
- Flight attendants
- Maintenance staff
- Administrators

- **Suppliers**

- Fuel and parts
- In-flight services

Exhibit #1 – Statement of operations

Unaudited, in millions

	2015	2014	2013	2012
Operating Revenue				
Passenger	\$ 1,088	\$ 1,092	\$ 908	\$ 793
Non-ticket	\$ 1,055	\$ 968	\$ 862	\$ 769
Total Revenue	\$ 2,143	\$ 2,060	\$ 1,770	\$ 1,562
Operating Expense				
Fuel	\$ 589	\$ 583	\$ 625	\$ 718
Landing Fees	\$ 383	\$ 370	\$ 332	\$ 296
Maintenance	\$ 214	\$ 164	\$ 106	\$ 67
SG&A	\$ 428	\$ 309	\$ 185	\$ 171
Special Charges	\$ -	\$ -	\$ 225	\$ -
NI Pre Tax	\$ 529	\$ 634	\$ 297	\$ 310
Taxes	\$ 158	\$ 189	\$ 88	\$ 92
Net Income	\$ 371	\$ 445	\$ 209	\$ 218

Exhibit #1 – Interviewer guidance

Exhibit Notes

- The exhibit is designed to have too much data to synthesize in a reasonable amount of time.
- Additional information you may provide when asked:
 - Non ticket revenue are things like bag fees, food, beverages, customer service charges, paper tickets, etc.
 - Landing fees are what Sardine Airlines pays to use airports
- The candidate should keep in mind the 20% profit margin that the CEO wants, which given the NI, is an **added \$57.6M**. They should also see that revenue has continued to grow, albeit slower than in the past.
- The candidate should see that SG&A as a proportion of revenue increased from 15% to 20% and is the primary driver of declining profit -- once identified give them Exhibit 2.
- If the candidate identifies maintenance costs proportionately increasing, give them Exhibit 3. If it never comes up, you don't need to show Exhibit 3.

Exhibit Analysis

	2015	2014	2013	2012
Operating Revenue	<u>YOY CHANGE IN REVENUES FROM PRIOR YEAR</u>			
Passenger	-.37%	20.26%	14.47%	
Non-ticket	9%	12%	12%	
Total Revenue	4%	16%	13%	
Operating Expense	<u>EXPENSES/NI AS A PERCENT OF TOTAL REVENUE</u>			
Fuel	27%	28%	35%	46%
Landing Fees	18%	18%	19%	19%
Maintenance	10%	8%	6%	4%
SG&A	20%	15%	11%	11%
Special Charges	0%	0%	13%	0%
NI Pre Tax	25%	31%	17%	20%
Taxes	30%	30%	30%	30%
Net Income	17%	21%	12%	14%

Exhibit #2 – SG&A breakdown

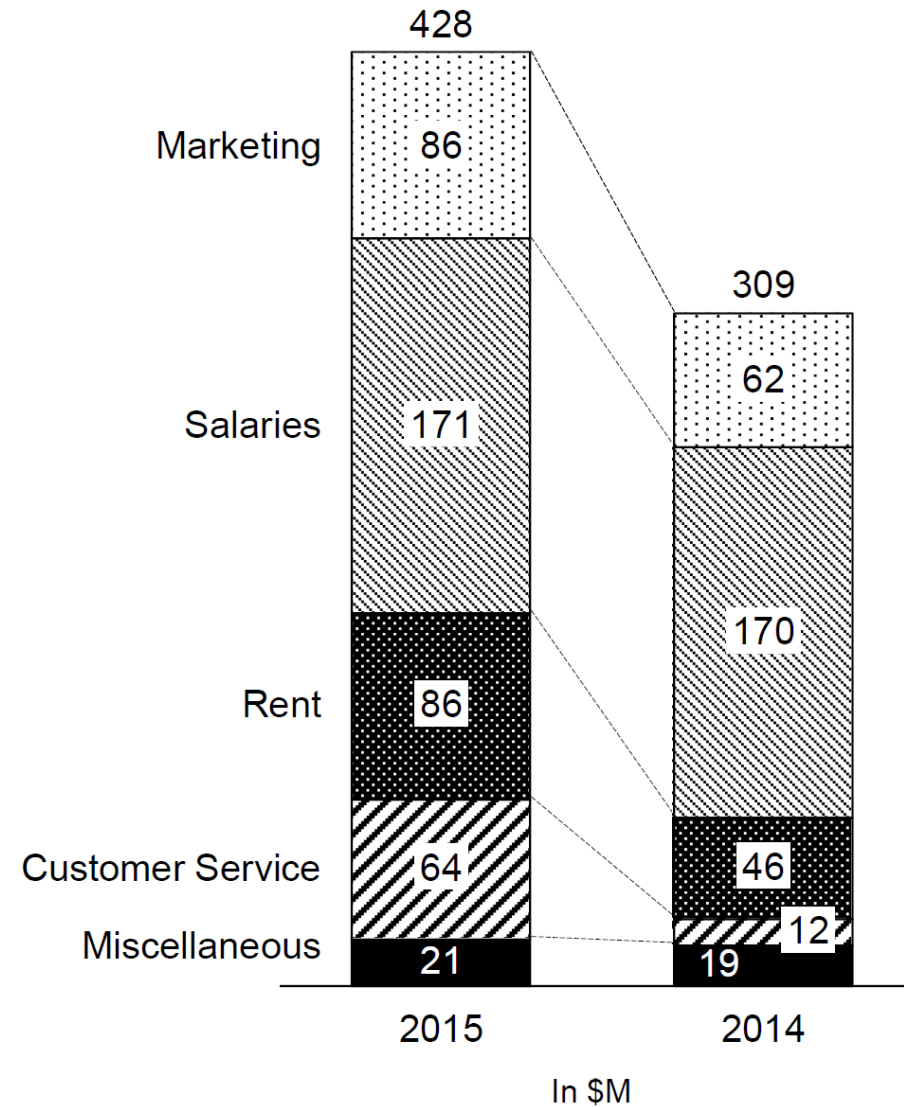


Exhibit #2 – Interviewer guidance

Exhibit Notes

- The candidate should identify that 3 areas are driving growth in SG&A: Marketing, Rent, and Customer Service.
- The other areas are not large enough increases to focus on to get to the \$57.6M profit increase the CEO is looking to achieve.
- The percent of total SG&A and absolute increases are below:

	2015	2014
Marketing	20%	20%
Salaries	40%	55%
Rent	20%	15%
Customer Service	15%	4%
Miscellaneous	5%	6%

Exhibit Analysis

	YoY Change
Marketing	+ \$ 24
Salaries	+ \$ 1
Rent	+ \$ 40
Customer Service	+ \$ 52
Miscellaneous	+ \$ 2

Exhibit #3 – Sardine maintenance



TO: Penny McPincher, CEO of Sardine Airlines

FROM: Michael Huerta, Administrator of the Federal Aviation Administration

DATE: June 30th, 2015

SUBJECT: Sardine Airlines Maintenance Record

This memorandum is to notify that as of today, Sardine Airlines is no longer under maintenance supervision from the Federal Aviation Administration (FAA). The FAA believes the improved maintenance program no longer warrants FAA intervention.

Any future decrease in maintenance standards will result in FAA supervision or sanctions.

Exhibit #3 – Interviewer guidance

Exhibit Notes

- **Clarify if asked:** The Federal Aviation Administration (FAA) is the U.S. Government regulatory agency responsible for the safety of U.S. airlines.
- The candidate should put together that the increase in maintenance spending is directly tied to the fact that previous maintenance spending was not sufficient to be considered safe.
- The candidate should move away from maintenance cost cutting.
- If the candidate still is interested in pursuing cost cutting in maintenance give them this prompt: **“Our client is adamant that the recently improved maintenance program is running at peak efficiency and any cuts would invite unwanted scrutiny from regulators.”**

Prompt – Cost-cutting measures

Brainstorm Prompt

- **Prompt:** Sardine Airlines has been aggressively advertising to combat competitive pressures. Both the CEO and the Board believe this is a critical expenditure.

Recently the landlord for the firm's headquarters in Oakland raised rent by \$35M. Customer service complaints have increased nearly 3,000%, which the company believes is due to the new 12 inch seats that were installed in the entire fleet. This has caused Sardine's call center provider to increase billing by 520% from 2014's \$12.36M. What can Sardine Airlines do to address these issues?

Interviewer Guidance

- The candidate might suggest cutting marketing or increasing seat sizes. Steer them away from those.
 - **Marketing?** Neither the CEO or Board will take any recommendations on cutting the marketing expenses
 - **Seat Sizes?** The firm is not interested in increasing seat sizes. They are actually looking to pilot 8 inch seats in a new class of service called, "steerage"
- The firm doesn't need to be based in Oakland, but does want to be located where it has major operations.
- Rent in Tulsa or Hartford would be 40% less than current 2015 rent. **(IG: 40% x \$86M = \$34.4M)**
- The call center vendor charges rates that are on average 60% higher because their call centers are based in the United States and staffed with native English speakers. **(IG: 60% X \$64M = \$38.4M)**
- **Total cost savings are \$72.8M.**

Recommendation & Next Steps

Recommendation

- **Prompt:** The CEO, Ms. McPincher, is going to be joining us in just a few minutes to hear your recommendations on how to improve profitability.
- Candidate should have a recommendation that includes the following:
 - To increase profit margin to 20%, Sardine Airlines should focus on cutting SG&A costs. There are two key ways to cut SG&A: customer service and rent.
 - Recommend that they transition to an overseas-based call center vendor, which would save approximately \$38.4M.
 - Move the headquarters to either Tulsa or Hartford, which will have less expensive office real estate markets and thus find major cost savings of up to \$34.4M.
 - **They can realize total cost savings of up to \$78.8M, which will get them to the profit margin target of 20%.**
 - (Bonus) Given the relatively low increase in revenue from installing 12" inch seats and potential customer service issues, recommend against 8" seats.

Risks & Next Steps

- **Risks**
 - One-time expenses in moving the headquarters
 - Workers who may not want to transition offices, causing higher attrition of existing employees
 - Unhappy customers from decreased customer service quality due to overseas transition
- **Next Steps**
 - Start scoping potential headquarter locations in either Tulsa or Hartford.
 - Look for and evaluate overseas replacement vendors for the call center.



Goodbye Horses

Industry Healthcare

Case Type Decision Analysis

Quantitative Difficulty Medium

Qualitative Difficulty Difficult

Origin: Fuqua Casebook (2016–2017)

Revised and Updated by Vann Vicente (Fuqua '24)

Prompt

Your client is the CFO of Aperture Laboratories, a leading US biopharmaceutical company with a market cap >\$150B. Aperture develops and manufactures a diversified range of products and in particular prides itself on saving millions of human lives every year.

The company is under investor pressure because of its slow firm value growth over the next 10 years. Investors are very anxious to see significant changes announced at the firm in the next quarter. The CFO has already identified and evaluated several high-growth, promising, but capital-intensive projects, and she does not have enough cash to invest in any of these opportunities. **What does she need to do next?**

Interviewer Guidance

- The prompt can be ambiguous, and many interviewees may drive the case towards evaluating the projects or building a profit tree of the existing business to identify any issues. Neither of these approaches directly answers the prompt but probe them to realize the goal is to raise capital to fund these projects.
 - Optional: This case can be a good opportunity for the interviewee to experience a free-flowing, conversational “partner style” case. Consider telling the interviewee to not write anything down for the framework.
- Let the student build a framework, which should be focused on ways to raise capital, but could also include other next steps such as gaining management buy-in to invest in these high growth opportunities
 - Ideal framework will include ways to raise capital (issuing equity, raising debt, divesting a portion of business, canceling existing projects to free up budget) and also touch on where to deploy the capital (i.e., into the projects)
 - Students may discuss P&L levers in their framework, which is OK, but check if they realize any cost-cutting or revenue-boosting measures will not raise capital quickly and don't satisfy investor requirements for significant changes
 - Ideal candidate will discuss pros/cons of each way to raise capital
- **Guide them towards thinking about divestiture, then provide them with the first exhibit.**

Capital Raising

- **Equity Financing**
- **Debt Financing**
- **Divestitures**
- **Reallocation of Funds**

An ideal framework would include the candidate evaluating pros and cons for each capital raising method.

Investment Opportunities

- **Type of Investment**
 - Build vs. buy
- **Evaluation Framework**
 - Capital investment required
 - Synergy with existing business lines
 - Ease of implementation / timeline
 - Core competencies
 - Projected NPV
- **Management Buy-In**

Pharmaceutical Market

- **Competition**
 - Similar market activity present in other biopharma companies
 - Regional competition
- **Trends**
 - Emerging diseases
 - New research activity

Exhibit #1 – Aperture business segments

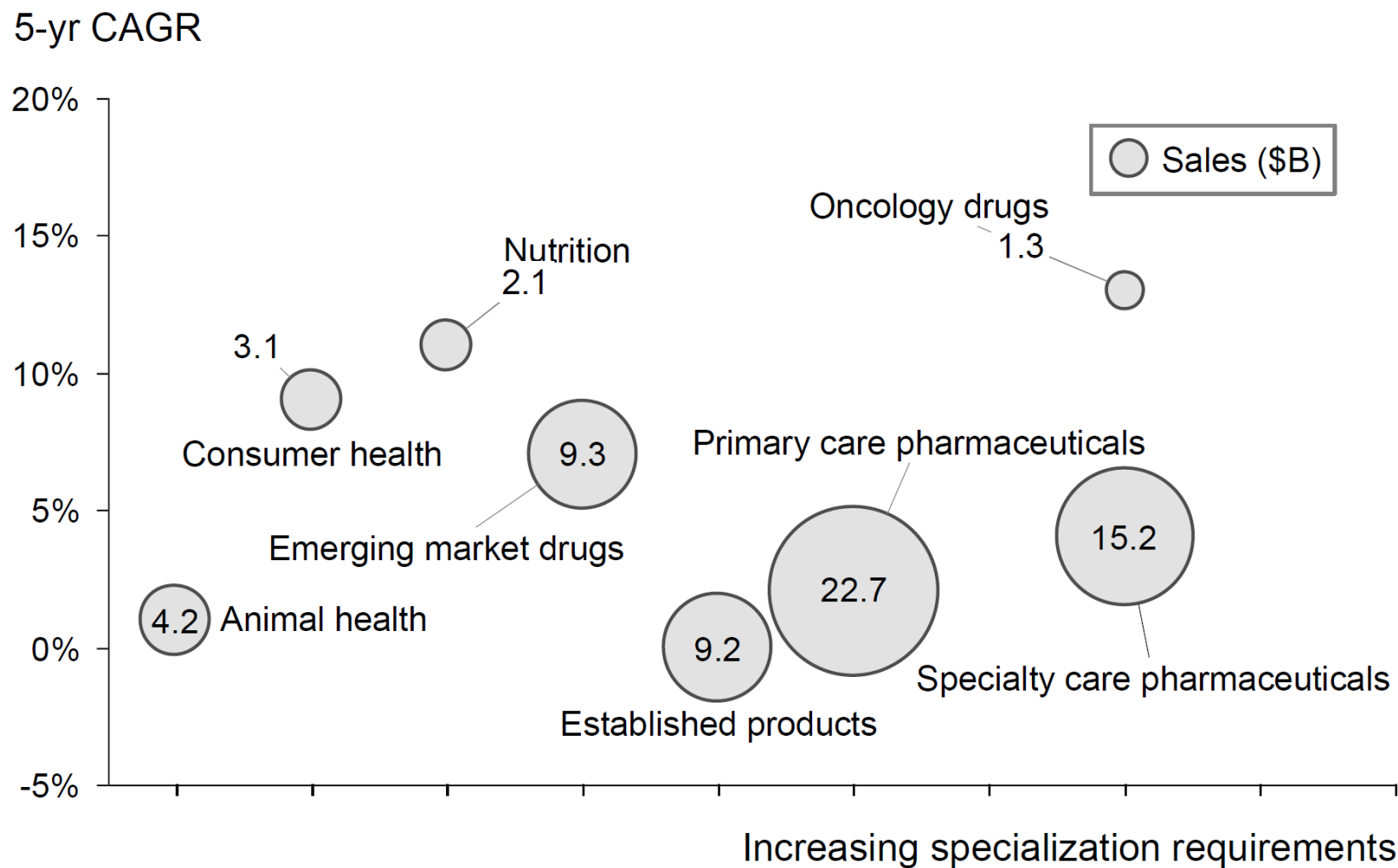


Exhibit #1 – Interviewer guidance

Exhibit Notes

- Provide the exhibit and let the interviewee walk through it verbally.
- The interviewee should drive the discussion and determine that animal health is the best option to divest, providing sufficient rationale.
- If the interviewee does not choose animal health, discuss with them their rationale and steer them towards choosing animal health.
 - *The interviewee should take the hint and switch towards animal health.*
- **Do not prompt the interview towards next steps; make sure they drive conversation towards how much capital they can raise and if they can find buyers for the business unit.**

Exhibit Analysis

- The following are key chart takeaways. Not all of these are necessary to discuss:
 - Animal health is one of the lowest growth business units.
 - Animal health is the most different business unit and outside of what Aperture prides itself in. (Specifically, saving human lives)
 - Its low degree of specialization will allow a larger pool of potential buyers (i.e., easier for another company to operate)

Prompt #1 – Animal health business sale

Prompt

- Unknown to the CFO until now, the business development team has retained JP Morgan to assess the sale-ability of the Animal Health business. They have identified that Aperture will likely receive a 3.5x enterprise value to sales multiple for the animal health business.

Exhibit Analysis

- Do not prompt further; let the interviewee work through the next steps
- The interviewee should drive towards understanding how much capital they will receive from the sale:
(\$4.2B x 3.5 = \$14.7B)
 - If asked about taxes, tell the interviewee the deal has been structured by JP Morgan to be tax-free
- The interviewee should then begin discussing which projects to invest the capital in. Once they've begun thinking about this, provide the next exhibit.

Exhibit #2 – Investment opportunities

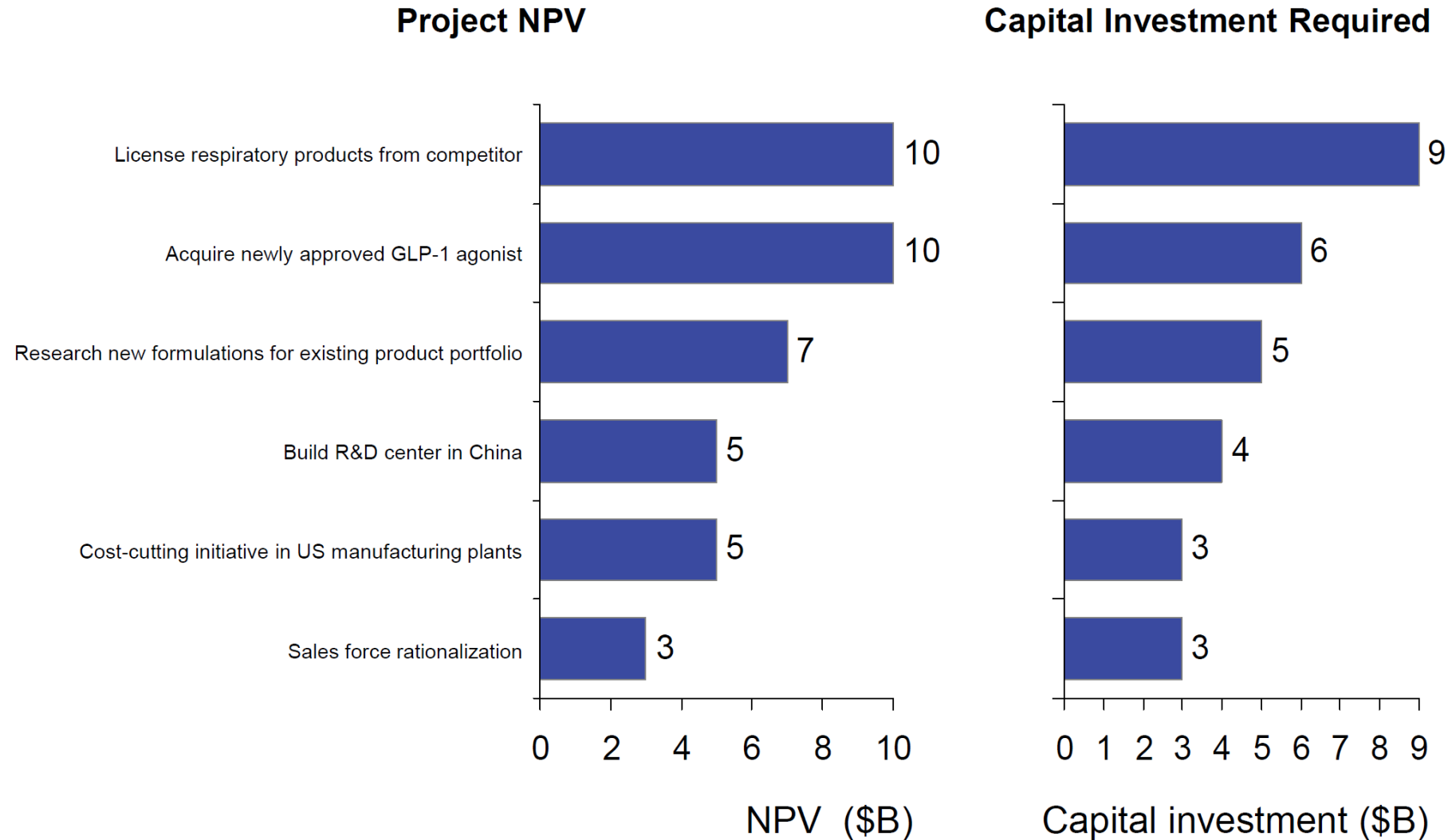


Exhibit #2 – Interviewer guidance

Exhibit Notes

- Provide the exhibit and let the interviewee walk through it verbally
- **If asked, tell the interviewee that the NPV includes the capital investment.**
- The interviewee should drive the discussion and determine which projects to invest in; an excellent candidate will also look to discuss qualitative aspects of each projects (e.g., timeline, synergies)
- Given our capital constraint of \$14.7B, the interviewee should attempt to maximize NPV. Thus, the most effective use of capital is to invest in:
 - Acquire newly approved GLP-1 agonist
 - Research new formulations for existing product portfolio
 - Cost-cutting initiative in US manufacturing plants

Quantitative Analysis

- The best way to identify which projects to prioritize is to create a “profitability index” (e.g., NPV / capex)
- The interviewee can then rank projects by profitability index and see how many can be completed given our constraint of \$14.7B. The following are calculations:
 - 1. License respiratory products: $\$10 / \$9 = 1.11$
 - 2. GLP-1 agonist: $\$10 / \$6 = 1.67$
 - 3. New formulations: $\$7 / \$5 = 1.40$
 - 4. R&D center in China: $\$5 / \$4 = 1.25$
 - 5. Cost-cutting initiatives: $\$5 / \$3 = 1.67$
 - 6. Sales force rationalization: $\$3 / \$3 = 1.00$
- Adding up projects 2, 3, and 5 gives us the highest NPV (\$22B) and only requires \$14B to accomplish.
- A very good candidate will also have a recommendation for the remaining \$700M, i.e. share buy back, dividend, small-scale investment, etc.

Recommendation & Next Steps

Recommendation

- **Prompt:** The CFO is out at lunch and the CEO of Aperture walks into your conference room, wondering what you've been working on.
- An ideal candidate will walk through the divestiture and what to do with the influx in capital.
- The candidate should recap that we want to divest the animal health business, which has low specialization requirements and low growth, to raise capital.
- Using the \$4.7B raised from that sale, we can invest in the 3 projects selected to generate an NPV of \$22B.

Risks & Next Steps

- **Risks**
 - We may have a hard time selling the animal health division for the price we want.
 - The timing of the deal completion may take longer than expected, which affects the timeline for new capital projects.
 - New capital projects could fail.
- **Next Steps**
 - Identify target buyers for the animal health division and see if the business valuation matches the market price.
 - Develop an expected timeline for the deal and for each prospective capital project.
 - Perform due diligence before launching capital projects, and explore other potential projects not listed in the process.



Scrub Strategy

Industry	Consumer and Retail
Case Type	Product Launch
Firm Style	BCG
Quantitative Difficulty	Difficult
Qualitative Difficulty	Difficult

Author: Spencer Totsch (Fuqua '25)

Prompt

The CEO of G&P, a consumer product company, has approached you with a new type of sponge known as the smiley. This sponge could be used within many of its customer segments.

She wants to test the product as soon as possible within a test market to determine the correct market segment to target at launch. She is hoping to announce the product in the company's yearly product launch event in 4 months. (16 weeks)

Interviewer Guidance

- **Case Steps**
 - **List out all, Exhibits, Brainstorms, and final recommendations in the needed order**
 - Exhibit #1: Potential Test Markets
 - Brainstorm #1: Transition Brainstorm
 - Exhibit #2: Market Results
 - Brainstorm #2: Marketing Strategy
 - Recommendations and next steps
- **Clarifying Information (If Prompted)**
 - **Objective:** CEO wants to reach \$1M in revenue in the test market and have as much time as possible before launch to prepare marketing materials.
 - **Model:** The company is known for all kinds of products that span all industries and use cases, from floor cleaners to shampoo.
 - **Geography:** Product release will happen in the US only.
 - **A test market** - A smaller market, such as a city, within the US that a company tests its products.

Market Segments

- **Different Customer Segments**
 - Home
 - Industrial
 - Healthcare
- **Usage Alignment**
 - How is the product used to create value to the customer
- **Market Size and Growth**
 - What is the CAGR of each group?
 - Can it be scaled for the foreseeable future?

Prelaunch Test Location

- **Demographics and Adoption**
 - Who should we target?
 - How do they compare to broader US potential customers?
- **Competitive Landscape**
 - Are these other markets saturated?
- **Operational Feasibility**
 - Can we access the locations quickly?
 - Can we get a big enough sample size?

Launch Strategy

- **Marketing and awareness**
 - How do we go to market?
- **Product Feedback**
 - Ensure we get feedback from test market on how the product can be used.
- **Sales**
 - How will we sell the product and to whom?
 - Can we partner with any brands?

Exhibit #1 – Potential Test Markets

Locations	Market Size (\$M)	Market Capture Per Week	Time to Market (Weeks)	Location Similarity to US Market
Erie, PA	2.5	1.67%	2	25%
Raleigh-Durham, NC	20	0.50%	5	99%
Brownsburg, IN	2	2.00%	2	38%
Cincinnati, OH	10	1.00%	4	88%
Salt Lake City, UT	5	1.25%	3	50%

Exhibit #1 – Interviewer Guidance

Exhibit Figures

- **Prompt:** No prompt really needed. They should be able to guess that the first area we would want to investigate are the potential test markets. If not, steer them to this look into the test markets.
- If they are lost on how to use this data prompt them to calculate how long it would take to to **\$1M in revenue** as described in the objective in the prompt.
- **Below is a table of the amount of time each Test Market will take.**

Locations	Market Size (\$M)	Market Capture Per Week	Time to Market (Weeks)	Mkt Capture Per week (Market Size*Market Capture Per Week) (\$K)	Weeks to capture \$10M	Total Time (Time to Mkt + Weeks to capture \$1M)
Erie, PA	2.5	1.67%	2	42	24	26
Raleigh-Durham, NC	20	0.50%	5	100	10	15
Brownsburg, IN	2	2.00%	2	40	25	27
Cincinnati, OH	10	1.00%	4	100	10	14
Salt Lake City, UT	5	1.25%	3	62.5	16	19

Interviewer Guidance + Quant Analysis

- A candidate should note that the best two options are the Raleigh-Durham or Cincinnati because they have the shortest time to completion and complete the task within the given timeframe.
- A great candidate will realize that only Raleigh-Durham and Cincinnati need to be calculated because they are most representative of the US as a whole.
- **NOTE the candidate must commit to 1 location and CANNOT change answer after committing. Once they choose a location, move to the brainstorm.**

Brainstorm Notes

- **Prompt: 15 weeks have passed and since the CEO followed your advice and tested in XX location. They have the results about the different market segments. How would you go about picking the market segment you should target?**
 - **Market Conditions**
 - > Growth of Market
 - > Company perception in the market
 - > Competition
 - **Non-Market Conditions**
 - > Profits
 - > Projected Revenue
 - > Projected Costs
 - > Current Sales Channels

Interview Guidance

- The list on the left is non-exhaustive and answers can go in many directions; this brainstorm is intended to test the candidate's creative thinking.
- A **strong candidate** will brainstorm several different ideas of how to pick the correct market segment.
- Steer them to next exhibit by stating that these are great considerations, and the **CEO cares exclusively about increasing profits by \$180M.**

Exhibit #2 – Market Results

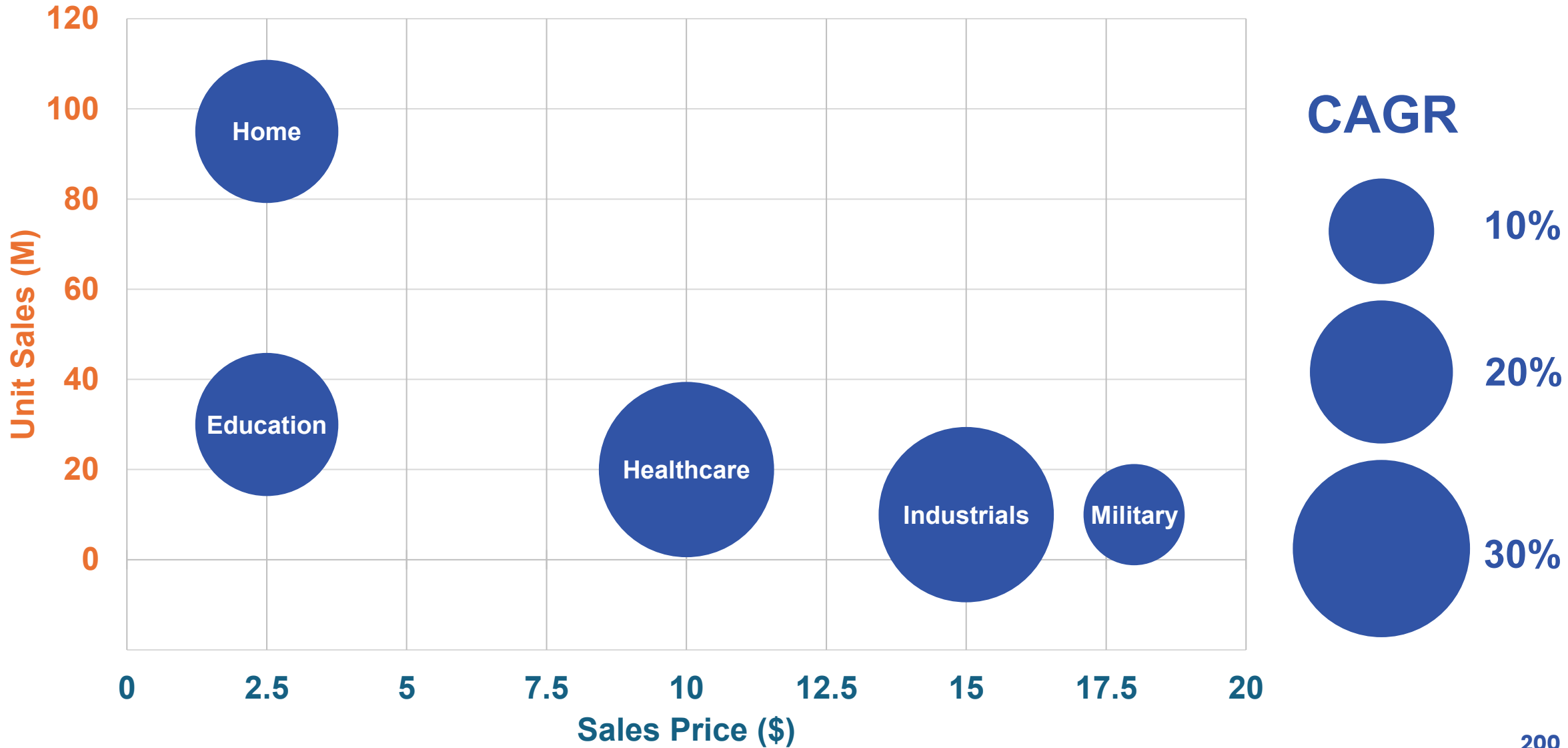


Exhibit Figures

- **Prompt:** The client has shared the revenue and pricing results from the test market. They have been combined with our understanding of how the industries are supposed to grow.
Goal is to have profits > \$180M
- If the Candidates asks about costs, instruct them that **unit cost is \$0.50**.

Interviewer Guidance + Quant Analysis

- **Below is a table of the amount of time each Test Market will take.**
- The candidate should find that Entertainment and Industrials produce the same amount of profit.
- The candidate should choose **healthcare** because the CAGR is higher.
- A Great Candidate will ask about the anticipated difference between the test market and the broader US Market.

	Unit Price	Units Sold (M)	CAGR	Total Revenue (\$M)	Total Costs	Per Unit Profit	Profit
Home	2.5	95	20%	\$ 238	\$ 47.5	\$ 2	\$ 190
Industrials	15	10	30%	\$ 150	\$ 5.0	\$ 15	\$ 145
Healthcare	10	20	30%	\$ 200	\$ 10.0	\$ 10	\$ 190
Education	2.5	30	20%	\$ 75	\$ 15.0	\$ 2	\$ 60
Military	18	10	10%	\$ 180	\$ 5.0	\$ 18	\$ 175
Unit Cost	0.5						

Brainstorm Notes

- **Prompt: Now that we know we will be entering the healthcare market, how would you go about marketing the product?**
 - **Internal Promotion**
 - > Use current inroads with customers to sell the product
 - > Add as a bundle to current products sold
 - **External Promotion**
 - > Show on billboards
 - > Add additional sales reps to go to hospitals to sale
 - > Attend Medical conferences
 - > Perform studies showing the efficacy of the product compared to others.

Interview Guidance

- The list on the left is non-exhaustive and answers can go in many directions; this brainstorm is intended to test the candidate's creative thinking.
- A **strong candidate** will brainstorm several different ideas of how to market the sponge to the healthcare segment.
- Steer them to next exhibit by stating that these are great considerations, and the **CEO cares exclusively about increasing profits by \$180M.**

Recommendation & Next Steps

Recommendation

- **Prompt for final recommendation:**
- We were initially tasked with determining the proper test market, then we were asked what improvement could be made before launch in the US.
- The candidate went with Raleigh-Durham (or Cincinnati) because they could obtain the results of the analysis within 15 (or 14) weeks and provided the most time to prepare to market the product. The market segment we should enter is healthcare, because we can produce \$190M in profit and it has the highest CAGR.

Risks & Next Steps

- **Risks**
 - Broader US market is not similar to test market.
 - No information has been given about the competitors in this space.
- **Next Steps**
 - Dive into the demographic differences between test location and the broader US test Market
 - Do an analysis to see what products are offered that are similar to the Smiley sponge.



Swift Business

Industry Media and Entertainment

Case Type Market Entry

Firm Style Bain

Quantitative Difficulty Difficult

Qualitative Difficulty Difficult

Origin: Fuqua Casebook (2023-2024)

Author: Vann Vicente (Fuqua '24) and Clayton Eck (CBS '24)

Prompt

Your client is 12-time Grammy winning recording artist Taylor Swift.

Taylor has a **reputation** for her commitment to her fans and their concert experiences, but in recent years, she has noticed a growing concern among fans regarding transparency in the ticket industry.

Her team has approached you with a plan for Taylor to start her own ticketing platform. She envisions a **fearless** platform that prioritizes fair pricing, eliminates hidden fees, and ensures a connection to her fanbase.

Should Taylor Swift move forward with creating her own ticketing platform?

Note: This is a challenging, complex case intended for those already comfortable with case interviews.

Interviewer Guidance

- **Case Steps**

- Exhibit #1: Market sizing
- Brainstorm #1: Revenue factors
- Exhibit #2: Revenue opportunity
- Brainstorm #2: Switching factors
- Exhibit #3: Add'l revenue opportunities
- Recommendations & next steps

- **Clarifying Information (If Prompted)**

- Currently, Taylor sells on Ticketmaster, the global leader in primary sales platforms for artists
- Her goal is to break-even in 5 years, starting from a launch date of 2024
- Ticket exchanges make money by collecting an agreed upon fee; a % of total ticket revenue per artist per year

Financials

- **Revenue**
 - Volume of artists
 - Pricing
 - Ticket sales / venue capacity
 - Sell through rate
- **Costs**
 - Platform
 - Maintenance
 - Legal fees
 - Promotion/marketing

Market

- **Market size**
 - Popularity of touring
 - Live music trends
 - Technological implementation
 - Broader music trends
 - Other live events (sports, etc)
- **Competitors**
 - Ticketmaster
 - 3rd party resale websites
 - > Stubhub, VividSeats, etc.
- **Regulation**
 - FTC regulation
 - Potential legislation

Feasibility

- **Financing**
 - Ability to pay for and acquire investors for a venture
 - Taylor Swift's own financial status
- **Influence**
 - Ability to pull other artists to join even with switching costs
 - Media visibility

Exhibit #1 – Live music market (2019–2028)

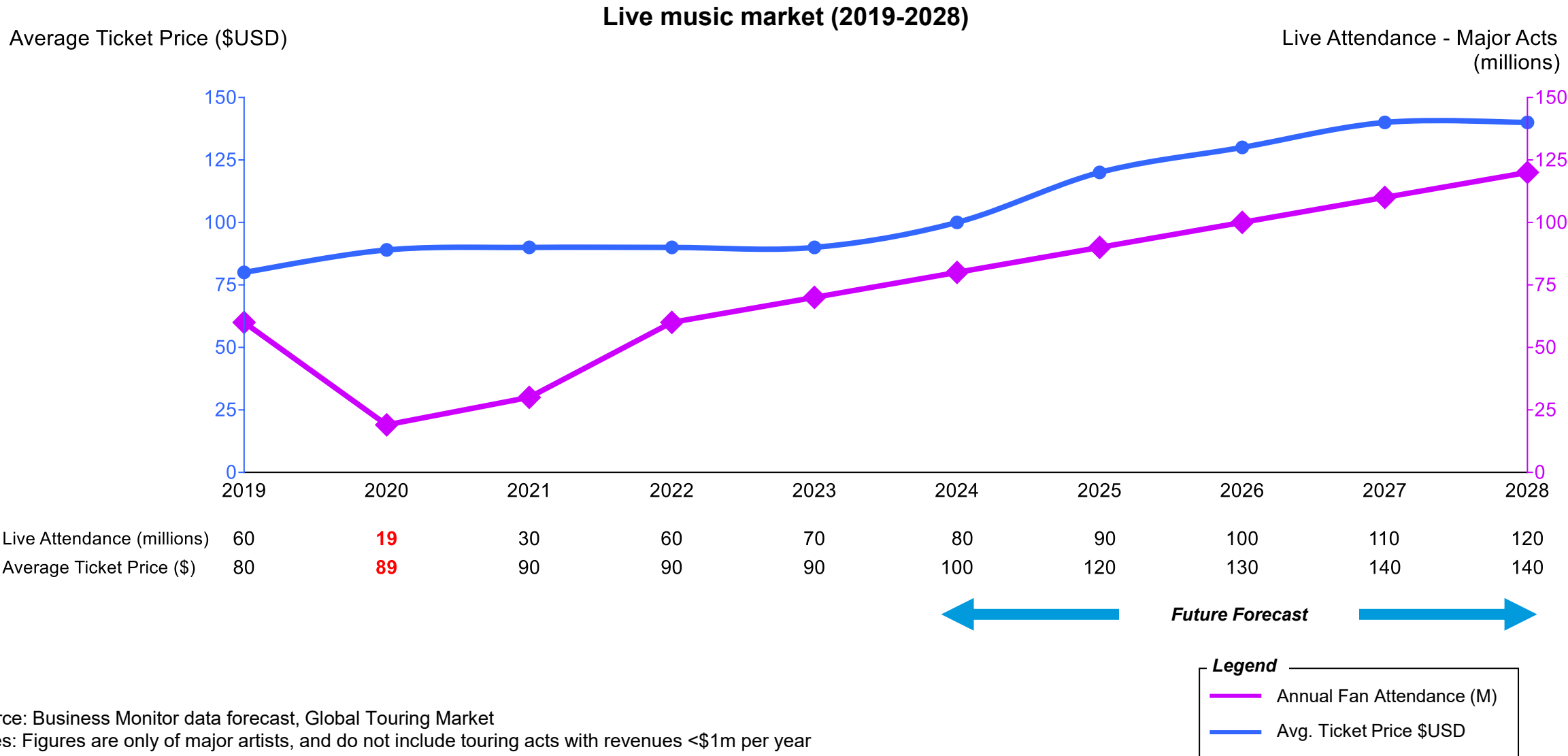


Exhibit #1 – Interviewer guidance

Exhibit Notes

- **Prompt:** How do we break even in the next five years?
- The goal of the exhibit is to calculate what the total addressable market is, and what percent market share of that TAM is needed to breakeven in five years.
- After the candidate clears the slide and implies they need costs to get the breakeven market share, provide them the following **cost information**:
 - Capital expenses: \$200M
 - Yearly fixed costs: \$150M
 - Yearly variable costs: \$130M
- A strong candidate should be able to cleanly clear the exhibit displayed, and drive to a request for additional information to get to a breakeven point. (2.5% TAM)
 - After they get to a market share + total opex number, they should drive towards thinking about how to get to that revenue opportunity. (see next slide)

Quantitative Analysis

Total Addressable Market (TAM)			
Year	Attendance	Ticket Price	Market Revenue
2024	80M	\$100	\$8B
2025	90M	\$120	\$10.8B
2026	100M	\$130	\$13B
2027	110M	\$140	\$15.4B
2028	120M	\$140	\$16.8B
Total Market Size over 5 Years			\$64B

Costs	Amount
1yr Capex	\$200M
Fixed Costs (\$150M x 5)	\$750M
Variable Costs (\$130M x 5)	\$650M
Total 5yr Cost	\$1.6B

Total Breakeven Market Share (\$64B / \$1.6B)

2.50%

Brainstorm Prompt

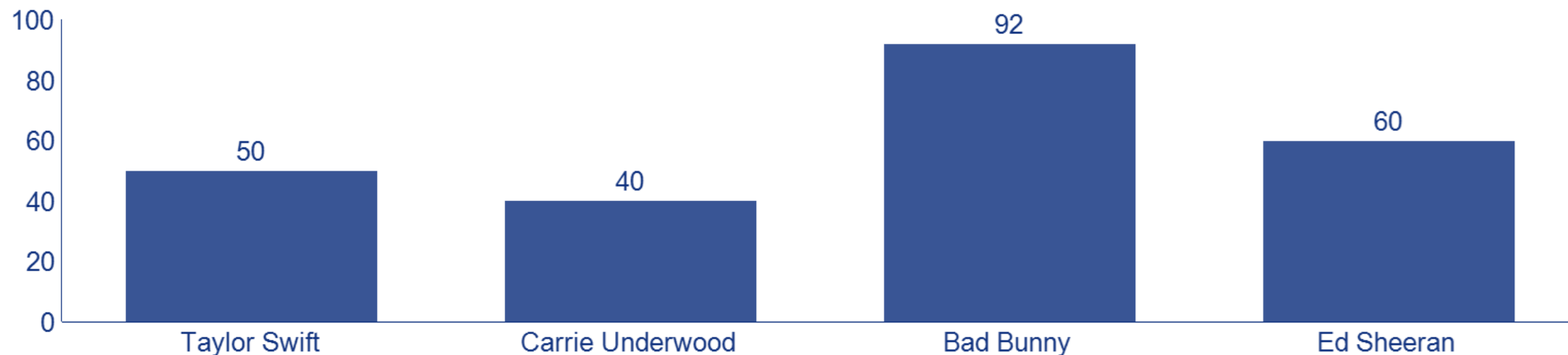
- **Prompt:** Taylor is a **lover** of strong unit economics, so what are some factors that go into computing the total revenue of a ticketing platform?
 - **Pricing**
 - > Ticket prices: Dynamic pricing vs. flat pricing
 - > Ticket fees: Flat fee, or negotiated fees per artist
 - **Quantity / tickets sold**
 - > Venue capacity: Size of venues that an artist plays at
 - > Sellout rate: Percent of tickets that are sold per show
 - > Number of artists: # of artists signed to platform
 - > Number of shows: # of shows typically done in a year
 - **Additional revenue sources**
 - > Merchandising: Artist stores and exclusive merch
 - > Partnerships: Partnerships with venues, stores, and labels

Interviewer Guidance

- A **strong candidate** will cover most of the factors on the left, and clearly structure them according to price and quantity.
 - Candidates should understand that platforms will only take a portion of an artist revenue
 - Creative candidates will think of other ways platforms can earn revenue, leading into a future exhibit about alternative revenue streams.
- This brainstorm directly leads into the next exhibit. Push the candidate to ask for this information to compute the revenue potential of the ticketing platform.

Exhibit #2 – Revenue opportunity

Expected number of shows per artist, per year for the next 5 years



Avg. Venue Capacity	80,000	25,000	50,000	75,000
Avg. Sellout Percentage	100%	90%	100%	95%
Avg. Ticket Price	\$250	\$100	\$150	\$200
Platform Fee %	15%	9%	10%	10%

1. Platform fee is the % of ticket sales dollars that the company keeps

Exhibit #2 – Interviewer guidance

Exhibit Notes

- Introduce the exhibit as such: “These three artists have already agreed to join Taylor on her platform if she launches and have negotiated platform fees that are listed in the table.”
- With given info, candidate can calculate five-year revenue projection
- Candidate can, and should round figures if they ask
- **Takeaway:** After finishing the math, candidate should realize that Taylor’s platform is \$35M short of achieving BE in 5 years based on given info
 - With that in mind, candidate should start by thinking of opportunities to take in more revenue, and eventually lead to the idea of signing more artists (if they don’t get there, push them)
 - When the candidate mentions more artists, **caser should ask “what are some of the challenges are in signing artists on a new ticketing platform?”** (see next slide)

Quantitative Analysis

Artist	Taylor Swift	Carrie Underwood	Bad Bunny	Ed Sheeran
Average # shows per year	50	40	92	60
Avg. Venue Capacity	80,000	25,000	50,000	75,000
Avg. Sellout Percentage %	100%	90%	100%	95%
Leads to avg. # tickets sold per year	4,000,000	900,000	4,600,000	4,275,000
Avg. Ticket Price (\$)	\$250	\$100	\$150	\$200
Platform Fee %	15%	9%	10%	10%
Platform revenue / year	\$150M	\$8.1 (round to \$8M)	\$69M (round to \$70M)	\$85.5M (round to \$85M)
x 5 Years	\$750M	~\$40M	\$350M	\$425M
Total Platform revenue over 5 years	\$1,565M (represents shortfall of \$35M to break even after accounting for cost structure)			

Brainstorm #2 – Switching factors

Brainstorm Prompt

- **Prompt:** What do you think some of the challenges are associated with getting artists to join Taylor's new ticketing platform?
 - **Legal Factors**
 - > Artist Exclusivity: Exclusive contracts, with potential financial ramifications for breaching contracts
 - > Record Label Deals: Existing deals with record labels to only sell through Ticketmaster
 - > Venue Exclusivity: Existing partnerships with large-scale venues, including sports stadiums/arenas
 - **Procedural Factors**
 - > Technological: High degree of Ticketmaster integration with existing systems, newness of Taylor's platform
 - > Implementation Risk: Risk of uncertainty for planning near-term tours
 - > Global Availability: Ticketmaster is a global platform, may take time for Taylor's to function across markets

Interviewer Guidance

- The list on the left is non-exhaustive and answers can go in many directions; this brainstorm is intended to test the candidate's creative thinking.
- A **strong candidate** will structure their brainstorm ideas, and provide clear reasons as to why an artist may not want to join the platform
 - Candidates with knowledge of the industry will understand the monopoly power in ticketing.
 - Steer candidates towards thinking about legal/contractual factors
- On completing the brainstorm, the interviewer should ask, "**What are other ways that the platform can earn revenue?**" When they mention any platform-related revenue streams, steer them to the next exhibit.

Exhibit #3 – Additional revenue opportunities

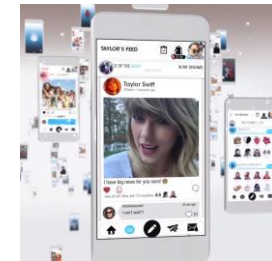
Option 1: Online only merch



Option 2: Dynamic pricing



Option 3: Fan platform



Additional
CAPEX
required¹

\$10M

\$5M

\$15M

Annual
Revenue
Contribution

\$11.2M

\$12M

\$9.5M

Demand from
fans



Note: Taylor can only invest in one additional feature

1. Assume no additional fixed / variable costs on an annual basis

Exhibit #3 – Interviewer guidance

Exhibit Notes

- After brainstorming reasons why signing up more artists should be difficult, interviewer should introduce 3 additional options to close the gap to break even
 - Assume no additional fixed costs per year beyond CAPEX
- Both option 1 and option 2 are acceptable answers, however, a **strong candidate will realize that option 1 is a significantly better fit with fans (a priority in prompt) for a moderate decrease in revenue**
 - Candidate should quickly realize that option 3 does not lead to the platform breaking even in year 5
 - Push candidate to think why dynamic pricing might be a bad decision despite a higher revenue contribution
- **Additional notes (if prompted):**
 - **Demand from fans:** Collected survey responses from fans to see how much they “want” proposed additional feature
 - **Dynamic pricing:** Can be thought of as “surge pricing” for in-demand events

Quantitative Analysis

- **Reminder:** Gap to close to break even by year 5 is currently \$35M
- **Option 1:**
 - Additional CAPEX: \$10M
 - Revenue over 5 years: $\$11.2\text{M} \times 5 = \56M
 - Takeaway: Enterprise is now above breakeven by \$11M
- **Option 2:**
 - Additional CAPEX: \$5M
 - Revenue over 5 years: $\$12\text{M} \times 5 = \60M
 - **Takeaway: Enterprise is now above breakeven by \$20M, but dynamic pricing is a very poor fit with fans**
- **Option 3:**
 - Additional CAPEX: \$15M
 - Revenue over 5 years: $\$9.5\text{M} \times 5 = \47.5M
 - Takeaway: still falls short of breakeven by ~\$3M with additional CAPEX, should not be considered

Recommendation & Next Steps

Recommendation

- **Prompt:** Taylor Swift's team gives you a call, and she says, "Should we do it? **Speak now.**"
- Taylor Swift **should move forward** with plans to open her own ticketing exchange
- While current projections lead to her not breaking even in 5 years based on artists currently signed up on the platform, an additional CAPEX involving (either online only merch or dynamic pricing) would allow her to break-even in the target 5-year period

Risks & Next Steps

- **Risks**
 - Significant risks exist both from a legal perspective as well as a competitive blowback
 - Currently, the revenue is driven by just 4 artists. If those figures were to decline (because of a live music decline), exchange likely won't break even
 - High switching costs may prevent mass adoption from artists, reducing revenue potential in the future state
 - Costs may be higher than expected, due to potential litigation and feature costs
- **Next Steps**
 - Perform a due diligence on potential legal implications of starting a Ticketmaster competitor
 - Define development roadmap for the platform
 - Start artist outreach, and understand willingness to switch across the industry